



INTEGRATED REPORT 2026

Fiscal year ended December 31, 2025



Revs Your Heart

“Revs your Heart”
embodies our desire to always deliver ever-greater
excitement to people everywhere,
like the rising revs of an engine.

The three tuning forks in Yamaha Motor's logo originally represented the strong ties among manufacturing, marketing, and technology. Over time, their meaning has evolved to also symbolize harmony among customers, society, and employees. By creating resonance between people's passions and ideas, we continue to create *Kando* beyond expectations.

Corporate Profile Video



Corporate Mission

Kando* Creating Company

Offering new excitement and a more fulfilling life
for people all over the world

Yamaha Motor strives to realize peoples' dreams with ingenuity and passion, and to always be a company people look to for the next exciting product or concept that provides exceptional value and deep satisfaction.

*Kando is a Japanese word for the simultaneous feelings of deep satisfaction and intense excitement that we experience when we encounter something of exceptional value.

Management Principles

1. Creating value that surpasses customer expectations

To continue to produce value that moves people, we must remain keenly aware of the customer's evolving needs. We must strive to find success by always surpassing customer expectations with safe, high-quality products and services.

2. Establishing a corporate environment that fosters self-esteem

We must build a corporate culture that encourages enterprise and enhances corporate vitality. The focus will be on nurturing the creativity and ability of our employees, with an equitable system of evaluation and rewards.

3. Fulfilling social responsibilities globally

As a good corporate citizen, we act from a worldwide perspective and in accordance with global standards. We must conduct our corporate activities with concern for the environment and communities and fulfill our social responsibility with honesty and sincerity.

Action Guidelines

Acting with Speed

Meeting change
with swift and
informed action

Spirit of Challenge

Courage to set
higher goals
without fear of failure

Persistence

Working with tenacity
to achieve desired results,
and then evaluating them

Editorial Policy

This report sets forth the corporate philosophy and vision of Yamaha Motor Co., Ltd. ("Yamaha Motor" or "the Company"), and explains how they interconnect with the strategies and strengths employed in their realization. The report aims to enhance the understanding of shareholders, investors, and other diverse stakeholders with regard to the Company's value creation in the medium to long term. In compiling this report, we referred to guidelines including the IFRS Foundation's *International Integrated Reporting Framework*, the Ministry of Economy, Trade and Industry's *Guidance for Collaborative Value Creation* and the Cabinet Office's *Intellectual Property and Intangible Asset Governance Guidelines*. Additional financial, sustainability-related, product, and other information is available on Yamaha Motor's official website. Please note that the "2026" in the title refers to the calendar year this report was published.

Scope

This report covers Yamaha Motor Co., Ltd., its 148 subsidiaries, and its 22 affiliates ("the Yamaha Motor Group"; as of December 31, 2025). Where the scope of data compilation differs, it is noted accordingly.

Reporting Period

This report covers the period from January 1 to December 31, 2025 ("fiscal 2025" or "FY2025"). It also includes some information from before and after that period.

Guide to Information Disclosure

Financial Information

Non-Financial Information

Integrated Report 2026

- Information for investors
<https://global.yamaha-motor.com/ir/>
- *Securities Report* (in Japanese only)
<https://global.yamaha-motor.com/jp/ir/library/security/>
- *Fact Book*
<https://global.yamaha-motor.com/ir/library/factbook/>
- Financial data
<https://global.yamaha-motor.com/ir/data/>

- Corporate website
<https://global.yamaha-motor.com/>
- *Technical Review*
https://global.yamaha-motor.com/design_technology/technical_review/
- Sustainability-related information
<https://global.yamaha-motor.com/sustainability/>
- *Corporate Governance Report*
<https://global.yamaha-motor.com/ir/governance/>

Key Highlights

1

From the President ▶ P.07

Yamaha Motor seeks to become a strong, robust company that adapts quickly to change. The message from the President explains how the Company is advancing transformation across organizational structure, corporate culture, and business operations to achieve that goal. It also outlines the Company's direction for achieving sustainable growth through cost reforms and renewed strengthening of core businesses.

2

Disclosure Based on the TNFD Framework ▶ P.48

The Yamaha Motor Group has grown by providing a more fulfilling life to people all over the world through products that are frequently used to connect with nature. In accordance with this approach, in 2025 we conducted an impact assessment in line with the TNFD framework, the results of which are presented in this section.

3

Dialogue between Outside Directors and Shareholders ▶ P.54

In 2025, we reorganized the Executive Personnel Committee into the Nomination Committee and the Compensation Committee. Presented here is a dialogue session held that year featuring the outside directors who chair the two committees.

Contents

01 Introduction

- 02 Corporate Philosophy
- 03 The Values of Yamaha Motor
- 04 History of Yamaha Motor
- 05 Yamaha Motor at a Glance
- 06 Roadmap toward Our Long-Term Vision for 2030
- 07 From the President

11 Value Creation Story

- 11 Value Creation Story
- 12 Capital Input
- 13 Sources of Our Competitiveness
- 13 Branding
- 14 Design
- 15 Intellectual Property
- 16 Research and Development
- 17 Procurement
- 18 Manufacturing
- 19 Marketing
- 20 Value Creation Case Studies
- 22 Materiality Issues

24 Medium- to Long-Term Strategies

- 24 Summary of Medium-Term Management Plan (2025–2027)
- 26 From the Chief General Manager of the Corporate Planning & Finance Center
- 29 Digital Transformation Strategy
- 30 Human Resources Strategy
- 32 Strategies by Business
- 32 Land Mobility
- 35 Marine Products
- 37 Outdoor Land Vehicle
- 39 Robotics
- 41 Financial Services

43 Sustainability Strategies

- 43 Overview of Sustainability Strategies
- 44 Environmental Plan 2050
- 45 Climate Change
- 47 Resource Recycling
- 47 Biodiversity
- 48 TNFD
- 49 Safety and Reliability
- 50 Occupational Health and Safety / Health and Productivity Management
- 51 Respect for Human Rights

52 Governance

- 52 Directors and Audit & Supervisory Board Members
- 53 From the Chairman
- 54 Dialogue between Outside Directors and Shareholders
- 57 Corporate Governance
- 62 Risk and Compliance Management

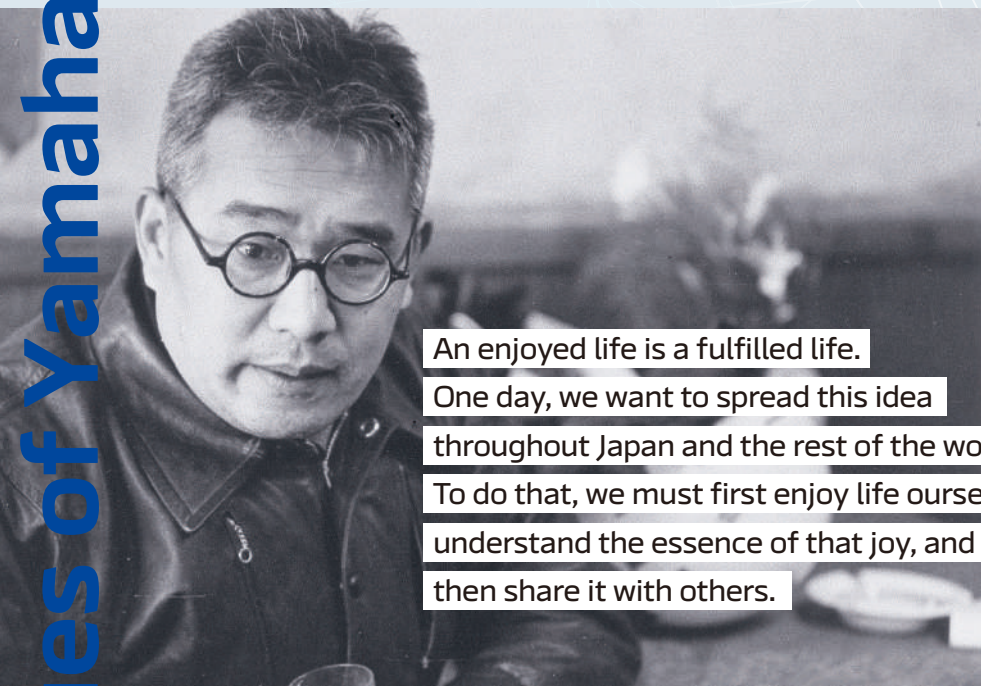
64 Fact Data

- 64 Financial Highlights
- 65 Eleven-Year Summary
- 66 Corporate Information / Stock Information

“Enjoy Life” as the Driving Force for Taking on Challenges

The idea of enjoying life is at the heart of Yamaha Motor’s corporate philosophy.

It is a philosophy rooted in the belief that life is enriched by taking action, embracing challenges, and experiencing moments that move the heart. As embodied in the phrase, “If you’re going to do something, be the best,” Yamaha Motor’s uncompromising pursuit of world-class value continues to support the creation of products that inspire the special form of excitement and satisfaction we call *Kando* and shape the future.



An enjoyed life is a fulfilled life.

One day, we want to spread this idea throughout Japan and the rest of the world.

To do that, we must first enjoy life ourselves, understand the essence of that joy, and then share it with others.

When Genichi Kawakami spoke of enjoying life, he was not referring simply to relaxation. He meant an active pursuit—a life of challenge and exploration. It reflects a mindset that seeks not just pleasure, but also honing one’s abilities, pursuing personal growth, and experiencing the *Kando* that comes with that journey. This spirit is at the very foundation of Yamaha Motor’s business philosophy.

Genichi Kawakami

The founder of Yamaha Motor Co., Ltd. and fourth president of Nippon Gakki Co., Ltd. (today’s Yamaha Corporation), Kawakami dedicated his life to creating products that enrich and help people enjoy life. He traveled the world extensively to experience various cultures firsthand, and with the firm belief that “It isn’t a product if it isn’t world-class,” he took on the challenge of making motorcycles, outboard motors, and more. True to his words of “If you’re going to do something, be the best,” he consistently pursued world-class excellence, and built a corporate culture rooted in the Spirit of Challenge and *Kando*.

A Heritage Passed Down since the Company’s Founding

Kyo An Shi Ki



Use good times to prepare for challenges ahead. Genichi Kawakami, founder and first president of Yamaha Motor, believed that we must prepare for the future by finding new business opportunities when the Company’s performance is good. In keeping with that philosophy, Yamaha Motor was created by spinning off the motorcycle department from a musical instrument company, Nippon Gakki, and grew by diversifying its business portfolio.

Creating Demand



Demand is something we create ourselves. Our deeply rooted approach to doing so is not only to conduct business in markets already developed by other companies but also to open up completely new markets by combining our proprietary technologies and products in order to create new value.

Creating *Kando*



Our Corporate Mission is to be a “*Kando* Creating Company.” While remaining in harmony with society and the environment, Yamaha Motor strives to offer customers around the world products and services that bring joy and unexpected exhilaration that enriches their lives with new fulfillment. We take pride in our product creation and manufacturing (*Monozukuri*), which offer a high level of not just functional but also emotional value.

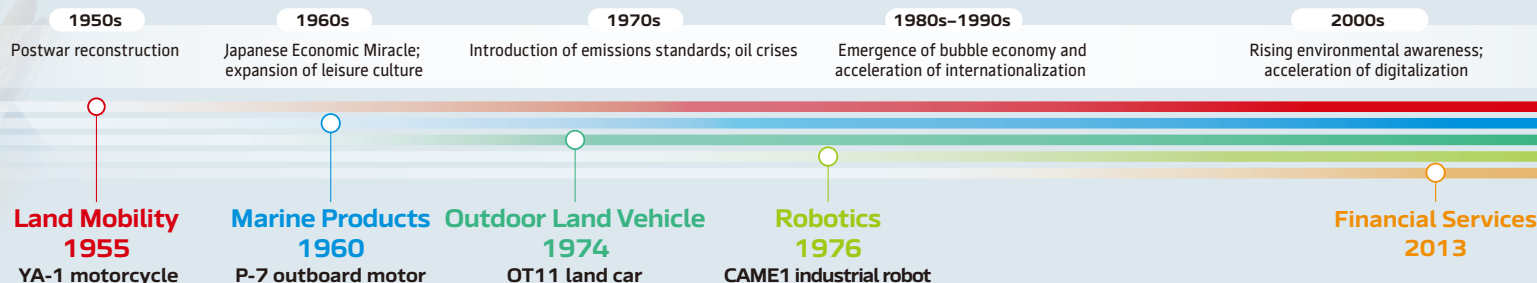
Jin-Ki Kanno



This is Yamaha Motor’s unique development philosophy. Technology born from *Jin-Ki Kanno* seeks to deliver users the seductive exhilaration felt when they truly become one with their machine. Quantifying and fine-tuning this kind of exciting performance, which we call *Kanno Seino*, and then building it into our products is an essential part of our Yamaha *Monozukuri* framework. We continually pursue *Kanno Seino*, which lies hidden between the lines of product specifications.

History of Yamaha Motor

For over 70 years since the Company's founding, we have continually worked to create new value in motorcycles and various other fields, with development ideas originating from the consumer's perspective. We utilize the strengths we have cultivated in creating a wide range of products to continue taking on the challenge of delivering new forms of *Kando* and more fulfilling lives to people around the world.



1950s

The Origins and Founding of Yamaha Motor



Genichi Kawakami, the fourth president of Nippon Gakki and later founding president of Yamaha Motor, led a full-scale entry into the motorcycle market with the start of production of the YA-1, aiming to secure a foothold for growth beyond the realm of musical instruments. In 1955, Yamaha Motor Co., Ltd. was established, while the YA-1 went on to win a number of races, demonstrating the Company's technological prowess. Taking on such challenges and generating results laid the foundation for business expansion throughout Japan and around the world.

1970s

Business Diversification and Acceleration of Motorization



Demand for motorcycles increased along with rapid economic growth, and motorization accelerated in Japan and worldwide. The pursuit of uniquely Yamaha Motor designs led to a range of different motorcycles that became hit products, establishing the Company's position in the domestic and international motorcycle markets. This in turn led us to enhance our production system and advance technological innovation. We also applied and developed our technologies to expand into a range of business fields including outboard motors, fiber-reinforced plastic boats, and utility vehicles.

1990s

Entering the New Mobility Market



In 1993, we pioneered the new eco-friendly mobility market with the launch of the PAS, the world's first electrically power-assisted bicycle. Later, we launched the eco-friendly F100A outboard motor and began stepping up our efforts to protect the environment and other initiatives for sustainability. Against a backdrop of increasing environmental awareness, electrically power-assisted bicycles have attracted particular attention as a new means of transportation, while the control technologies we acquired through the PAS have contributed in many ways to the development of mobility solutions.

2000s

Forward-Looking Transformation



In the new mobility category, in 2002 we launched the Passol, an electric urban commuter moped with reduced environmental impact. Moreover, in 2014 we launched Tricity, our first LMW* scooter, designed to inspire and capture new demand for urban transport. We have also continued to apply unmanned technologies to help save labor and raise efficiency in a variety of fields, including industry, agriculture, and forestry.

* Leaning Multi-Wheel (LMW): A registered Yamaha Motor trademark (Japan Patent Office Trademark #5646157) for vehicles with three or more wheels that can lean through corners like a motorcycle.

2020s onward

New Forms of *Kando* Made Possible by Our People and Technologies



Guided by our Long-Term Vision for 2030—ART for Human Possibilities—we are working to resolve societal issues and revolutionize mobility as only we can, while advancing environmental strategies for achieving carbon neutrality. Based on new businesses and other endeavors forged through global partnerships and co-creation, we are accelerating our creation of social value. We aim to achieve sustainable growth by generating social and environment value while also achieving economic value.

Our Strengths

A diverse lineup of products that create *Kando* by leveraging our technologies and keen sensibilities

Global business rollout and trust cultivated in over 180 countries and regions around the world

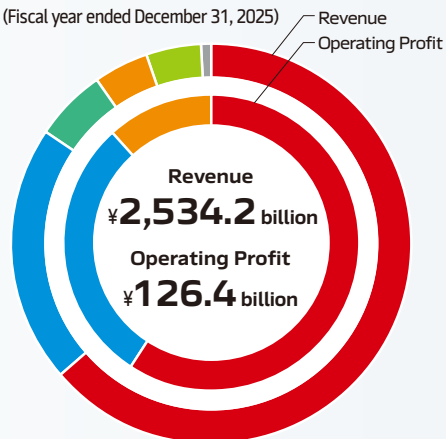
A diverse global workforce that represents the Yamaha brand

Corporate branding and design to "Captivate," "Resonate," and "Co-Create"

Yamaha Motor Co., Ltd. was founded in July 1955, when the motorcycle division of Nippon Gakki Co., Ltd. (today's Yamaha Corporation) was spun off to form an independent company. The Company has proactively entered international markets since the 1960s and has developed businesses based on its foundational powertrain, chassis and hull, electronic control, and manufacturing technologies. Around the world, we offer a diverse lineup of products that create *Kando* by leveraging our technologies and keen sensibilities.

Consolidated Performance

(Fiscal year ended December 31, 2025)



Land Mobility

63.7% of Revenue



Revenue
¥1,615.1 billion

Operating Profit
¥108.7 billion

The Land Mobility segment primarily comprises the Motorcycles and Smart Power Vehicle (SPV) businesses, and offers a wide range of products tailored to the characteristics of each market, from practical daily transportation to leisure, commercial, and sports use.

Motorcycles, intermediate parts, knockdown parts for overseas production, all-terrain vehicles (ATVs), recreational off-highway vehicles (ROVs), electrically power-assisted bicycles, electrically power-assisted bicycle drive units (e-Kits), electric wheelchairs, automobile engines, automobile components

Marine Products

20.8% of Revenue



Revenue
¥527.6 billion

Operating Profit
¥53.6 billion

In the Marine Products segment, we offer a lineup that includes outboard motors, boats, and personal watercraft, among other products, and have established a world-class presence in the marine market.

Outboard motors, personal watercraft, boats, fishing boats, utility boats

Outdoor Land Vehicle

5.9% of Revenue



Revenue
¥148.5 billion

Operating Loss
¥39.8 billion

We provide products for off-road sports, leisure activities, and golf courses, mainly in the North American market.

All-terrain vehicles (ATVs), recreational off-highway vehicles (ROVs), golf cars

Robotics

4.4% of Revenue



Revenue
¥111.5 billion

Operating Loss
¥0.6 billion

The wide-ranging lineup of the Robotics segment includes industrial robots, surface mounting technology (SMT)-related equipment used for manufacturing printed circuit boards, and semiconductor back-end processing equipment.

Surface mounters, semiconductor post-processing equipment, industrial robots, industrial-use unmanned helicopters

Financial Services

4.5% of Revenue

Revenue
¥114.0 billion

Operating Profit
¥21.1 billion

We support the foundation of our operations by providing retail financing, wholesale financing, leases, insurance, and other financial services related to our products to customers and dealerships.

Sales financing and leasing for Yamaha Motor products

Others

0.7% of Revenue

Revenue
¥17.4 billion

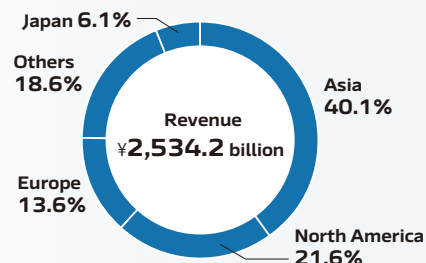
Operating Loss
¥16.6 billion

In the Others segment, we manufacture and sell generators and multipurpose engines based on small-engine technology, snow blowers, and other products.

Generators, multipurpose engines, snow blowers, mobility services

Notes: The Company changed its reportable segments from the previous "Land Mobility," "Marine Products," "Robotics," and "Financial Services" to "Land Mobility," "Marine Products," "Outdoor Land Vehicle," "Robotics," and "Financial Services" from the fiscal year ended December 31, 2025. In 2026, as part of organizational changes, the UMS (unmanned systems, primarily industrial-use unmanned helicopters and drones) business was transferred to the "Others" segment with a view to expanding the industrial-use unmanned aircraft business.

Revenue by Region



Global Expansion

Overseas sales ratio **93.9%** | Ratio of overseas production **Over 80%** | Number of employees (consolidated) **55,176**

Capital Efficiency

ROE **1.4%** | ROIC **0.8%** | ROA **4.4%**

Growth

CAGR **-1.6%**

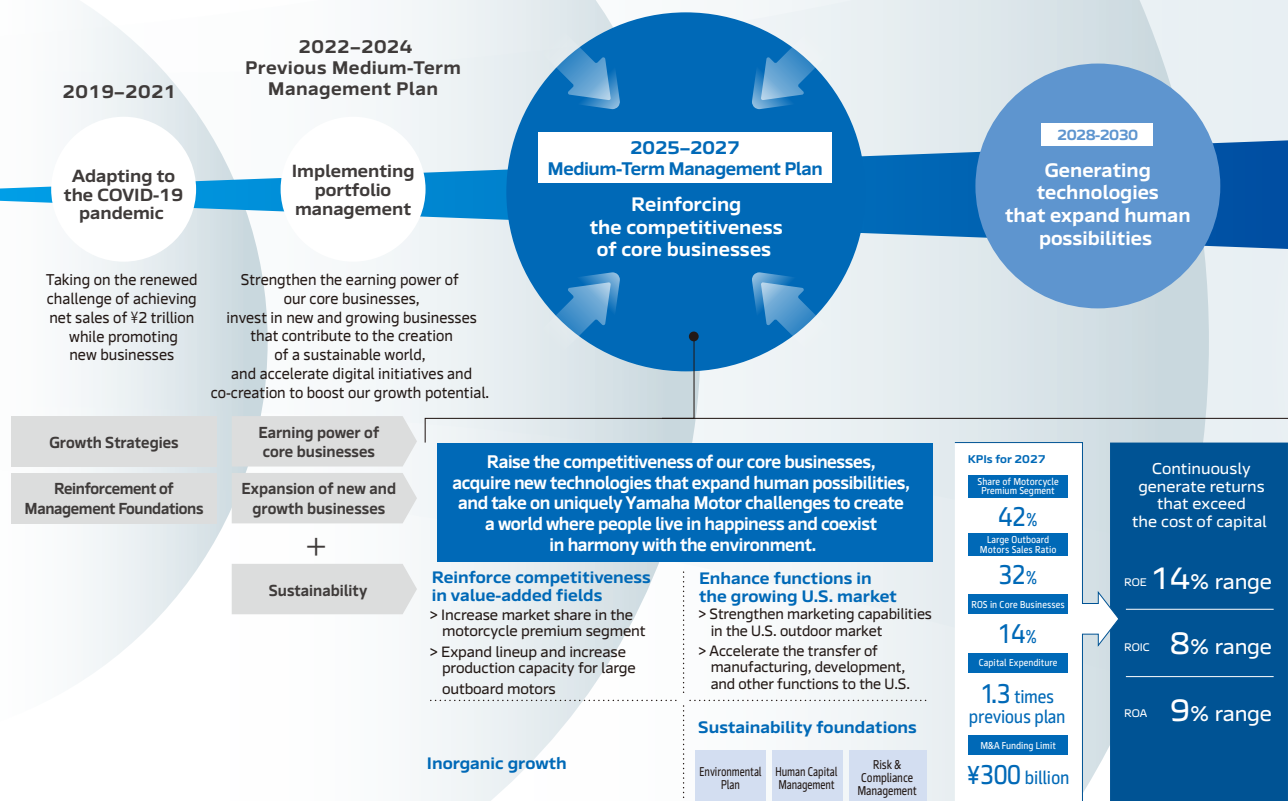
Shareholder Returns

Total payout ratio **272.8%**

Roadmap toward Our Long-Term Vision for 2030

Guided by its Corporate Mission to be a *Kando* Creating Company, in 2018 Yamaha Motor formulated its Long-Term Vision for 2030—ART for Human Possibilities: Let's strive for greater happiness—and has been advancing a series of medium-term management plans since 2019 toward achieving this vision.

Over the past six years, covering the period before and after the COVID-19 pandemic, the business environment experienced significant change. We will continue adapting to the various changes in our operating environment, including rising market volatility, accelerating digitalization, worsening impact from climate change, diversifying values, and increasing multipolarism along regional axes. As we do so, we will continue taking on challenges in the unique style of Yamaha Motor in order to achieve sustainable growth and enhance our corporate value.



Corporate Mission

Kando Creating Company

Offering new excitement and a more fulfilling life for people all over the world

Long-Term Vision for 2030

ART for Human Possibilities

Let's strive for greater happiness

Advancing Robotics

Leverage and evolve intelligent technologies and robotics as a foundation

Rethinking Solution

Propose uniquely Yamaha solutions

Transforming Mobility

Promote innovations in mobility



From the President

“We will transform our organization and corporate culture to become a strong, robust company that adapts quickly to change”

Motofumi Shitara

President, Chief Executive Officer
and Representative Director

Looking Back on a Year of Reforms

Implementing Reforms to Our Organization, Corporate Culture, and Businesses to Become a Strong, Robust Company That Adapts Quickly to Change

Upon assuming the presidency of Yamaha Motor a year ago, the vision I shared was for us to be a strong, robust company that adapts quickly to change. I see this past year as one in which we made progress in laying the groundwork for such a transformation—from changing our organization and culture to structural reforms for our businesses—and began implementing the required reforms.

However, the current situation has deviated significantly from the assumptions we had when formulating Medium-Term Management Plan (2025–2027), particularly with regard to our U.S. operations. As such, the business environment remains challenging. Given this state of affairs, simply building on our existing methods and systems will not be enough. We must face reality head on by undertaking a sweeping review of our organizational framework, corporate culture, and business

From the President

structure and move forward with reforms. We have moved from the preparation phase to the implementation phase, but I think it will take a little more time for results to appear. Although management conditions remain highly uncertain in fiscal 2026, we will steadily conduct reforms to become a strong, robust company that adapts quickly to change.

Launch of a New Organizational Framework

A Framework with Interconnected Functions, Leading to Next Steps Companywide

We have been reviewing our organizational framework since last year, examining possible configurations that would facilitate achieving our goals, while making preparations to implement them. We began by reviewing the composition of the Board of Directors, adopting a structure under which three directors have been put in charge of leading our manufacturing/procurement, technology, and marketing operations, respectively. Furthermore, in addition to the existing Technology Management Committee, we also established a Manufacturing & Procurement Management Committee and a Marketing Management Committee. Under this new arrangement, the directors responsible for each of these management committees participate in all three committees. Strengthening coordination among the committees in this way will facilitate the next measures to be taken from a Companywide perspective.

What we are trying to do is not something gimmicky or unconventional, but rather something quite basic. For example, if sales fall short of the initial plan due to changes in the market environment, in the past, because of our siloed approach by function, it was difficult for employees to take ownership of the problem as a Companywide issue. From now on, while achieving planned unit sales will remain essential, we will shift to an organization in which we can thoroughly investigate the causes when targets are missed, and our marketing, manufacturing, and technology departments work together to come up with measures for ensuring those targets are reached. Rather than jumping ahead to talk about the future, we must first face what is happening right now. We are recommitting ourselves to this approach.

In addition, specialization by role has been increasing at companies everywhere in recent years. Conversely, this means that employees who can oversee the entire value chain have become rare. I also recognize the critical need to develop management talent capable of facilitating problem-solving across organizational boundaries.

Among the three functions mentioned above, marketing in particular requires the most extensive reforms. We need to move away from traditional product-oriented ideas, and more clearly link our sales strategies with market needs. To do so, we must accurately grasp changes in our markets and customers and spell out how we plan to make sales. Given his knowledge and experience in reading markets and managing high-profit operations through the Marine Products business, we therefore selected Toshiaki Ibata to be the director responsible for marketing. I expect to see a new kind of chemistry emerge from bringing that perspective to our other businesses. While we are currently focused on making organizational reforms based on different roles, I am aware that making changes at the regional level will be a challenge to address next year and beyond.

Transforming into a Strong, Robust Company That Adapts Quickly to Change



A Culture with a Companywide Awareness of Issues and the Ability to Make Bottom-Up Proposals

To become a strong, robust company that adapts quickly to change, in addition to revising our organizational framework, we must transform mindsets held by management as well as by frontline employees. The bigger a company grows, the easier it is for an atmosphere to take hold in which people protect their own domains and become hesitant to venture into neighboring ones. However, to truly strengthen a company, every employee on the frontlines must view matters as companywide issues and be able to freely discuss what needs to be done with others. To that end, we launched a corporate culture reform project in March 2026, with 24 participants selected from among all our operations, ranging from junior employees to middle management. Through this project, we hope to foster perspectives that galvanize the entire Company's focus—including those in the field as well as on the front lines—and to cultivate among them the ability to proactively offer suggestions. This is also sure to contribute to the development of future management talent.

Bolstering Our Initiatives as a *Kando* Creating Company to Realize Our Long-Term Vision

Understanding Our Roots through Experience: The First Step in Being a *Kando* Creating Company

Management must always make decisions based on quantitative analyses of business performance and relevant KPIs. But at the same time, to live up to our corporate mission to be a *Kando* Creating Company, we also need to incorporate into our management the sensitivity that allows us to grasp the latent expectations of markets and customers, as well as the *Kando* that motivates each of our employees in their work. We intend to develop people capable of both, and to do so we must define more clearly what it means to “create *Kando*” so that it does not become just an empty phrase. It is important that every employee seriously





reflects on what creating *Kando* means to them personally. In that respect, I know that we are only just beginning this journey.

To help realize our Long-Term Vision for 2030—ART for Human Possibilities: Let's strive for greater happiness, we have been running a Companywide project called "Next *Kando* Actions" since before I became President. This initiative is aimed at learning from the challenges our predecessors took on and overcame in order to reaffirm what constitutes Yamaha Motor DNA. At the same time, these actions enhance each employee's sense of belonging and unity, inspiring the motivation to tackle their work each day. As part of this initiative, from 2025 we have all new employees come watch the Suzuka 8 Hours.¹

Yamaha Motor has been racing since its founding in 1955, starting with the 3rd Mt. Fuji Ascent Race.² When the Company still had few employees, those involved with the racing effort were never far from everyone else, sharing in the joys and frustrations of competition. Today, we compete in MotoGP,³ the Suzuka 8 Hours, trials, and other championships—racing continues to run in the blood of Yamaha Motor. However, with the over 55,000 employees we have now, many spend their careers without ever getting the chance to experience motorsports. Anyone who works at Yamaha Motor should begin their career by getting to know the soul of the Company. With this in mind, we organized this race-viewing event to help new employees understand the core of Yamaha Motor not just through

words, but through the experience itself. Under the scorching sun, employees all wore the same Yamaha Motor uniform and shared the experience of watching the machines, riders, and team members push themselves to the limit for eight hours. The *Kando* and the unique spirit of Yamaha Motor that they felt firsthand became a personal experience they could share with family and friends. I believe that communicating *Kando* in this way connects to branding that is true to who we are as Yamaha Motor. It is crucial that every employee embraces the *Kando* Creating Company mission as something with meaning for them personally through experiences like these.

Furthermore, in 2025 we distributed 70 shares of Yamaha Motor stock to each member of the employee shareholding association. This move commemorating the 70th anniversary of our founding was aimed at raising employee awareness of management and encouraging a sense of ownership with regard to the Company's operations. As a result of this measure, the participation rate in the employee shareholding association has increased by about 30 percentage points.

Current Trends in Business Performance and Evaluation

Steady Progress Toward Transformation Despite Challenging Conditions

In fiscal 2025, revenue decreased 1.6% year on year to ¥2,534.2 billion and operating profit decreased 30.4% to ¥126.4 billion. A combination of higher costs and one-time factors put pressure on profits, including the impact of U.S. tariffs, rising procurement costs, increased R&D and personnel expenses, and an impairment loss in the OLV business.

As for the business environment, our profit structure has changed significantly from the assumptions underlying the current Medium-Term Management Plan, primarily due to tariffs and a market slump affecting our U.S. business. We foresee an even greater impact from tariffs in 2026 than there was in 2025. Furthermore, demand remains weak due to economic uncertainty, and sales in the U.S. market have fallen short of our original projections. In response, we began cost structure reforms across all our businesses in fiscal 2025. In particular, we are working to improve the profitability at our U.S. bases, which we expect to largely offset the effects of tariffs. Over the medium to long term, we will establish a profit structure that is not dependent on top-line growth. For fiscal 2026, we plan to increase revenue and all levels of profit significantly year on year through pricing strategies and cost structure reforms, in addition to increased sales in our core businesses.

We have also made a downward revision to the fiscal 2025 year-end dividend. Although we secured a certain level of profit, this was boosted by gain on the sale of land in Taiwan, and the short-term cash flow outlook for fiscal 2026 was tight due to capital restructuring measures, including a capital injection for a U.S. subsidiary. We take the harsh reaction from the stock market seriously and there is a greater sense of urgency throughout the Company as well. We are conducting structural reforms toward staging a V-shaped recovery in fiscal 2026, and to that end, we will further tighten internal controls and accelerate various initiatives.

We will communicate the progress of these and other initiatives in detail to shareholders and investors through close dialogue.

Trends in Each Business

Reinforcing Core Businesses and Reassessing Strategic Businesses

We have been making steady progress in raising the competitiveness of our core businesses, which is one of the basic policies of the current Medium-Term Management Plan. In the Marine Products business, we are conducting structural reforms prior to the launch of next-generation models. In the Motorcycles business, we will enhance technological features while assessing our strengths and weaknesses in each region, centering on our premium model segment strategy. Meanwhile, for our strategic businesses, we are currently reassessing how to allocate resources and how to proceed thereafter.

Among our core businesses, the Marine Products business has been our principal earner in the U.S., but it is currently struggling. Besides factoring in the effects of tariffs, I feel we need to implement initiatives that address the changes afoot in the competitive environment. As our competitors aggressively invested in their product lines and vertical integration, we maintained a passive stance and fell behind in product investment. I am aware that as a result, competition has intensified in areas where we have conventionally held advantages, and our competitive edge has gradually dulled. We are currently developing next-generation models with plans to progressively introduce a series of new products starting in 2027. Per-unit profitability in the Marine Products business is exceptionally high, and we intend to use this as the starting point for turning the business around. In the meantime, we will lower the break-even point through structural reforms while reinforcing the business structure itself.

The Motorcycles business itself remains stable overall, and we

1. Suzuka 8 Hours: Japan's premier motorcycle endurance road race held since 1978.

2. Mt. Fuji Ascent Race: Officially, the "Mount Fuji Ascent Light Motorcycle Race," was held four times between 1953 and 1956 and was the largest motorcycle race in Japan at the time. Yamaha Motor began participating from the 3rd race and won it two years in a row.

3. MotoGP: The premier world championship of motorcycle road racing that began in 1949. As the pinnacle of two-wheeled motorsport, the fastest riders and most advanced bikes compete.

From the President

plan to continue pursuing our premium model segment strategy in each region. I realize that doing so will require us to incorporate even more technologies that set our products apart as premium offerings, and specifically, this entails tailoring those elements to what each market is looking for. We are strategically allocating management resources toward this goal and adopting a medium- to long-term perspective for when these initiatives are likely to generate results. Until then, as with the Marine Products business, we will use the recent organizational restructuring to implement cost structure reforms. We anticipate results to first materialize in our priority markets of Indonesia, India, and Brazil.

Among our strategic businesses, the Robotics business is starting to show signs of a turn to profitability following a streamlining of its cost structure. However, further growth will require investments in generative AI applications and semiconductor back-end processing. Additionally, we must carefully determine how much capital to invest in expanding the Robotics business from the perspective of total optimization. We will examine the optimal allocation of resources, including consideration of how much we should handle in-house.

In the Smart Power Vehicle (SPV) business, we acquired the e-Kit subsidiary of German automotive parts manufacturer Brose in 2025, but post-merger integration is taking longer than anticipated. Our strategy for overseas markets of rolling out eBike drive units rather than complete build-up eBikes will remain unchanged. By establishing a development base in Europe—the largest market for this product category—and leveraging the network we have acquired from Brose, we aim to strengthen our market presence in the region.

In the Outdoor Land Vehicle (OLV) business, although the all-terrain vehicle (ATV) segment is performing steadily, the recreational off-highway vehicle (ROV) segment requires significant shoring up. Although this is a segment that has pursued excitement in the unique style of Yamaha Motor, we are considering a strategy of selection and concentration, including reviewing the current direction of development efforts. We plan to announce related measures at the earnings presentation for the second quarter of fiscal 2026.

Our Multi-Pathway Approach

Flexibly Prioritizing Resource Allocation Based on Individual Characteristics

We are considering a wide range of options for achieving carbon neutrality by 2050, including the use of sustainable fuels. However, as I have mentioned elsewhere, I see our multi-

pathway approach only as a waypoint to our final destination of electric vehicles (EVs).

Once the challenges around charging infrastructure, maximum range, product pricing, and government subsidies are settled, the path toward EV adoption will become clearer. Over the short to medium term, however, the optimal solution differs depending on the region and the timing. To adapt to these conditions, it is crucial that we be ready to choose the best option in each case.

For motorcycle power units, along with the issue of selecting the optimal battery type, different cell configurations can dramatically increase the flexibility of power output characteristics. This makes it essential to identify common technical requirements for handling such units. Moreover, when selecting partners, it will be key to have a clear idea of how much to keep in-house and what should be done with external collaborators. We have been involved in the EV sector in India for some time, and announced two electric scooter models for the Indian market in 2025. We will continue looking ahead as we use our time efficiently to build technological advantages.

To Our Shareholders and Investors

Driving Transformation with Determination to Achieve Medium- to Long-Term Growth

Over the past year, I have felt shareholders' and investors' high level of interest in Yamaha Motor firsthand.

I fully understand the importance of management that is mindful of the cost of capital and the stock price. I therefore believe in the importance of transparently communicating our current activities to the stock market so that evaluations are properly reflected in our share price.

Yamaha Motor is in the middle of a major transformation. While conditions remain challenging for generating results, we are reviewing our organizational framework, corporate culture, and business structure as we steadily push forward initiatives in order to be a strong, robust company that adapts quickly to change.

These moves are not intended to improve business performance for just a single year; they are designed to transform us into a company capable of withstanding future changes in our operating environment. I hope shareholders and investors will come to understand our thought processes and approaches through this year's integrated report, and get a clearer picture of our potential for medium- to long-term growth. We will continue to value dialogue with shareholders, investors, and all other stakeholders as we work to enhance our corporate value.



Value Creation Story

By expanding human possibilities and delivering products and services that create *Kando*, we strive to achieve sustainable growth while contributing to a better society and more fulfilling lives. In 2026, we established an organizational structure of three management committees—Technology, Manufacturing & Procurement, and Marketing—each chaired by an internal director. By strengthening collaboration between these committees, we will enhance the quality and speed of Companywide decision-making and further improve business execution capabilities.

Corporate
Mission

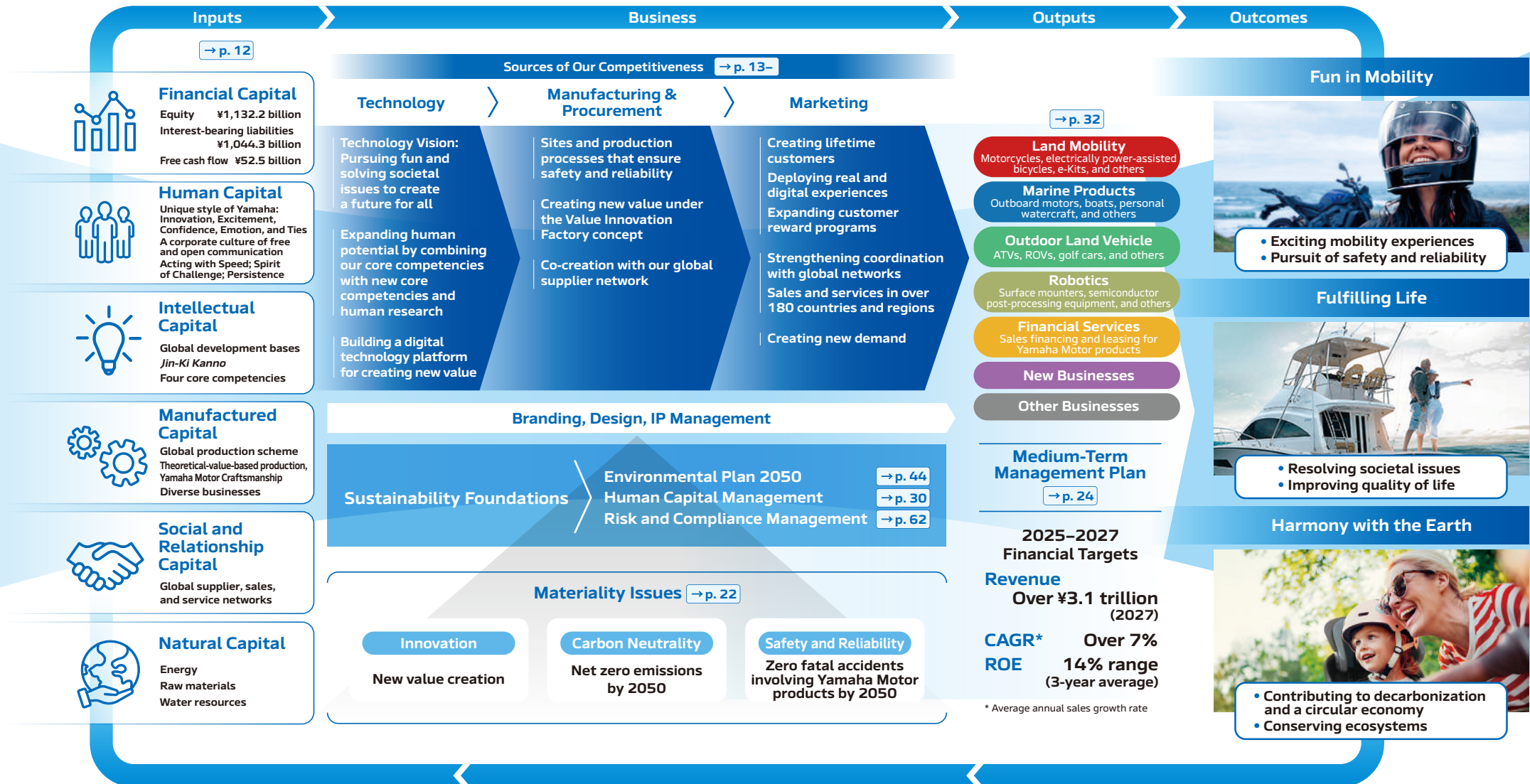
Kando Creating Company

Offering new excitement and
a more fulfilling life for
people all over the world

Long-Term Vision for 2030

ART for Human Possibilities

Let's strive for greater happiness



Capital Input

Type of Capital	Characteristics (Strengths)	Challenges to Overcome	Strategies and Steps for Enhancing Capital	Goals and Indicators
Financial Capital	• Sound financial foundations • Ability to generate stable cash flow	• Maintaining stable ROE at a high level • Conducting management where all businesses exceed the hurdle rate	• Strengthen the earning power of core businesses • Explore opportunities for expanding capital investment and M&As for business growth	2027 • Revenue: Over ¥3.1 trillion • Operating profit margin: Over 9% 2025–2027 Average • ROE: 14% range • ROIC: 8% range • ROA: 9% range
Human Capital	• Human resources who boldly take on ambitious goals • Human resources who embody the unique style of Yamaha Motor: Innovation, Excitement, Confidence, Emotion, and Ties 2025 • Number of employees (consolidated): 55,176 • Local hiring for core positions outside Japan: 56.4%	• Improving employee engagement • Developing the next generation of management talent globally • Increasing the ratio of women managers	• Talent management • <i>Monozukuri</i> specialist development • Diversity, Equity, Inclusion • Next Kando Actions	2027 • Positive engagement score of 80% or higher • Timely and appropriate promotion of capable talent • Global ratio of women managers: 13%
Intellectual Capital	• Primary development bases: 21 • Global development bases that rapidly reflect local needs in products • <i>Jin-Ki Kanno</i>, our unique development philosophy  • Four core competencies  and human research  • Creation, protection, and utilization of intellectual property in the unique style of Yamaha Motor	R&D • Acquiring new core competencies IP • Mechanisms to drive innovation	R&D • Strengthen R&D for new core competencies • Total R&D expenses during the Medium-Term Management Plan of at least ¥490.0 billion IP • Use intellectual property analysis to assess where our technologies are at the forefront and areas where we can expand the markets we serve • Expand the invention bonus system	• Achieve the Technology Vision • Ensure value creation and competitive advantages based on business strategies for each country and region
Manufactured Capital	• Ratio of overseas production: Over 80% • Theoretical-value-based production • Yamaha Motor Craftsmanship 	• Strengthening our stable foundation in terms of number of units, people, equipment, and quality • Improving both productivity and engagement • Globally unifying and standardizing systems and rules	• Promote Value Innovation Factory activities 	• Flexibly realize the Global One Factory concept, with factories in each country complementing each other's capabilities
Social and Relationship Capital	• Overseas sales ratio: 90% or higher • Operations in over 180 countries and regions • Ranked 27th in Best Japan Brands 2026	Customers • Further improving the value in customer experiences Suppliers • Further strengthening the management foundations of suppliers • Promoting stronger, more sophisticated efforts by suppliers to respect human rights	Customers • Ramp up combined real and digital experiences Suppliers • Improve profitability, growth, and robustness through co-creation • Communicate and promote understanding of respect for human rights • Conduct due diligence for human rights and strengthen responses based on the results	Customers (2027) • Yamaha Motor ID: 12.8 million registrants • Customer reward programs: 5 countries/regions Suppliers • Minimize human rights risks
Natural Capital	• Renewable energy facilities introduced in 14 countries and regions • Eight electric motorcycle models launched • Multi-pathway initiatives	Scope 1 and 2 • Reducing CO₂ emissions at worksites Scope 3 • Commercializing electric models	Scope 1 and 2 • Minimize energy consumption through the theoretical-value-based energy approach • Expand use of renewable energy Scope 3 • Develop and sell electric models, energy-saving models, and alternative fuel-compatible models	Scope 1 and 2 • 74% reduction by 2027 (per unit of sales revenue; compared with 2010) • Ratio of electricity generated from renewable energy sources: 15% • Achieve carbon neutrality by 2035 Scope 3 • Achieve carbon neutrality by 2050 Use of Sustainable Raw Materials • 18% by 2027 • 100% by 2050

Sources of Our Competitiveness

Branding

We believe that by further raising the value of the Yamaha Motor brand and highlighting its worth, we can achieve our Corporate Mission to be a *Kando* Creating Company and strive for greater happiness in accordance with our Long-Term Vision for 2030. Furthermore, through branding that amplifies Yamaha Motor's unique creativity and fosters deeper connections with customers, we strengthen our competitiveness and enhance corporate value.

Strengths and Characteristics

- A global business footprint spanning more than 180 countries and regions
- Strong customer engagement through products, motorsports, and experiences
- The creation of unique value through the integration of design, technology, and experiences

Challenges

- Strengthening the consistency of brand communications and activities across the global organization
- Bolstering strategic communications

Promoting Corporate Branding—Building Employee Understanding of the Brand and Encouraging Action

Our brand is one of our most important assets and a key driver of sustainable corporate value. Through our motorcycles and other products, we have inspired customers around the world with moments that move both mind and body—moments born from the active pursuit of challenges—and the special form of excitement and satisfaction we call *Kando* that arises from those experiences. As a brand that encourages people to enjoy life, we strive to build lasting relationships with stakeholders through the ongoing accumulation of such *Kando* experiences.

To strengthen the consistency of our branding activities as our businesses and customer touchpoints continue to diversify globally, in 2026 we established the Brand Section, which reports directly to the President. By establishing an integrated framework for corporate and branding activities, we are optimizing previously fragmented efforts while strengthening stakeholder communications. The Brand Section is responsible for the centralized management

of brand assets, communications with internal and external stakeholders, and the creation of brand experiences, driving initiatives that combine global consistency with speed of execution. Through communications and the delivery of brand experiences, we also seek to foster greater affinity for and attachment to Yamaha Motor and deepen our relationships with stakeholders.

Furthermore, under the leadership of the Brand Section, we will further advance the Companywide Next *Kando* Actions project, which began in 2024. This project aims to boost employees' understanding of the values that have guided Yamaha Motor since its founding and encourage actions that lead to new forms of *Kando*. Through initiatives toward developing a consistent corporate brand centered on this project, in a way that reaches a broad range of internal and external stakeholders, we seek to enhance corporate value through the sharing of *Kando* experiences and by fostering greater affinity for the Company.

Next Kando Actions

Internal



Experiential opportunities for employees



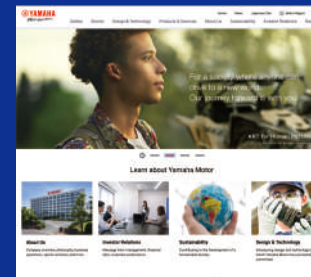
Internal communications and brand-related training



Community contributions



Building brand touchpoints



Brand communications through media

External



Motorsports activities and sports sponsorships

Design

Guided by our unique development philosophy of *Jin-Ki Kanno*, Yamaha Motor's design activities aim to create the special form of excitement and satisfaction we call *Kando*—experiences that remain in people's memories for a lifetime. Through close cooperation between our business, technology, and development teams, we advance forward-looking initiatives that bring research-driven possibilities to life through prototypes. At the same time, we develop new design paradigms that inform our medium- to long-term design strategies. By carrying out these activities in collaboration with our design centers around the world, we aim to create new value that addresses the latent needs of customers in each market.

Strengths and Characteristics

- A consistent design philosophy passed down since the Company's founding
- An advanced development process closely integrated with business and product development
- A global design network spanning six locations worldwide

Challenges

- Strengthening brand management through design across all business operations
- Developing design roadmaps tailored to the characteristics of each market
- Expanding advanced design capabilities to showcase emerging technologies

Creating Base Models for the Next Stage of Yamaha Motor Design

As part of our product design strategy, we created the EV series prototyping project to bring new EV technologies to life through design. Drawing on the performance characteristics of three distinct EV types, as well as Yamaha Motor's design track record, we developed a new design logic that expresses a distinct vision for the future of mobility.

The headlight design, which is crucial in shaping the overall impression of the model, combines a slender, refined profile accented by a cyan color scheme. This design is common to all three EV types. Together, these elements convey a consistent and forward-looking aesthetic with the potential to establish a new iconic status.



Auto Color Awards 2025 Grand Prix

The color design of Yamaha Motor's YZF-R3 and YZF-R25 motorcycles received the Grand Prix at the Auto Color Awards 2025, presented by the Japan Fashion Color Association (JAFCA) in recognition of its outstanding color design in mobility. This is only the second time a motorcycle has received the award's highest honor, with Yamaha Motor winning on both occasions.

The selected Matte Pearl White model features a combination of white and blue pearlescent pigments, a rare and ambitious application for a mass-production model. Its appearance changes dramatically depending on the angle of light and time of day, thereby embodying the *Jin-Ki Kanno* philosophy by appealing directly to human sensibilities.



Yamaha PAS Life Online Community

Yamaha PAS Life, Yamaha Motor's online community platform, received the Good Design Award 2025 presented by the Japan Institute of Design Promotion. This platform was created to foster new relationships between Yamaha Motor and everyone involved with PAS—our series of electrically power-assisted bicycles.

By expanding the relationship between the Company and its customers beyond products to embrace lifestyles and ways of living, the platform creates a cycle in which participants connect, learn, and co-create beyond traditional boundaries or roles. Through these efforts, it contributes to the realization of a safe, secure, enjoyable, and sustainable mobility society.



GOOD DESIGN
AWARD 2025

Intellectual Property

In January 2025, we established the Global Risk, Compliance, Legal and IP Center and the IP Strategy Division to better promote intellectual property strategies on a global basis and to create, protect, and utilize intellectual property rights in the unique style of Yamaha Motor. Through these efforts, we will use our intellectual property to raise corporate and brand value and fulfill our Corporate Mission to be a *Kando* Creating Company.

Strengths and Characteristics

- Use of IP landscapes to support management decision-making and strategy formulation
- IP mixes that combine patents, design rights, trademarks, and other forms of intellectual property in line with business strategies
- IP KPIs (i.e., our share of important patents) for securing competitive advantages in the Motorcycles and Marine Products businesses
- Leveraging our IP portfolio globally

Challenges

- Effectively utilizing invention bonuses to drive sustainable innovation
- Stimulating the generation of inventions in new core competency areas
- Strengthening IP governance to accelerate the globalization of development

IP Activity Policy and Companywide Management Framework

Four Pillars of Intellectual Property Activities

- 1 Move one step ahead of conventional intellectual property activities that consist primarily of intellectual property creation linked to product and technology development in existing businesses
- 2 Pursue intellectual property activities that preempt technological developments and the expansion of business areas by looking beyond our existing technologies and markets
- 3 Indicate advanced fields that target further preemption and business area expansion through analysis of the intellectual property landscape
- 4 Contribute to management decisions and strategy formulation from the perspectives of intellectual property analysis and market and technological growth analysis

Under the banner of “IP for Business,” i.e., IP activities that support business competitiveness, our IP departments are proactively involved in upstream business activities through the implementation of the IP activity policy described above. In addition, we promote the strategic use of “IP mixes” that combine patents, design rights, trademarks, and other forms of intellectual property in alignment with our business strategies. For example, for products distinguished by Yamaha Motor’s signature design, we actively pursue not only design rights covering their appearance but also patent rights that protect the technical aspects underlying that appearance. By protecting our products and services from multiple intellectual property perspectives, we strengthen the foundations of our business.



Key Measures in the Medium-Term Management Plan

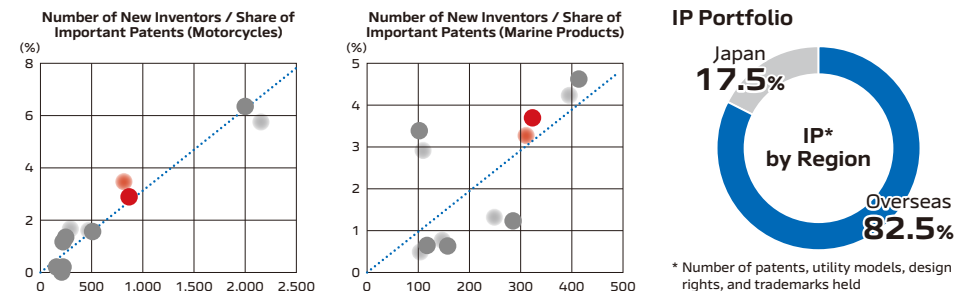
Under the Medium-Term Management Plan, we are promoting key initiatives based on an integrated cycle of (1) IP analysis, (2) KPI evaluation, and (3) Invention incentives. We (1) Use IP analysis to identify fields we can pioneer with forward-looking technologies or fields primed for growth in specific markets, then (2) Strategically set and evaluate IP KPIs in those fields, and (3) Drive technological development through the invention bonus system. Through this cycle, we will take the lead in generating inventions that create new value. In our IP KPIs, we emphasize market impact, such as by using the average annual number of citations received by each invention. In addition, we expanded our invention incentive program in 2025 to provide financial incentives for selected inventions with high KPI scores, regardless of whether they had been incorporated into products. The same KPIs also serve as the selection criteria when identifying key patents, as described below.

IP KPI Evaluation in Two Core Businesses:

Share of Important Patents and Number of New Inventors

As shown below, the Motorcycles and Marine Products businesses—core businesses in our portfolio—rank highly in both share of important patents and the number of new inventors, securing a significant advantage in patent creation efficiency over competitors.

→ p. 46 Leveraging Intellectual Property Analysis



Shading indicates trends from published data for 2025.

Notes: 1. Number of new inventors: Cumulative total of new inventors who filed applications since 2014.

2. Share of important patents: Percentage of patents in the top 5% of the annual average number of citations in a specific population.

3. The dotted line indicates the average of competitors in terms of efficiency in generating important patents.

4. Indices are based on data from Establishment of KPIs, etc. for Intellectual Property in Accordance with the Revision of the Corporate Governance Code (Interim Report) (IFI Working Paper; 2022) and other materials.

Research and Development

Guided by our Technology Vision—Pursuing fun and solving societal issues to create a future for all—we are further developing the core competencies we have cultivated over many years while strengthening three new core competencies: intelligent systems, energy management, and software services. By combining these competencies with “human research,” we acquire new technologies with the potential to contribute to our businesses. We then apply the resulting insights in products and services, thereby creating value that truly meets people’s needs.

Strengths and Characteristics

- New value creation from combining our existing core competencies
- Multi-pathway pursuits that include electrification and hydrogen power
- *Jin-Ki Kanno* development ideal that creates joy and exhilaration for users

Challenges

- Delivering value through the advancement of new core competencies
- Creating future value and differentiation through human research
- Creating new value through the integration of core competencies and advanced technologies

Technology Vision and Companywide Technology Strategy

Core Competency Initiatives

We continue to advance our core technologies, in powertrains, chassis and hulls, electronic control, as well as manufacturing technologies, which we have cultivated over many years through our core businesses. By further refining these core technologies to ensure they remain a source of future earning power and combining them with new core technologies, we continue to create corporate value.

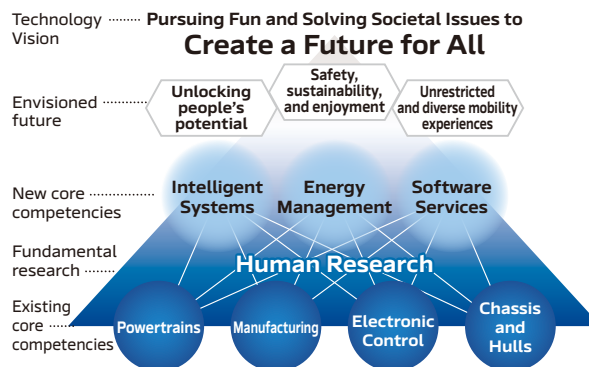
Acquiring New Core Competencies

In the intelligent systems domain, we are incorporating research outcomes into product development through autonomous control and AI applications in real-world operating environments, building the implementation capabilities needed to strengthen our future competitiveness.

In the energy management domain, we are expanding our technological options for electrification and decarbonization while further advancing technologies that enable energy to be used with maximum efficiency in the most appropriate way.

In the software services domain, we are developing innovative software services that combine attractive products with distinctive software services. This approach enhances the value of our products and services, deepens customer experiences, and strengthens business competitiveness.

Human research is the foundation for value creation in these three new core competencies. This research focuses on understanding people and exploring human potential. We seek to develop technologies that work in harmony with our emotions and sensibilities, and gain insights that contribute to the creation of *Kando*.



Close-Up >>> Models Exhibited at the Japan Mobility Show 2025

MOTOROiD:A

MOTOROiD:A is our mobility concept for a vehicle capable of autonomous operation using intelligent systems technologies powered by AI. Mobility with the ability to think independently and grow together with people has the potential for creating new relationships between people and machines.



TRICERA proto

TRICERA proto is a three-wheel, open-top electric autocycle that explores new ways to enjoy driving. We have applied a human research perspective in tuning its steering control system to maximize driver enjoyment, enabling drivers to feel more at one with the machine.

Three Electric Motorcycle Models

We are developing a series parallel hybrid electric vehicle (SPHEV), a plug-in hybrid electric vehicle (PHEV), and a large electric motorcycle through R&D that combines our core competencies with electrification technologies, proposing a balance between pursuing enjoyment and reducing environmental impact.



Procurement

Procuring a diverse range of quality parts and materials with a global perspective is crucial for Yamaha Motor to continue delivering unique, high-performance, high-quality products that offer new excitement and a more fulfilling life for people all around the world. We proactively communicate with our suppliers in order to build stronger relationships of trust, and engage in *Monozukuri* with a spirit of co-creation that enhances the corporate value of all parties.

Strengths and Characteristics

- Co-creation based on relationships of trust with suppliers
 - *Monozukuri* procurement using theoretical-value-based approaches
 - Human resource development to support quality, delivery, and cost in the supply chain

Challenges

- Enhancing corporate value for both Yamaha Motor and its suppliers, and strengthening cost competitiveness through co-creation
- Advancing sustainability throughout the supply chain

Approach to Procurement Based on a Spirit of Co-Creation and Key Measures

We define uniquely Yamaha Motor co-creation as activities that not only raise our global competitiveness but also earn the respect and appreciation of society and enhance our corporate value as well as that of our suppliers. We will deepen co-creation with suppliers to achieve mutual growth based on the three key areas of focus: Profitability, Growth, and Robustness. For Profitability, we pursue cost optimization based on a

theoretical-value-based approach, develop technologies that offer attractive benefits, and work to strengthen stable procurement and resilience. For Growth, we deepen collaboration from the upstream stages of development to drive new value creation and expansion into new business fields. For Robustness, we place the highest priority on compliance, promote fair trade, and thoroughly address social issues, including carbon neutrality initiatives, with the aim of building sustainable relationships with suppliers.

▶ Please visit our website for more information on our procurement policy.

Profitability

Strengthening existing businesses

Advancing *Monozukuri* through a theoretical-value-based approach

Growth

Driving new value creation

Pursuing more sophisticated co-creation

Robustness

Promoting sustainable management

Responding to laws, regulations, and societal expectations

Status of Initiatives

Reassessed competitiveness and promoted the adoption of a theoretical-value-based approach, resulting in stronger *Monozukuri* and cost innovation. Continued efforts to ensure stable procurement and strengthen resilience, including preparations against cyberattacks and geopolitical risks.

Expanded matching opportunities with suppliers' technologies and increased opportunities for collaboration from the upstream stages of development.

Promoted fair trade, expanded carbon neutrality initiatives, and updated the Sustainability Guideline for Suppliers to ensure effective responses to legal and regulatory requirements as well as societal expectations.

Procurement Promotion and Management Structure

Yamaha Motor operates 18 procurement locations worldwide. Under a management structure comprising headquarters management and procurement leaders from each country/region, headquarters policies and decisions are shared across all locations, strengthening cost reduction and stable procurement, and enhancing governance in terms of ESG issues and risk management. At the global level, we plan and implement key initiatives across locations, including optimal supplier selection, cost reduction, business continuity planning, quality, procurement of indirect materials, sustainability, and digital transformation. Through this process, we address common challenges across locations while promoting greater autonomy and self-sufficiency at

our overseas operations. This structure fosters close collaboration among procurement leaders and core members responsible for implementing specific activities, strengthens the deployment of headquarters policies, and enhances coordination across the organization. In terms of our human capital, we are promoting the appointment of local staff to general manager positions. We have also identified enhancing employee engagement within the procurement function as a key talent development priority. As such, we continue to develop globally capable procurement professionals by expanding opportunities for growth.

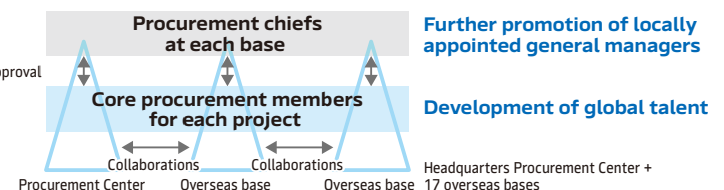
Approval of policies and activities

Deployment of strategies and tactics

Procurement Global Executive Committee

Global activities

Reporting and approval



Close-Up >>> Technical Theoretical-Value-Based Activities

We have been working continuously with suppliers on theoretical-value-based activities for more than 10 years on a global basis. Theoretical-value-based activities are improvement initiatives based on the pursuit of essential functions, absolute-value thinking, and overall optimization from a holistic perspective. This way of thinking is also at the heart of Yamaha Motor's *Monozukuri*. Today, the scope of these activities has expanded beyond manufacturing site improvements to encompass the entire business, including logistics, energy reduction, and back-office operations. We are also extending these efforts to encompass technical theoretical-value-based activities that focus on maximizing the theoretical value of equipment and manufacturing methods to achieve both higher productivity and higher quality. Through these activities, we improve efficiency and optimize costs across the entire supply chain, contributing to a stronger business foundation. In addition to actively promoting co-creation between suppliers and Yamaha Motor, we encourage co-creation among suppliers themselves, which links to strengthening overall competitiveness and creating sustainable value.



Manufacturing

Yamaha Motor is creating new value through the global rollout of its Value Innovation Factory (VIF) approach, which combines the concept of theoretical-value-based production with digital transformation technologies in manufacturing, and places people at the center of value creation. We will continue to practice *Monozukuri* that brings *Kando* to our customers through the creation of new value.

Strengths and Characteristics

Sustainable delivery of *Kando* to customers worldwide through *Monozukuri* that enhances value across four axes.

- Human resource value: People who continue to create value through a theoretical-value-based approach
- Societal value: Achieved carbon neutrality target a year ahead of schedule at factories
- Product value: Communicated appealing quality created by going the extra mile
- Connected value: Achieved seamless connections from the manufacturing site to customers

Challenges

- In Japan: Enhancing our production foundations for greater consistency rooted in stability of units produced, personnel, equipment, and quality
- International: Realizing the Global One Factory concept in which facilities worldwide flexibly supplement each other's production capacity

Theoretical-Value-Based Production as a Source of Competitiveness

Our goal is to deliver the best possible product to inspire *Kando* in our customers. At our production sites, we pursue continuous improvement and transformation every day to achieve this goal. The shared philosophy underlying these efforts is theoretical-value-based production.

This approach defines an ideal state as the “theoretical value,” with only minimal constraints, and uses it to set a desired future state as a medium- to long-term goal. By identifying fundamental issues through the gap between the current state and the desired future state and relentlessly pursuing improvements, this approach generates results that go beyond conventional incremental improvement.

Since its launch in 2004, activities under this approach have steadily improved productivity and shortened manufacturing lead times at production sites in and outside Japan. Over the past 21 years, we have shared our theoretical-value-based approach with suppliers and implemented it in energy management, logistics, and indirect operations, embedding it throughout the Group. As a result, we estimate we have achieved annual cost reductions of more than ¥1 billion in Japan alone. Theoretical-value-based production is a source of competitiveness that underpins our *Monozukuri*.

Production Management Structure (Global Manufacturing Committee)

The Global Manufacturing Committee (GMC) is chaired by the Chief General Manager of the Manufacturing Center, with membership comprising the heads of Yamaha Motor's overseas manufacturing bases. The committee serves as a forum for sharing and aligning manufacturing policies, medium-term strategies, and key initiatives across the global organization to realize *Monozukuri* that delivers *Kando* to customers. Today, its role extends beyond that of a committee, with support for overseas manufacturing sites, previously led by Japan, now carried out through collaboration among GMC members. For

example, our team in Indonesia is supporting improvement activities in India, demonstrating how manufacturing sites complement one another, and share and expand best practices across the global network.

At the annual *Monozukuri* Conference held under the direction of GMC members, we implement the PDCA cycle for our medium-term manufacturing strategy based on GMC policies and promote coordinated activities across all sites to achieve global consolidated targets.

Global One Factory Concept

By standardizing manufacturing systems, processes, and rules across factories worldwide, we aim to create an environment in which all sites can collaborate and complement one another from the perspective of overall optimization, operating as if they were a single factory. This leads to simpler and leaner factory operations and the ability to respond rapidly to changes in market conditions. Our overseas operations are currently working closely together to shorten lead times for new model launches and significantly reduce production preparation workloads. We will continue advancing these initiatives to strengthen our market competitiveness.

Creating New Value through Value Innovation Factory Initiatives

Yamaha Motor is advancing Value Innovation Factory initiatives as part of its evolution toward next-generation *Monozukuri*. Defined as the combination of theoretical-value-based production and digital transformation, these efforts leverage digital approaches to enhance the speed and precision of improvement and management activities, with the aim of achieving innovative *Monozukuri*.

To drive digital transformation at production sites, we believe the most effective approach in terms of speed, quality, and cost is for frontline employees to acquire digital transformation (DX) capabilities themselves. We have therefore been working to develop DX-capable manufacturing personnel. We aim to establish highly capable production sites where employees

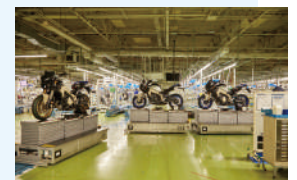
are able to leverage digital technologies themselves to monitor conditions, analyze data, formulate hypotheses, implement improvements, and verify results—completing the entire improvement cycle on their own. As a result, productivity and quality improvements are taking root across our production sites through initiatives such as visualizing production data, improving the quality of metal casting through the use of big data, and implementing automated image inspection.

As of the end of 2025, the number of manufacturing DX-capable manufacturing personnel had reached 178, representing 5% of employees at production sites. In 2024, we launched a digital transformation training program that takes advantage of periods of lower production activity, with the goal of expanding the number of DX-capable manufacturing personnel to approximately 500 by the end of 2027. We will continue to accelerate the implementation of theoretical-value-based production combined with DX initiatives under the banner of a people-centered Value Innovation Factory.

Close-Up >>> Single-Unit-Lot Motorcycle Production

To deliver products to customers in the shortest possible time, we have installed new lines capable of producing all models in single-unit lots. This allows us to produce the desired model in the desired quantity. We have fully automated component transport, supply, and inspection, with the required components automatically delivered from throughout the factory in line with the assembly sequence. We have also adopted a mechanism that automatically adjusts assembly height to match each worker's height and working posture, maximizing ease of operation and work speed while enhancing the value created by people.

In response to a market environment characterized by greater product variety and smaller production volumes, we continue to evolve our *Monozukuri* to achieve both productivity and responsiveness to demand fluctuations.



Marketing

Yamaha Motor has appointed a director responsible for marketing to further strengthen its marketing capabilities and drive the transformation of customer-centric marketing. By accurately understanding changes in customer expectations and behavior, and translating those insights into value creation, we aim to continue delivering even greater *Kando* to our customers.

Strengths and Characteristics

- Sales and services in over 180 countries and regions
- Coordination across our global network and consistent marketing
- Brand strength built on emotional value

Challenges

- Lack of clearly articulated marketing approaches and KPIs
- Lagging behind in digital marketing capabilities
- Overemphasis on product sales

Rebuilding Customer-Centric Marketing—Creating Sustainable Value by Maximizing Customer Lifetime Value (LTV)

To realize our Corporate Mission of being a *Kando* Creating Company, we are transforming Yamaha Motor into a strong, robust company that adapts quickly to change in the external environment while being capable of sustainable growth. As the foundation for this transformation, we are taking a customer-centric approach and enhancing our entire business process by integrating four key competitive strengths: marketing capabilities, product competitiveness, cost competitiveness, and supply capabilities.

At Yamaha Motor, being customer-centric means going beyond outcome indicators such as customer satisfaction. It involves understanding data on customers' behavior, usage patterns, candid feedback, values, and motivations, and incorporating insights gained into business activities through analysis and visual representation. We will use such customer insights as a Groupwide foundation for the promotion of marketing initiatives across all businesses. A particularly important shift is moving the source of competitive advantage from the appeal of the product itself to the value of the experience it provides to customers. Rather than relying solely on superior features and performance, we will redefine the value we provide in terms of the enrichment it brings to customers' lives in order to generate demand. Based on this approach, we will maximize LTV by identifying and delivering a consistent customer experience across every stage of the customer journey, from planning and development, to sales and after-sales service. We also position the acquisition and cultivation of loyal customers who continue to choose Yamaha Motor throughout their lives as a central focus of our marketing transformation. By building ongoing relationships with customers, we aim to strengthen our foundations for growth over the medium to long term and sustainably enhance corporate value.

Marketing Transformation Themes

- 1 Inspiring motivation**
Making life more fulfilling through the enjoyment our products bring
- 2 Supporting the customer experience**
Building relationships where purchase is only the starting point
- 3 Shifting from product choice to brand choice**
Creating a community of Yamaha Motor fans

1. Inspiring Motivation Making Life More Fulfilling through the Enjoyment Our Products Bring

We are shifting from specification-based marketing, which focuses on product features and performance, to value-based marketing that highlights the experiences and fulfillment customers gain through Yamaha Motor products. Rather than simply communicating product advantages, we are redefining why customers choose our products. We do this by focusing on how the experience of using our products contributes to a life that is richer and more fulfilling. Through this value-driven approach, we seek to generate affinity and anticipation in customers' decision-making, create latent demand, foster trust and affinity for the Yamaha Motor brand, and enhance LTV over the medium to long term.



Strengthening the communication of experiential value beyond product specifications



2. Supporting the Customer Experience Building Relationships Where Purchase Is Only the Starting Point

We are shifting from a relationship in which value peaks at the moment a product is bought to one in which value begins with the post-purchase experience. Through ongoing digital support and by providing opportunities for customers to connect, learn, and achieve personal growth, we seek to cultivate relationships that are built on post-purchase experiences. Through the accumulation of these experiences, we aim to inspire customer satisfaction and loyalty, and encourage repeat purchases and broader use of our products, thereby maximizing LTV.



bLU cRU
Supporting amateur racers



My Yamaha Motor
Customer reward program powered by digital engagement

3. Shifting from Product Choice to Brand Choice Creating a Community of Lifelong Yamaha Motor Fans

We aim to evolve from being a company whose individual products are chosen across a diverse product portfolio to one that is chosen for the Yamaha Motor brand itself. By continuing to provide meaningful experiences that evolve as customers age and go through various stages of life, we seek to build long-term relationships. Relationships built on affinity for the Yamaha Motor brand also lead to continued engagement and cross-selling opportunities, increasing LTV and stable revenue generation over the course of a customer's lifetime.



New Ways to Handle Boats with the Helm Master EX Wireless Station



Creating New Experiential Value through Greater Freedom at the Helm

Our Marine Products business is committed to delivering reliability and a richer marine lifestyle while expanding the value of experiences on the water. However, boat handling has traditionally relied heavily on experience and skill, creating significant barriers for beginners and older users. To overcome these challenges, we introduced the Wireless Station, a new Helm Master EX system feature. As the name indicates, Wireless Station makes the boat control system wireless, enabling captains to operate their boats from virtually anywhere on board. This enables better visibility while maneuvering, facilitates communication with passengers, and allows them to enjoy activities such as fishing while remaining in control of the boat. Developed based on customer feedback, the Wireless Station was conceived at our U.S. operations in 2019, with sites in Japan and United States jointly advancing mass-production development from 2021 onward. The handset is lightweight, waterproof, can be operated with one hand, and is designed to float on water. It also has a safety function that automatically stops the outboard motor if the operator or a passenger falls overboard. Commercially launched in 2025, the product is the culmination of Yamaha Motor's decades of expertise in boat control technologies and its commitment to developing solutions to real-world customer needs.

Social Needs

- Reducing operator burden through easier handling
- Lowering barriers to marine leisure

Using Capital and Leveraging Strengths

Intellectual Capital	Expertise in handling, knowledge of sea conditions, and outboard motor control technologies cultivated over more than 60 years in the Marine Products business
Human Capital	Human resources committed to maximizing customer value
Manufactured Capital	Global development framework

Value for Society

- Providing opportunities for beginners and older users to enjoy marine leisure activities with peace of mind
- Providing a more enjoyable boating experience through enhanced handling capabilities
- Contributing to marine conservation by reducing CO₂ emissions through more efficient boat operation

Fun in Mobility Exciting mobility experiences Fulfilling Life Improving quality of life

Technological Innovation Supporting Safe Navigation and Reliability

A key to developing the Wireless Station was maintaining the high levels of safety and reliability that have always been hallmarks of our products. The system features a newly developed wireless man overboard (MOB) detection system that continuously monitors the signal from a tag carried by the operator. If the signal is interrupted because the operator falls overboard, the system automatically cuts the outboard motor's propulsion, helping prevent accidents. The system also works with wearable tags carried by passengers to alert the operator if someone falls overboard, enhancing safety when there are several people aboard. Furthermore, the system disables wireless operation if the MOB tag is not properly connected, further enhancing safety. Continuous monitoring of the wireless connection and a robust control system reduce the burden on the operator associated with the shift to wireless operation.

The system achieves a high level of both convenience and safety, creating a new way to enjoy boating. By delivering a freer and more intuitive boat-handling experience, the Wireless Station creates new value for a wide range of users, including beginners and families. We will continue to drive user-centered innovation to expand the possibilities of marine leisure.

Creating Value through Surveys That Visualize the Value of Natural Capital and Support Its Conservation and Utilization



Unmanned Aircraft and High-Precision Measurement Technologies for Visualizing the Value of Natural Capital

Leveraging our expertise in compact, lightweight engine technologies and control technologies, in 1987 we commercialized the world's first industrial-use unmanned helicopter, the R-50. Since then, as a leader in industrial-use unmanned helicopters for applications such as agricultural spraying, we have helped improve labor efficiency and productivity in agriculture amid declining and aging farming populations. In recent years, we have expanded the use of unmanned aircraft to include survey operations, and began offering forestry surveys in 2019. We have established a highly accurate measurement method. It uses the FAZER R G2 industrial-use unmanned helicopter equipped with LiDAR* to capture detailed information about individual trees and topographic data. We have also built a service platform in collaboration with Yamaha Motor Solutions India, a Group company, to visualize and analyze the vast amount of data acquired through LiDAR. In addition to its use in assessing forest resources and helping to generate carbon credits, we expect these technologies to find applications in a wide range of other fields, including the surveying and preservation of archaeological sites and natural heritage.

* LiDAR (Light Detection and Ranging): A technology that uses laser light to precisely measure the distance to and shape of objects based on the time it takes for the reflected light to return

Application in the Carbon Credit Sector to Support Natural Capital Conservation

As part of our efforts to properly evaluate the value of forests and promote their conservation, we began expanding into the carbon credit sector in 2025. Forests are an important form of natural capital. They support a sustainable society by providing not only timber resources, but also a wide range of ecosystem services, including CO₂ absorption, biodiversity conservation, water resource protection, and disaster risk mitigation. However, such value can be difficult to quantify and is therefore not always fully recognized. We use high-precision measurement technologies to assess forest conditions objectively and efficiently. By applying the

Social Needs

- Data utilization for the preservation of forests and other natural heritage
- Demand for data to support disaster prevention and mitigation through rapid, large-area terrain mapping
- Improving labor efficiency and resource management in agriculture and forestry

Using Capital and Leveraging Strengths

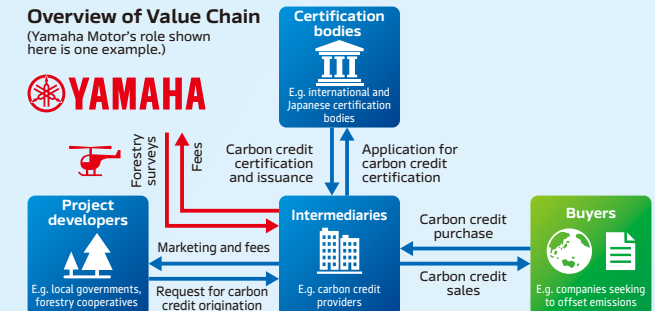
Intellectual Capital	Compact, lightweight engine technologies and control technologies cultivated through our diverse product portfolio
Human Capital	Group companies with the Spirit of Challenge for developing new businesses and advanced technological capabilities
Social and Relationship Capital	Industry-academia-government collaboration leveraging unmanned aircraft and LiDAR

Value for Society

- Contributing to the reduction of natural disaster risks
- Preserving natural and cultural heritage around the world
- Enabling sustainable resource management by visualizing natural capital

Fulfilling Life Resolving societal issues Harmony with the Earth Conserving ecosystems

Overview of Value Chain (Yamaha Motor's role shown here is one example.)



resulting data to estimate forest resources and CO₂ absorption, we help with sustainable forest management and the generation of carbon credits. Through these efforts, we are able to visualize the environmental value of forests and promote conservation activities based on that value.

Helping to generate carbon credits and conducting archaeological surveys are just two examples of how our measurement technologies can contribute to resolving societal issues. We will continue contributing to the preservation of natural capital and cultural heritage through high-precision measurement technologies and data utilization, thereby helping build a more sustainable society.

Materiality Issues

Materiality Issues in Realizing Our Value Creation Story

In 2024, with a view to realizing our Long-Term Vision for 2030, we reassessed our value creation story and important societal issues (i.e., materiality issues). In redefining our value creation story, we updated our materiality issues so as to focus on maximizing corporate value while ensuring harmony with society and the global environment. Our materiality issues were determined based on our Long-Term Vision. Moreover, measures to address them have been reflected in the Medium-Term Management Plan launched in 2025.

Process for Identifying Important Societal Issues

STEP 1 Revisiting our value creation story based on our history of value creation, Corporate Mission, and Long-Term Vision

We looked back on the social value created by Yamaha Motor since its founding in 1955 and discussed the corporate culture and accumulated assets (inputs) that are the source of value creation. We also reassessed our value creation story to better align with our Long-Term Vision and Corporate Mission, taking into account shifts in the external environment and dialogue with shareholders, institutional investors, and other stakeholders.

STEP 2 Identifying materiality issues on the way to delivering outcomes from our value creation story

To achieve the three goals defined in the value creation story, senior management (including the President and Representative Director) discussed the Company's key issues from the perspective of sustainable development for both society and Yamaha Motor. Based on societal expectations and demands, as well as risks and opportunities in the market, we identified innovation, carbon neutrality, and safety and reliability as priority material issues.

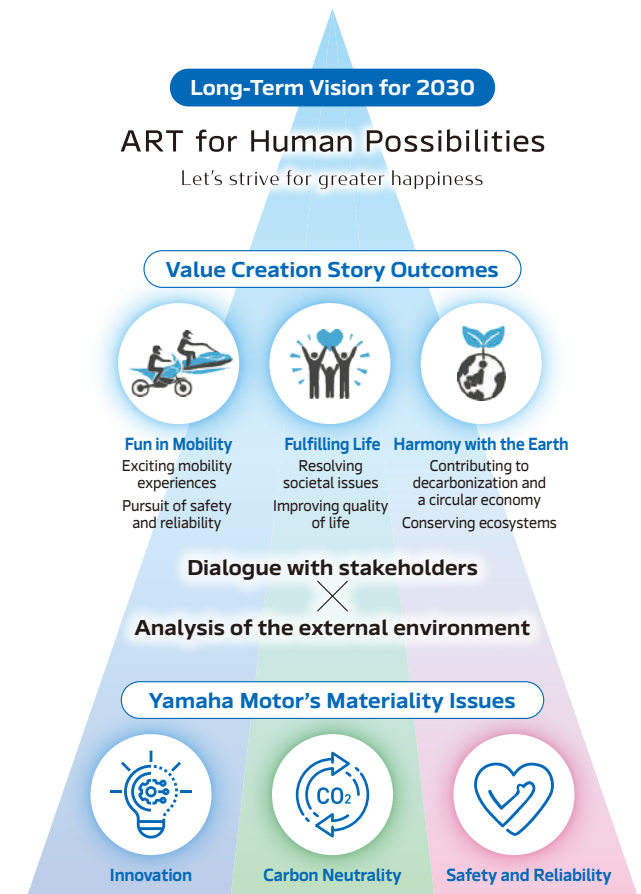
STEP 3 Consultations with the Sustainability Committee, outside directors, and experts to verify validity

To validate our materiality issues, we sought input from external experts and held discussions with employees. Ultimately, after multiple rounds of intensive discussions by the Sustainability Committee and the Executive Discussion Meeting (whose members include outside directors), the value creation story and materiality issues were finalized by senior management (including the President and Representative Director).

STEP 4 Board resolution on materiality issues

Following consultations at the Sustainability Committee and the Environment Committee (both advisory bodies to the Management Committee), the issues were deliberated upon by the Management Committee, and approved by the Board of Directors.

The status of sustainability management—including the results of environmental management initiatives, progress in improving the corporate culture to accelerate human capital management, and the overall progress and results of risk and compliance management—is used as an evaluation metric for Companywide performance-based compensation for directors, including the President and Representative Director but excluding outside directors.



► Please refer to our website for a comprehensive list of targets, initiatives, and results for all materiality issues.

Key Materiality Issues		Vision for 2030	Medium-term targets (2025–2027)	Results (2025)
 Innovation Creating value with customers Risks Reduced competitiveness in the market and business environment Opportunities New mobility demand, including for vehicles incorporating CASE¹ technologies and for mobility as a service (MaaS)	Motorcycles	Through digital services, foster lasting connections with customers	(1) Number of countries with customer reward programs: 5 total (2) Establish customer database at dealerships Number of Yamaha Motor IDs (cumulative): 12.8 million registrants	(1) Number of countries with customer reward programs: 1 (Philippines) (2) Number of Yamaha Motor IDs (cumulative from 2020): 8.2 million
	Marine Products	Enhance customer experiences by evolving into an integrated boat business	(1) Expand peripheral products and services for boats (2) Broaden the scope of business services across the entire marine products ecosystem Compound annual growth rate (CAGR) of parts and service sales: 12%	(1) • Introduced the Wireless Joystick, which enables steering control from anywhere on board, not just from the helm station • Introduced the next-generation HARMO electric boat control system in Japan (2) • Introduced Siren 3 with expanded compatibility across connected products • Established Yamaha Motor Connected Innovation (YMCI) in Finland, a new company for digital platform and connected technology development • Compound annual growth rate (CAGR) of parts and service sales: 6.7% (compared with 2024)
 Carbon Neutrality Reducing CO₂ emissions Risks Tightening of regulations and declining sales due to global warming Opportunities • Responding to diverse external changes through a multi-pathway approach • Increased demand in new areas through biofuel and carbon-neutral fuel technology development	Scope 1 and 2	80% reduction (per unit of sales revenue; compared with 2010)	(1) 74% reduction (per unit of sales revenue; compared with 2010) (2) Expand use of renewable energy: 15% or higher	(1) 73% reduction (per unit of sales revenue) (2) 11% → p. 45
	Scope 3 Category 11		13% reduction (emissions intensity; compared with 2024) → p. 45	
	Motorcycles	Strengthen lineup in the commuter and recreational segments	(1) Launch multiple new platform models (2) Develop and introduce three new engine models with improved fuel efficiency	(1) 2 models: CUXiE (Launched in Taiwan in September 2025) JOG E (Advance launch in Japan in December 2025) (2) 4 models under development
	Marine Products	Electrification of 5% of all outboard motor models in developed countries	(1) Expand sales of electric outboard motors manufactured by Torqeedo GmbH Share of outboard motors sold in developed countries: 4% of total units	(1) 3.65%
 Safety and Reliability Zero fatal accidents involving our products Risks Rising number of traffic accidents Opportunities Increased demand for existing forms of mobility	Motorcycles	Develop products and services centered on technologies, user skills, and connectivity	(1) Continue development of advanced rider assistance systems (ARAS) (2) Expand Yamaha Riding Academy (YRA) Participants: 360,000 across 6,600 sessions in 32 countries (3) Number of downloads of Y-Connect vehicle connectivity app (cumulative): 8.4 million (2027)	(1) TRACER9 GT ABS and TRACER9 GT+ Y-AMT ABS: Equipped with Matrix LED headlights (a world first for a motorcycle ²), an Emergency Stop Signal (ESS) system, and the Yamaha Variable Speed Limiter (YVSL) (2) Participants: 159,000 across 2,111 sessions in 35 countries (3) Number of downloads (cumulative): 6.1 million
	Marine Products	Introduce products and services aimed at achieving zero accidents during boat operation	(1) Introduce and promote overboard detection systems for boat passengers	(1) Introduced the Man Overboard (MOB) system → p. 20

1. CASE: Connected, Autonomous, Shared and Service, Electric
2. Yamaha Motor data (As of February 2025)

Summary of Medium-Term Management Plan (2025–2027)

Drawing on the achievements and lessons learned during the three-year period from 2022 to 2024, we formulated a new Medium-Term Management Plan for the period starting 2025. Guided by our Corporate Mission to be a *Kando* Creating Company, we are working toward realizing our Long-Term Vision—ART for Human Possibilities. To that end, our current Medium-Term Management Plan is built around three key pillars: stabilizing business profitability, advancing technological innovation, and improving responsiveness to market needs.



Results under Previous MTP

The basic policies of the previous medium-term management plan were to strengthen the earning power of our core businesses, invest in new and growing businesses that contribute to the creation of a sustainable world, and accelerate digital initiatives and co-creation to boost our growth potential. In our core businesses, return on sales (ROS) improved through the expansion of the Marine Products business and enhanced profitability in motorcycles for emerging markets, while challenges remained in new and growth businesses.

Business portfolio	Core	ROS improvement from expansion of Marine Products and stronger profitability of Motorcycles in emerging nations • ROS 2022–2024 average: Plan 11% ➔ Actual 13%
	New/Growth	Slump in growth businesses from sudden market slowdown due to change in supply-demand balance • 2022–2024 growth business CAGR: Plan 19% ➔ Actual -4% • 2022–2024 new business revenue: Plan ¥30 billion ➔ Actual ¥3 billion
	Structural reforms	Business reorganization and Group company merger • Reorganization of power product, pool, and snowmobile businesses • Absorption-type merger of Yamaha Motor Electronics Co., Ltd.
Initiatives to achieve carbon neutrality		Introduction of renewable energy facilities and promotion of multi-pathway initiatives • Scope 1 and 2 emissions reductions vs. 2010: 72% • Market launches of eight electric motorcycle models, development and exhibition of hydrogen engine outboard motors
Digital transformation strategy		Building the foundation for reforming management platforms • Worldwide deployment of management dashboard
Human resources strategy		Promotion of DE&I and talent development • Headquarters engagement score: Plan 70% ➔ Actual 63%

Changes in External Environment

- Increased market volatility
- Acceleration of digital initiatives
- Climate change
- Diversification of values
- Greater polarization

Key Challenges Identified

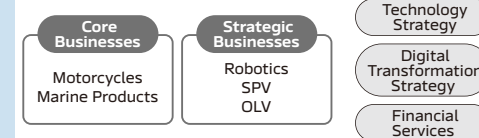
- Stabilizing business profitability
- Strengthening in-house capabilities to respond to accelerating technological innovation
- Accelerating decision-making to respond promptly to market needs

Summary of Medium-Term Management Plan (2025–2027)

Basic Policy Raise the competitiveness of our core businesses, acquire new technologies that expand human possibilities, and take on uniquely Yamaha Motor challenges to create a world where people live in happiness and coexist in harmony with the environment.

Our business portfolio strategy identifies core and strategic businesses for us to focus on. We will strengthen competitiveness in these businesses through our technology strategy, digital transformation strategy, and Financial Services business, as the platform for our next stage of growth. We will expand capital investments to build the foundation for business growth toward 2030 and accelerate digital transformation, while also exploring M&A opportunities. Moreover, we will further strengthen our sustainability foundations in order to achieve sustainable growth and enhance corporate value.

Business Portfolio Strategy



Financial Strategy

R&D and Capital Expenditures Cash Allocations

Sustainability Foundations



KPIs for 2027

Share of Motorcycle Premium Segment	42%
Large Outboard Motors Sales Ratio	32%
ROS in Core Businesses	14%
Capital Expenditure	1.3 times previous plan
M&A Funding Limit	¥300 billion

Financial Indicators

Fiscal 2024 Results

Growth Rate	Revenue		
	2024 ¥2.6 trillion	CAGR 12%	
Profitability (Three-Year Average)	Operating Profit Margin 9.1%		
Efficiency (Three-Year Average)	Capital Efficiency		
	ROE 14.6%	ROIC 8.8%	ROA 9.5%
Shareholder Returns (Three-Year Period)	Total Payout Ratio		
	46.9%		

2025–2027 Targets

Growth Rate	Revenue		
	2027 Over ¥3.1 trillion	CAGR Over 7%	
Profitability (Three-Year Average)	Operating Profit Margin		
	Over 9%		
Efficiency (Three-Year Average)	Capital Efficiency		
	ROE 14% range	ROIC 8% range	ROA 9% range
Shareholder Returns (Three-Year Period)	Total Payout Ratio		
	Continuous and stable shareholder returns Over 40% cumulative total for the three-year period		

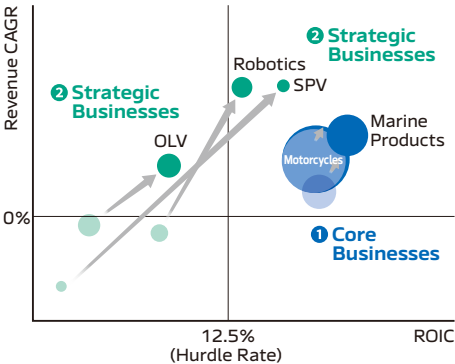
(Exchange rate assumptions: USD 1:JPY 145; EUR 1:JPY 155)

Note: Projected medium-term WACC in 7% range (including Financial Services)

Business Portfolio Direction

We manage our business portfolio using revenue growth rate and ROIC as key performance indicators. Moving forward, we aim to achieve a portfolio in which all businesses exceed our hurdle rate.

Under the current Medium-Term Management Plan, we position our core Motorcycles and Marine Products businesses as the primary drivers of growth and are working to further reinforce their competitiveness. Through focused investment, we will strengthen our products, technologies, and service capabilities, thereby achieving both sustainable growth and improved profitability. Looking ahead to 2030, we plan to spend a cumulative ¥290 billion on R&D and ¥234 billion on capital expenditures over the three years 2025–2027. For our strategic Robotics and Smart Power Vehicle (SPV) businesses, we will focus on medium- to long-term growth potential and establish strong market positions.



Notes: 1. Business ROIC does not include headquarters corporate expenses.
2. Business hurdle rate is set at 12.5% to account for the impact of Financial Services business and headquarters corporate expenses.

1 Core Businesses

Motorcycles and Marine Products
Balancing both growth and profitability
Reinvest business profits into product development and facilities to secure high market share in focus areas, balancing both growth and profitability.

2 Strategic Businesses

Robotics and SPV
Establish a position among the industry's top three
Establish a position among the industry's top three in these long-term growth markets. Explore M&A and other opportunities as first steps to that end.
OLV
Building the foundation for 2030
Have the increasingly crucial North American market play a part in our integration strategy.

3 New Businesses

Identify areas for business expansion and areas in which assessment and portfolio revisions within the new business framework are necessary.
Focus areas: Agriculture, mobility services, low-speed automated vehicles

Key Measures for Strengthening the Portfolio

Core Businesses	Motorcycles	We will expand our lineup of attractive products and use digital technologies to enhance user services. In the ASEAN region and other emerging markets, we will strengthen our premium model segment strategy, and work to increase brand value and deepen customer engagement by enhancing the customer experience. In the electric motorbike field, we will combine in-house development with external partnerships.
	Marine Products	We aim to maximize customer value by expanding our large outboard motor lineup and advancing our integrated boat business. We will continue to introduce next-generation control systems, connected technologies, and electric outboard motors to deliver diverse, advanced marine experiences. Although the business environment in the United States, a key market, continues to change, demand for large outboard motors is expected to remain strong.
Strategic Businesses	Robotics and SPV	In the Robotics business, we will pursue both growth and profitability by supporting a rapidly digitalizing world and transforming mobility through one-stop smart solutions. We will improve business efficiency and expand market share by concentrating management resources in growth areas. In the SPV business, we aim to drive business growth by empowering people to take on new challenges through environmentally friendly mobility in the form of electrically power-assisted bicycles.
	OLV	Although ROIC is expected to remain below the hurdle rate through 2027, we will work to create synergies by leveraging our product portfolio in the growing North American outdoor recreation market. In response to the impact of tariffs and changes in demand, we will rebuild our earnings base through disciplined cost management and optimized resource allocation.
New Businesses		Under the current Medium-Term Management Plan, we are focused on growing our agricultural, mobility services, and low-speed automated vehicles businesses. In agriculture, through Yamaha Agriculture, Inc., which was established in the United States, we launched operations in North America and Oceania that combine robotic solutions with advanced data analytics. We aim to contribute to the realization of sustainable and highly profitable agriculture. In mobility services, we operate mobility asset management and last-mile delivery businesses in India and Africa, helping address social challenges such as meeting increasingly diverse mobility needs and creating employment opportunities. In the field of low-speed automated vehicles, we are advancing solutions to labor shortages in logistics and local mobility challenges through the development of autonomous driving technologies for use under specific operating conditions.

Environmental Plan 2050

→ p. 44

We are advancing Environmental Plan 2050 based on the three priority action areas of climate change, resource recycling, and biodiversity. In addressing climate change, we introduced an all-electric painting line in 2025 as part of our efforts to achieve carbon neutrality by 2035. In resource recycling, we aim to achieve a 100% sustainable raw materials* usage rate by 2050. Under the current Medium-Term Management Plan, we plan to increase this rate to 18%. In biodiversity, we will advance solutions that show consideration for the well-being of both ecosystems and people.

* Sustainable raw materials include recycled, green, and biomass-based materials.

Human Capital Management

→ p. 30

We have established global engagement as a KPI and set a target of achieving a positive score of 80% or higher. To strengthen talent management, we will expand global talent development programs and build a human resources database. In addition, we aim to increase the global ratio of women managers to 13% by 2027 as part of our DE&I initiatives. In 2025, the global engagement score was 82.4%.

Risk and Compliance Management

→ p. 62

Based on the key pillars of Global, Integrated and Agile, we will identify, manage, and appropriately control foreseeable risks. We will continue to identify risks that we foresee affecting our management and businesses, and control them appropriately. Under a system led by the Chief Risk and Compliance Officer (CRCO), we will respond quickly to environmental changes, as well as share responsibility and authority on a global basis, thereby further advancing the sophistication of our management.



Mitsuru Hashimoto

Executive Officer
Chief General Manager of Corporate Planning &
Finance Center

We will overcome this difficult chapter, transition to a more robust profit structure, improve capital efficiency, and generate stable cash flows.

Review of the First Year of the Medium-Term Management Plan and Our Future Outlook

Our financial results for fiscal 2025 fell far below expectations. In the first year of Medium-Term Management Plan (2025–2027), in addition to having to absorb the impact of U.S. tariffs, we were unable to offset the increased burden of upfront investments for growth through higher earnings. As a result, consolidated revenue decreased 1.6% year on year to ¥2,534.2 billion and consolidated operating profit declined a substantial 30.4% to ¥126.4 billion. Although consolidated operating profit slightly exceeded the revised forecast we announced in August 2025, this included a ¥19.4 billion gain on the sale of land by a subsidiary in Taiwan and other positive one-time factors. I am aware that absent these, our real performance was even more disappointing. Profit attributable to owners of parent decreased 85.1% year on year to ¥16.1 billion, falling significantly short of the revised forecast. This was due to a larger-than-expected reversal of deferred tax assets resulting from a reassessment of future business prospects.

In the Motorcycle business, unit sales remained firm due to factors including strong performance in Indonesia, the Philippines, and Thailand. However, as costs rose in R&D, personnel, and other areas, the impact of quality issues and floods in Vietnam, together with inventory adjustments and

currency depreciation in Brazil, impeded earnings growth. In Marine Products, we expect the trend toward large outboard motors to continue; nevertheless, recovery in demand was weaker than anticipated. In addition, despite our attempts to pass on costs due to U.S. tariffs while monitoring trends among our competitors, the impact on earnings was still heavy and operating profit declined substantially year on year.

Among our strategic businesses, the success of initiatives thus far in the Robotics business has brought it closer to profitability. The absence of one-time expenses recorded in the previous year reduced operating loss in the Smart Power Vehicle (SPV) business, but issues remain to be resolved before achieving profitability. For Yamaha Motor eBike Systems GmbH (YMESG), established following an acquisition in Europe, the post-merger integration process is currently under way as we rebuild the earnings base. In order to make full Groupwide use of the resources obtained through the acquisition, we are aware that we must make clear how the company will generate synergy and promptly use that narrative to drive specific actions.

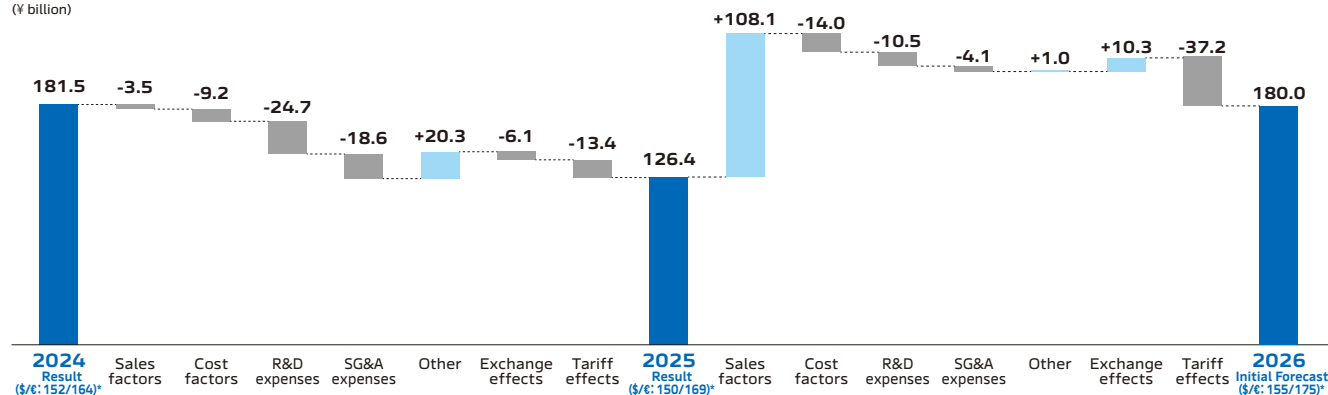
On the other hand, results in the Outdoor Land Vehicle (OLV) business were particularly unfavorable. In addition to a decline in unit sales and the impact of tariffs, operating loss grew significantly due to the recording of impairment losses on fixed assets. I realize that the manner in which we address unprofitable businesses like this one is a matter of great interest to investors. Taking this into consideration, we intend to announce our plans for the OLV business at some point during this summer.

Under these challenging earnings conditions, we ramped up the selection and concentration of operations during the second half of fiscal 2025, particularly in Japan and the United States. Under President Motofumi Shitara's leadership, we are working to transform into a strong, robust company that adapts quickly to change, taking our most rigorous stance yet to control costs and secure profits. We believe these initiatives will be key in achieving a recovery in performance from fiscal 2026 onward.

One particularly difficult decision regarding our reforms involved measures to improve profitability in the United States. Changes in the business environment have significantly worsened local profitability and financial conditions, which has made lowering the break-even point an urgent issue. We have announced measures to improve variable expenses, such as passing on costs to prices and reducing procurement spending at Yamaha Motor Manufacturing Corporation of America (YMMC), but our main focus will be on fixed cost reductions, including more painful choices such as workforce reductions. Despite ongoing uncertainty about U.S. interest rate trends and tariff trends, we will steadily implement the measures we have announced while remaining vigilant for signs of a market rebound to secure a firm grasp on the recovery phase.

Operating Profit Bridge Analysis

(¥ billion)



* Exchange rate against the yen as of December 31 of the corresponding year

Another difficult decision was the reduction of the year-end dividend. Amid rising capital needs that included a capital injection at a U.S. subsidiary and the acquisition of shares held by a partner company of a Taiwan subsidiary, we made the decision from a holistic perspective that seeks to maintain financial soundness while balancing investments for future growth with shareholder returns.

In fiscal 2026, we will further accelerate cost structure reforms toward staging a recovery in business performance. Our forecast for the year is consolidated revenue of ¥2.7 trillion, up 6.5% year on year, and consolidated operating profit of ¥180 billion, up 42.4% year on year. Although the impact of U.S. tariffs on profit is expected to increase significantly from fiscal 2025, we plan to absorb it through increased sales in core businesses, the implementation of pricing strategies, and cost structure reforms. During the two years since we transitioned to IFRS accounting standards, we have declared impairments on fixed assets and investments. I believe that improvements in business profitability are now more directly reflected in our financial performance and that the groundwork for a recovery in earnings is in place.

Changes in the Business Environment since the Announcement of the Medium-Term Management Plan

Additional U.S. tariffs and policy changes
Sudden changes in policies and the economic environment

Procurement risks
Shortages of rare earth minerals, semiconductors, etc.

Economic uncertainty
Impact on demand trends

Geopolitical risks
Escalating tensions in the Middle East

Adapting to Changes in the Business Environment

Cost structure reforms

Establish resilient business foundations unaffected by external factors

Meticulous cost management

Strictly control costs in line with sales scale

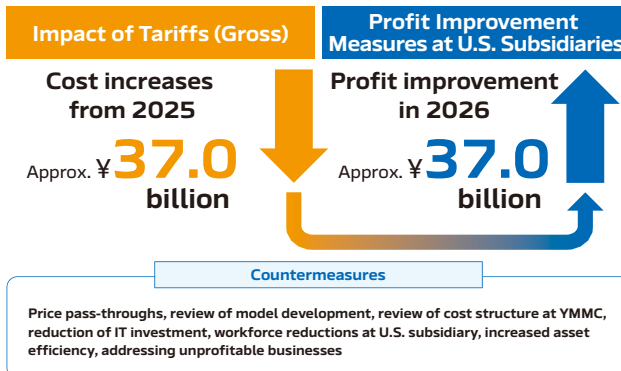
Capitalize on earnings opportunities

Prioritize resource allocation to the promotion of premium and growth segments

Disburse procurement risks

Establish a procurement network spanning multiple regions and suppliers

Initiatives to Improve Profitability in the Changing U.S. Market



Financial Strategy and Progress

In fiscal 2025, worsening business conditions also increased the difficulty of cash allocation decision making. While we continued to make upfront investments, we supplemented the lower operating cash flow with the sale of land and other fixed assets, as well as through fundraising that included increased long-term borrowings. In fiscal 2026, we expect improved cash flow due to a recovery in business performance. In addition, with global interest rates rising, I believe we can reduce our gross debt balance by improving capital efficiency within the Yamaha Motor Group. Basically, each region manages its cash independently, but while our U.S. operations face severe funding pressures due to worsening conditions, some of our other major subsidiaries have excess liquidity, creating imbalances in cash positions across regions and bases. Although we operate while monitoring the financial conditions in each region, there is substantial room for improvement in capital efficiency and cash management Groupwide. In fiscal 2026, strengthening global cash management will be a priority theme, along with limiting cash outflow and increasing inflow.

Inventory management has improved over the past year and is now more or less under control. However, it is still at a level below that of our competitors, indicating the need for further steps to reduce costs and achieve even more efficient operations. We are monitoring the cash conversion cycle (CCC) on a monthly basis as a KPI for strengthening the plan-do-check-act (PDCA) cycle. A particular issue is operations at businesses in the U.S. and Europe, where inventory risk is high. Because these regions import and sell products manufactured in Japan, lead times are inevitably longer. Taking this into account, in Europe, for example, we have incorporated economic value added (EVA) as a KPI in our management and are working to bring across-the-board improvements to profitability and cash flow.

To improve inventory management from the ground up for a transformation into a strong, robust company, we need to clarify decision-making frameworks and the delegation of authority across all business processes—from production

through to sales. Our recent organizational restructuring is part of that effort. For inventory management, close collaboration between the heads of our manufacturing and sales functions is crucial. I believe the appointment of a new director in charge of marketing in fiscal 2026 will strengthen management and bolster initiatives to bring down inventory levels. Under this new structure, in fiscal 2026 we will further raise the effectiveness of our PDCA cycle—centered on planned unit production—to realize our goal of becoming a strong, robust company.

Implementing Management Conscious of Cost of Capital

For management conscious of cost of capital, we have incorporated ROIC into our business portfolio strategy and set a hurdle rate. Awareness of capital efficiency is also rising among management teams throughout the Group as the result of changes such as adopting CCC as a KPI, as mentioned previously. Moreover, approaches based on the ROIC tree—a visualization tool that breaks down ROIC into management indicators like profitability and capital efficiency—is gradually taking root and being comprehensively applied to improve operations on the ground. We drew up measures to improve profitability at U.S. bases, each with the underlying elements of ROIC in mind. However, we are still in the process of implementing those measures in the management of each business, so this remains an ongoing challenge. Another issue is excessive polarization in our business portfolio. While the Motorcycles and Marine Products businesses are able to pursue ROIC improvements while balancing them with profitability, investments, and other factors, discussing ROIC is unfortunately still too early for the SPV and OLV businesses, where rebuilding the businesses themselves and determining their future direction are urgent priorities. I believe using ROIC for more sophisticated business management while taking the circumstances of each business into account in this way is essential for us to be a strong, robust company. This is an area with room for future growth and I will personally engage in sincere dialogue with investors as we pursue the right direction for medium- to long-term growth.



The first year of the current Medium-Term Management Plan was disappointing in terms of financial results, but we were able to step up and accelerate Companywide problem-solving initiatives aimed at transforming us into a strong, robust company that adapts quickly to change. Our Corporate Mission is to be a *Kando* Creating Company. As such, our corporate activities are grounded in always offering products and services that allow customers to experience the special form of excitement and satisfaction we call *Kando*. From a financial perspective as well, we believe our role is to sustainably support the creation of *Kando*. While ensuring financial soundness, we will continue to implement cost structure reforms aimed at balancing short-term earnings recovery with medium- to long-term improvements in capital efficiency. I look forward to your continued support.

Digital Transformation Strategy

Promotion Structure for Digital Transformation

Digital transformation (DX) is positioned as a source of business growth and competitiveness, with the Board of Directors responsible for overseeing related policies and progress. This governance structure enables the Board to continuously review the direction and outcomes of digital transformation initiatives as part of its oversight responsibilities.

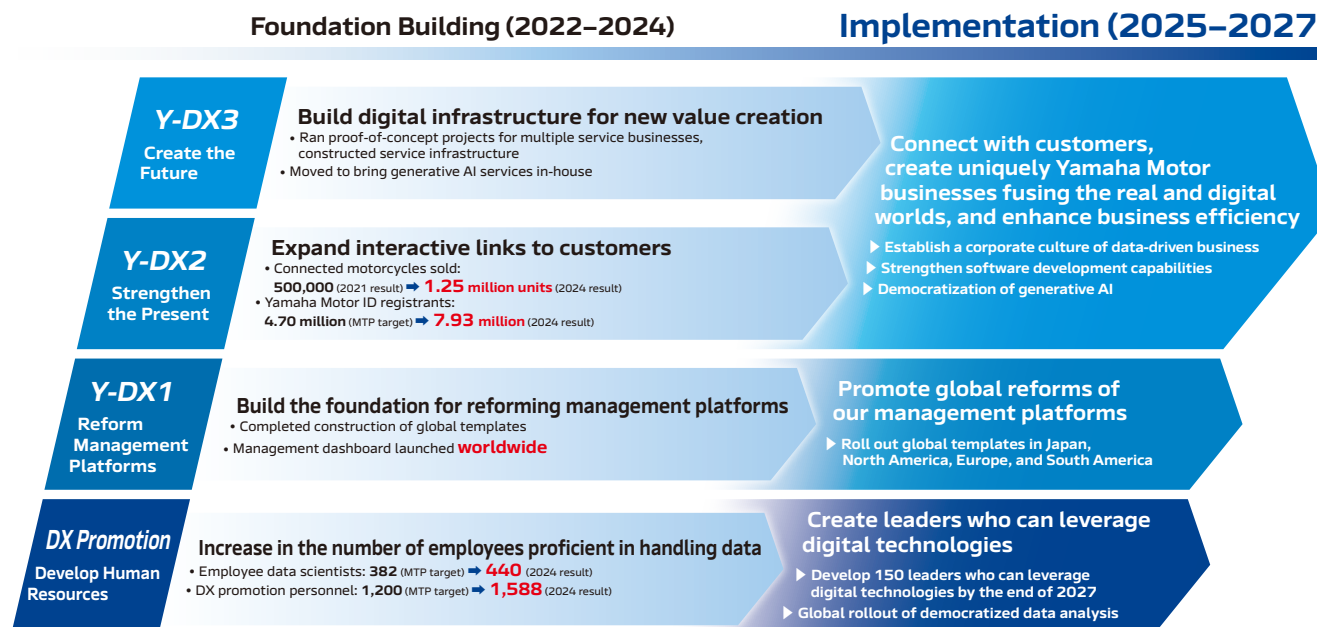
At the executive management level, the DX Promotion Committee, established under the Management Committee, is responsible for translating the digital transformation strategy into concrete initiatives and making relevant investment decisions. Led by the executive officer responsible for IT, the committee centrally manages prioritization and decision-making regarding Companywide initiatives, thereby ensuring alignment between digital transformation strategy and investment.

The executive officer in charge of technology is responsible for executing initiatives based on these decisions. We reorganized our digital transformation promotion structure so that from fiscal 2026 responsibility rests with the executive officer in charge of technology, enabling closer integration of digital transformation with our product, technology, and business strategies. This will strengthen both our execution capabilities and governance functions for translating digital transformation into business value (DX2/DX3).

Using Digital Transformation to Reform Management Platforms (Y-DX1)

The aim of Y-DX1 is to reform management platforms. We have set out to visualize global operations under a single standard, thereby improving key management indicators such as return on assets (ROA), inventory levels, and the cash conversion cycle (CCC). The rollout of a standardized system is progressing across Japan, North America, Europe, South America, and Australia. The management dashboard, which leverages centralized integrated enterprise data from this system, has begun to serve as a foundation for decision-making at Management Committee meetings. Going forward, we will make greater use of operational data and AI to rapidly identify changes in supply and demand, inventory levels, and the investment return cycle, enabling timely management actions that directly contribute to profitability. In addition, Asia has been identified as a priority region for expansion under the next medium-term management plan. As such, we will continue our efforts to integrate global operations under a single management platform.

In order to achieve sustainable growth, we will utilize information technology (IT), digital technologies and data to simplify Company systems and strengthen the competitiveness of our core and strategic businesses. We will move into the implementation stage of the Yamaha Motor to the Next Stage project to enhance brand value through new real-world and digital experiences, services, and products, and create lifelong Yamaha Motor fans. This will lead to the next stage of growth.



Using Digital Transformation to Provide Customer Value (Y-DX2/Y-DX-3)

Our digital transformation initiatives are aimed at enhancing medium- to long-term business profitability by delivering value through the integration of digital and real-world experiences, with the enhancement of connections with customers as a starting point. As of the end of 2025, the number of Yamaha Motor ID registrants had grown to 10.9 million. Through the process of acquiring registrants, we identified opportunities to further enhance the quality of the customer experience in service delivery. Based on these insights, we have developed a service platform, and are continuing to improve customer-facing applications and other touchpoints across our businesses. We are also working to improve the efficiency of our business processes. For software-defined vehicles (SDVs) and AI, we are focusing our efforts on areas that directly contribute to profitability, such as customer experience and maintenance efficiency, while taking into account product characteristics that differ from those of standard four-wheeled passenger vehicles. We will use the data obtained through customer connections to enhance products and expand services, fostering lifelong customer relationships through continuous improvements in user experience and customer experience, which will help support stable business growth.

Developing DX Promotion Personnel

To continuously improve productivity and create customer value through the practical application of digital technologies, we are advancing two initiatives: increasing the number of DX promotion personnel and developing core DX talent. In fiscal 2025, a cumulative total of 3,601 employees participated in data utilization training programs, and the number of employees using generative AI for information gathering and analytical support had steadily increased to 3,865 globally. We will accelerate the safe and effective use of AI by clarifying our AI utilization policy, expanding Companywide AI literacy training, developing specialized skills, and conducting rapid technology validation. By applying the resources generated through operational efficiency improvements and the skills developed through our digital transformation initiatives to customer-facing services and other value-creation activities, we will enhance corporate value over the long term.

Human Resources Strategy

Basic Approach

In its global business operations, the Yamaha Motor Group is striving to create an organizational structure with the agility required to respond to changing and evolving market needs. We believe that if individuals and the Company share ambitious goals and work together to bring about not just business growth but also personal growth, we can continue to create *Kando*. Guided by this belief, we have defined the following attributes we seek in our employees.

- 1

Human resources who strive independently and autonomously to develop their personal value.
- 2

Human resources who are able to act with a focus on teamwork.
- 3

Human resources who will contribute to the value of the Yamaha Motor brand.

In alignment with our business strategy, we implement a human resources strategy to effectively recruit, develop, evaluate, reward, and assign employees who embody these attributes.

Governance

To further strengthen governance and optimize our strategies for human capital management, we have established a Human Capital Management Committee chaired by the Chief General Manager of the Human Resources & General Affairs Center. The committee brings together executive officers and heads of overseas operations to actively discuss key human capital issues across the Group's global operations, such as implementing human resources investment strategies, increasing employee engagement, and promoting diversity. We have also established a Talent Management Committee, chaired by the Chief General Manager of the Human Resources & General Affairs Center, to review the development plans, assignments, and development progress of management candidates across the Group. Through these efforts, we will increase employees' autonomy regarding careers and transparency in their future career paths.

The vitality of our workforce is a critical factor in achieving our Corporate Mission to be a *Kando* Creating Company, which is why we have made employee engagement a key performance indicator. We also promote diversity, equity, and inclusion (DE&I) as well as talent development as initiatives for improving engagement.

Challenge & Growth in Medium-Term Management Plan (2025–2027)

Premised on our fundamental belief that all corporate activities begin with people, we aim to create conditions in which diverse talent can be eager and inspired to take on ambitious goals without fear of failure, thus reinforcing their own growth as they pave the way for Yamaha Motor's growth and future in a rapidly changing operating environment. To achieve this objective, the Medium-Term Management Plan that started in fiscal 2025 includes a mission statement for human resources of "Challenge & Growth: Provide employees of all stripes with opportunities to take on challenges! Spur growth of the individual as well as the company with uniquely Yamaha Motor challenges!" In conjunction with Next Kando Actions, an initiative focused on self-directed employee activities that will lead to the creation of new forms of *Kando*, we will support the challenges and growth of employees throughout the entire Group.

Increasing Global Engagement

Guided by our human resources mission statement, "Challenge & Growth," we position employee engagement as a key indicator for enhancing corporate value. Using the results of our annual engagement survey as a reference, we review the state of each company and organization as we work Groupwide to create an environment where people can take on more of the diverse challenges that are unique to Yamaha Motor.

Under the Medium-Term Management Plan that commenced in fiscal 2025, we have set a shared global goal of maintaining a positive score of 80% or higher for engagement. In fiscal 2025, the score was 82% globally and 65% for Yamaha Motor Co., Ltd. We are therefore strengthening initiatives at the parent company.

Employee engagement scores at the parent company have steadily improved through continuous initiatives since 2020, and these efforts have become firmly embedded across the Company and at individual workplaces. To drive further improvement, we revised certain survey questions to make strengths and challenges easier to identify. We also developed a workplace diagnostic map that provides a clear overall picture of workplace conditions and have begun using it internally. Building on our strengths—a supportive work environment and a high level of psychological safety in the workplace and with supervisors—we are advancing initiatives centered on the three key drivers on the following page (p. 31).

Human Capital Management Policy

Mission

Challenge & Growth

Provide employees of all stripes with opportunities to take on challenges! Spur growth of the individual as well as the company with uniquely Yamaha Motor challenges!

Improve global engagement: Positive score of **80% or higher**

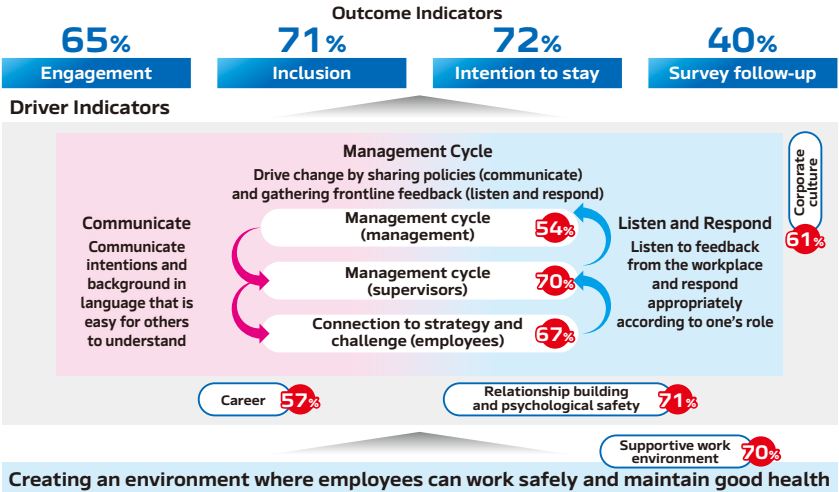
Talent Management	Monozukuri Specialist Development	Diversity, Equity, Inclusion
Expand the global training program to align with each talent's career development plan	Aim for factory management centered on production personnel and provide diverse career paths and growth opportunities	Global ratio of women managers 11% in 2024 ▼ 13% in 2027
Companywide undertaking through "Next Kando Actions" encouraging employees to take initiative		

Engagement Score

Scope of Coverage	2023	2024	2025
Yamaha Motor Co., Ltd.	61%	63%	65%
Yamaha Motor Co., Ltd. and Group companies*	79%	82%	82%

* Calculated by dividing the total engagement scores of all companies by the number of companies. Through 2024, data covered Yamaha Motor Co., Ltd. and 12 major overseas subsidiaries. In 2025, the scope was expanded to include all subsidiaries with 500 or more employees, bringing the total to 34 companies.

Workplace Diagnostic Map



Key Driver 1 Enhancing Understanding of the Company's Direction and Future Vision

Since 2022, we have continued to hold "Revs Meetings" as a forum for direct dialogue between management and employees. In 2025, approximately 1,400 employees and 11 members of senior management engaged in dialogue across business areas and career levels. By better understanding management's thinking and the background to the challenges we are taking on, employees are encouraged to take ownership of the Company's direction and translate understanding into self-directed action. These meetings also enable management to incorporate direct feedback from the workplace into decision-making, helping strengthen the management cycle from communication of policies through to their execution.



Key Driver 2 Creating a Workplace That Enables Growth and Fulfillment

We are enhancing our human resources systems to encourage employees to take on challenges proactively through evaluation and compensation based on performance. Under the new personnel system for core employees introduced in 2024, we shifted to role-based evaluation and compensation and clarified the responsibilities of "Line Management," who are responsible for organizational management, and "Strategy Leads," who drive projects in line with business strategy. Under the new personnel system for general employees introduced in 2025, we eliminated job-category distinctions and length of employment requirements for promotion eligibility, enabling compensation and advancement based on performance. Through these initiatives, employees gain a clearer understanding of their roles and experience growth and work fulfillment by taking on challenges proactively and achieving meaningful results. This in turn strengthens our talent foundation that supports business execution.

Key Driver 3 Supporting Self-Directed Career Development

For individuals and the Company to continue growing together, it is important that each employee proactively shapes their own career path, understands the Company's direction, and takes action toward achieving their career goals. To support this process, employees and their supervisors engage in career development discussions, and we continue to expand training programs tailored to employees' career stages and development needs. According to an internal survey, 72% of employees across the Company responded that career discussions helped align expectations regarding their career direction with their supervisors. We also encourage the use of our internal job posting program ("Self-Career Challenge") and "internal side-job" opportunities as ways for employees to pursue the careers they envision. In 2025, 110 employees took on new assignments or "internal side-job" opportunities through these programs.

We believe that by using employee engagement as a key indicator for continuous improvement, we can increase the number of employees who take on challenges proactively, thereby strengthening business execution and adaptability to change and ultimately enhancing medium- to long-term corporate value through the sustained creation of *Kando*.

Talent Management

We will promote the early discovery of capable human resources, consideration of their career plans, and their development and assignment, regardless of gender, age, nationality, place of origin or other such attributes. Although we have been preparing successors for global core positions, we believe that going forward we must develop our next generation of management personnel more strategically and systematically, in line with each individual's career plan. Specific measures are as follows.

Talent Visibility

We will review and expand our global human resources database for managerial and higher positions (which has been in place for some time), to enable us to manage and utilize more accurate, up-to-date data and to discuss and decide on high-quality placement and development.

Identification and Development

We will create a process for early selection and systematic development of our next generation of management personnel. Specifically, we will prepare individual career plans for selected candidates, and conduct off-the-job training (mentoring, coaching, global selection training, and external training) according to each individual's career plan, experience, and skill set, and on-the-job training that incorporates challenging assignments.

Talent Review

The Talent Management Committee will identify high-potential candidates for future management positions, monitor the training status of each candidate, and discuss and decide on issues and countermeasures for future training.

Global Selective Training Participants

Selective Training	2023	2024	2025
Global Executive Program*	–	18	–
Yamaha Business School Global*	24	–	24
Regional Development Program	71	–	47
Yamaha Business School Junior	25	25	25

* The Global Executive Program and Yamaha Business School Global are held every other year.

Promoting DE&I

Based on the Yamaha Motor Group Diversity, Equity and Inclusion (DE&I) Policy, we have identified five priority areas—gender, race/ethnicity/nationality/place of origin, disability, age, and LGBTQ+—and are advancing initiatives in each of these areas.

In particular, we have identified the advancement of women as a key priority within our gender-related initiatives and have set a Groupwide target of increasing the proportion of women in management positions to 13% by 2027. To support the achievement of this target, Yamaha Motor's headquarters in Japan introduced new career development training programs for women managers, women identified as management candidates, and their supervisors. This training helps participants identify and articulate their strengths and values and develop concrete career plans through dialogue with their supervisors, thereby deepening their understanding of expected roles and strengthening their willingness to take on new challenges.

We also participate in a cross-Group mentoring program in which executive officers serve as mentors and women general managers participate as mentees, providing opportunities to learn from different perspectives and experiences across organizations. Through these initiatives, we create opportunities for growth and support the development of lasting professional networks, helping women leaders grow and thrive in their careers. We will continue to steadily implement these initiatives to achieve our target.

Women in Management (%)

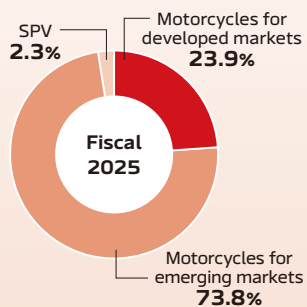
Scope of Coverage	2023	2024	2025
Yamaha Motor Co., Ltd.	3.7	3.8	3.7
Group Companies in Japan	5.5	6.5	8.0
North America	19.5	20.3	22.8
Europe	16.4	20.5	16.4
Asia	14.3	16.0	17.1
Other	17.7	19.0	22.9
Total	11.1	12.1	12.9

Strategies by Business

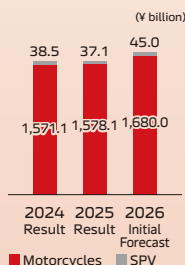


Yasutaka Suzuki

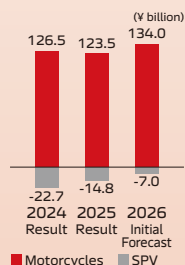
Senior Executive Officer,
Chief General Manager of
Land Mobility Business Operations

Revenue Breakdown by
Main Product Category

Revenue



Operating Profit



Land Mobility

Business Vision

Bringing joy into mobility and fun into holidays together with our stakeholders

We have set forth a long-term business vision for 2030, the basis of which is our desire to bring joy to mobility and fun to holidays together with customers, dealers, suppliers, and others by creating products with Yamaha Motor's unique *Monozukuri*.

Business Overview

The Land Mobility segment primarily comprises the Motorcycles business and the Smart Power Vehicle (SPV) business, which covers products including electrically power-assisted bicycles (eBikes), e-Kits (drive units and components for eBikes), and electric drive units for wheelchairs. It has been a core segment since Yamaha Motor was established. Our Land Mobility product lineup covers a wide range of mobility solutions—from practical daily transportation and recreation to commercial use and motorsports. Through development and sales strategies tailored to the characteristics and needs of each market, we deliver global convenience and value in mobility experiences.

In 2025, although Motorcycles business sales increased in Japan, overall sales volume in developed markets decreased slightly due to lower demand in Europe and the United States. Overall sales in emerging markets (ASEAN, South Asia, and Latin America) remained on par with the previous year, backed by strong performance in Indonesia, the Philippines,

and Thailand, despite a decline in sales in Vietnam due to the impact of floods. Operating profit decreased due to rising costs and the impact of U.S. tariffs. SPV business sales decreased due to a decline in sales volume, but operating loss improved, reflecting the absence of inventory write-downs and an impairment loss on non-current assets recorded in the previous year. As a result, revenue in the Land Mobility segment increased ¥5.6 billion (0.3%) year on year to ¥1,615.1 billion, and operating profit increased ¥4.9 billion (4.7%) year on year to ¥108.7 billion.

In recent years, changes in customer awareness of environment and lifestyle issues, along with stricter environmental regulations, have significantly altered the business landscape. Amid these changes, Land Mobility will continue to flexibly respond by creating synergies across businesses and delivering new forms of *Kando* to the world through Yamaha Motor's unique mobility solutions.

Market Environment

Motorcycles for Emerging Markets

Main Markets ASEAN South Asia Latin America

In 2025, despite growing price-consciousness in Indonesia, Yamaha Motor maintained market share in its target category, and demand remained generally firm in other countries, including India, where demand increased due to a tax cut in the second half of the year. Under moderate growth conditions in 2026, we will maintain our premium model segment strategy and optimize supply.



Aerox α

Main Competitors

HONDA, SUZUKI, KAWASAKI, HERO, BAJAJ, ROYAL ENFIELD

Motorcycles for Developed Markets

Main Markets Japan Europe North America

In response to changes in our operating environment in 2025, including stricter emissions standards in Europe, the impact of U.S. tariffs, and new emissions standards in Japan for 50cc models, we are working to differentiate ourselves from competitors and enhance profitability by introducing high-value-added models and ramping up activities to cultivate lifelong customers.



MT-09 Y-AMT ABS

Main Competitors

HONDA, SUZUKI, KAWASAKI, HARLEY-DAVIDSON, BMW, DUCATI, TRIUMPH, KTM, APRILIA, PIAGGIO, KYMCO, CFMOTO, VOGUE, ZONTES

SPV

Main Markets Japan Europe North America

eBikes



PAS CRAIG ALLEY



Drive unit (e-Kit)

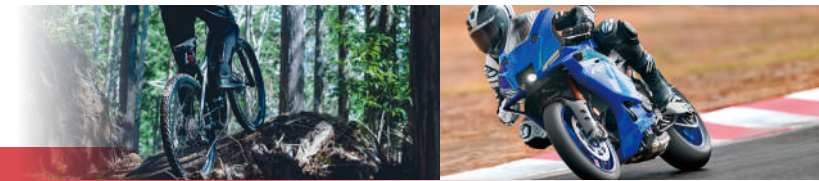
Electric power units for wheelchairs



The Japanese market remained firm, and while the European market has emerged from an inventory adjustment phase, competition intensified due to the growing presence of Chinese manufacturers. In 2026, we will work to generate synergies with Yamaha Motor eBike Systems GmbH (YMESG) in the e-Kit business.

Main Competitors

(e-Kits) BOSCH, SHIMANO, DJI (CBU eBikes) PANASONIC, BRIDGESTONE (JW) ALBER



Motorcycles

Review of Fiscal 2025

Although sales decreased in developed markets due to a decline in demand, we accurately captured robust demand for motorcycles in emerging markets, particularly Indonesia and the Philippines, maintaining sales volume while continuing strategic investments for future growth.

Revenue increased ¥7.0 billion (0.4%) year on year to ¥1,578.1 billion. However, due to the impact of U.S. tariffs, rising procurement costs, and increased R&D and SG&A expenses, operating profit decreased ¥3.0 billion (2.3%) year on year to ¥123.5 billion. To offset headwinds in the operating environment, we worked to maintain our revenue base through price adjustments and initiatives to increase the sales ratio of premium models in growth markets. In terms of products and strategy, we steadily implemented our premium model segment strategy and measures for electrification, including the announcement of models that broaden the joy of riding, such as a Yamaha Electric Continuously Variable Transmission (YECVT) model and the XSR155, as well as two electric scooter models for the Indian market.

Future Policies and Key Measures

From 2026 onward, we will work to improve profitability in the Motorcycles business by appropriately controlling business costs in light of changes in our operating environment and by strengthening customer touchpoints. Through the cultivation of lifelong customer relationships, we will build a stable revenue base for the future.

We will work to increase sales in emerging markets by taking advantage of the opportunities presented by expanding demand in the Philippines, India, and other growth markets, and the normalization of supply in Vietnam, as we enhance our lineup centered on premium models. In developed markets, despite indications of cooling demand, we will work to expand sales by focusing on high-value-added models, where we have an advantage. For electric vehicles, we will engage in both in-house platform development and external collaborations to roll out products tailored to market characteristics. This will enable us to address environmental concerns and enhance brand value, leading to strengthened competitiveness in the medium to long term.

Strengths	- Diverse and global product lineup that brings together high performance and quality based on the core competencies we have cultivated - Established global brand position for motorcycles - Strong presence in the premium segment in emerging markets - High-quality worldwide sales network
Opportunities	- Expansion of upper-middle-income market in ASEAN and other emerging markets - Evolution of marketing through digital technologies - Enhancing support for safer riding based on technologies
Risks	- Prolonged pressure on product supply networks due to geopolitical risks - Evolution of environmental regulations in each country - Intensifying trade friction and the spread of protectionism - Competitors' strategies aiming to emulate successful models in the premium segment
Issues	- Responding to profitability pressures from rising costs of raw materials, labor, logistics, and energy - Securing sources of revenue beyond product sales in mature markets

Inputs

R&D Expenses	1.2x vs. previous plan	Capital Expenditure	1.4x vs. previous plan	New Models	At least 20 models
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Progress on Medium-Term Management Plan Key Themes

	Key Themes	Quantitative Progress	Qualitative Progress
Emerging markets	Recover market share with products that are attractive to the increasingly important Gen Z demographic Indonesia: Create emotional value that fosters the desire to own and deepens ties with customers Philippines: Introduce reward programs to offer consistent, premium experiences India: Raise customer engagement by rolling out marketing initiatives targeting Gen Z and ramping up experiential events	- Premium models sales volume: -5% (YoY) - Share of premium model segment: +0.5 pts (YoY)	Indonesia: Partnered with influencers popular among Gen Z as brand ambassadors to cultivate an aspirational image and held MotoGP rider meet-and-greet events exclusively for reward program members Philippines: Held special touring events for high-tier reward program members India: Held Blue Streaks, events promoting the joy of riding and community building, and Track Day, a circuit event for experiencing Yamaha Motor's motorsports performance firsthand
Developed markets	Raise market presence and drive the brand for the whole Motorcycles business - Launch new models, expand sales of Yamaha Automated Manual Transmission (Y-AMT) models, and attract new customers - Expand mechanisms for making us the preferred choice in related businesses - Strengthen customer touchpoints	- Launch of two TRACER models with Y-AMT - Sales ratio of Y-AMT-equipped units among applicable models: +22.5 pts (YoY)	- Extended the lineup of models offering Y-AMT beyond the MT series to include the TRACER series to appeal to a wider range of customers with new value - Accelerated uptake in each region in collaboration with the Yamaha Motor Finance Corporation Group, including through improvements to financing functions in sales systems used at selected dealers on a trial basis - Enhanced experiential value through the bLU cRU program. Held the 2025 bLU cRU YZ World SuperFinale for youth motocross talent in the United States, attracting riders from around the world.
Strengthening marketing capabilities	Build strong ties with customers by combining real and digital experiences - Conduct marketing that combines real and digital experiences - Deliver personalized customer experiences - Further improve customer touchpoint quality	- Number of countries with customer reward programs: 1 (Philippines) - Number of Yamaha Motor ID registrants: 8.2 million (cumulative from 2020) - Number of downloads of Y-TRAC Rev app: 1,120	- Upgraded the Y-Connect app and promoted the Yamaha Motor On customer engagement platform - Provided real-world experiences including "We Are Aerox Society" to enhance user interactions and community, and the Fazzio Youth Festival to develop affinity with Gen Z - Supported rider proficiency by linking the YZF-R9 supersport model with the Y-TRAC Rev app, which offers riding data analysis and route visualization
Electric motorcycles	Pursue in-house platform development and external collaborations - Develop in-house platforms - Collaborate with external partners	Launch of two new models	- Launched the CUXiE in Taiwan (manufactured by Gogoro Inc.) - Launched the JOG E in Japan (manufactured by Honda Motor Co., Ltd.) - Announced the Aerox E (manufactured in-house) and EC-06 (manufactured by River Mobility Private Limited) in India - Exhibited the YE-01 electric motocross prototype at EICMA (jointly developed with Electric Motion SAS)

Business KPI Targets for 2027

Revenue Growth	CAGR: 6% range	ROS	10% range*	ROIC	Mid-20% range*
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* Before headquarters corporate expense allocations

Review of Fiscal 2025

In the SPV business (electrically power-assisted bicycles, e-Kits, and electric wheelchairs), revenue decreased ¥1.4 billion (3.7%) year on year to ¥37.1 billion, with an operating loss of ¥14.8 billion, down from an operating loss of ¥22.7 billion in the previous fiscal year. Revenue decreased due to a decline in sales volume following our withdrawal from the overseas complete build-up (CBU) eBike business, while on a positive note operating loss decreased due to lower SG&A expenses and the absence of an impairment loss on non-current assets and other expenses recorded in the previous fiscal year.

In the domestic electrically power-assisted bicycle market, mainstay power assist system (PAS) models and new models performed well. Overseas, we acquired the bicycle drive unit (e-Kit) business subsidiary of German automotive parts manufacturer Brose in 2025, and established a new company in Germany called Yamaha Motor eBike Systems GmbH (YMESG). The acquisition increased sales volume, but our immediate focus is on rapid post-merger integration. By establishing a development base in Europe, the largest market for this category, and leveraging the network acquired from Brose, we aim to strengthen our market presence in the region.



Future Policies and Key Measures

In the SPV business, we will precisely monitor the various phases of market recovery as we accelerate initiatives to achieve the Medium-Term Management Plan. We expect an increase in revenue in 2026 from sales growth both in and outside Japan, and will improve earnings by further streamlining non-current assets. We will also take steady steps to establish an organizational structure that will generate synergies with YMESG, which has been operating since August 2025.

Our focus in 2026 is on strengthening the organizational capabilities that support the sustainable growth of our business. We will continue to promote initiatives to improve profitability through top-line growth, including strengthening our sales strategy, balanced with appropriate cost control.

For electrically power-assisted bicycles, we aim to expand our market share in Japan and improve profitability on a consolidated basis. We will improve sales efficiency and work to add more value to our products and services, as well as differentiate ourselves from competitors. Doing so will establish a foundation for sustainable growth. For overseas e-Kits, we aim to expand our customer base by ramping up our sales strategy and introducing new drive units. We will also review our cost structure and logistics processes to further strengthen our competitiveness.

For electric wheelchairs, we will expand sales overseas as we seek to establish a foundation for sustainable growth.

We will further establish competitive advantages in the SPV business by providing quality and services that exceed customer expectations, and generate synergy through collaboration with YMESG, thereby contributing to greater corporate value over the medium to long term.

Strengths	- Customer base built on trust in Yamaha Motor technology and products - Pedigree of constantly pioneering new markets by creating mobility solutions - Development base for e-Kits in Europe, a major market - Extensive sales and service network in Europe
Opportunities	- Addressing the needs of an aging society (for mobility and social participation) - Rising environmental awareness and health consciousness - Ongoing infrastructure development for electric mobility
Risks	- Prolonged pressure on product supply networks due to geopolitical risks - Decline in consumer spending due to rising prices and economic downturns - Increased competition due to the entry of e-Kit manufacturers from emerging markets including China - Soaring logistics costs
Issues	- Responding to profitability pressures from rising costs of raw materials, labor, logistics, and energy - Establishing a foundation for B2B businesses (sales, after-sales service, etc.) - Generating synergies with YMESG (established in Germany in 2025)

Inputs

R&D Expenses	1.6x vs. previous plan	Capital Expenditure	0.6x vs. previous plan	Investment and Financing	Effective use of M&A
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Progress on Medium-Term Management Plan Key Themes

	Key Themes	Progress
Optimize resource allocation	Review focus areas and optimize resource allocation - Restructure the overseas finished Yamaha eBike business and concentrate on the domestic market - Concentrate resources on the e-Kit business	6% year-on-year increase in sales of complete build-up (CBU) eBikes in 2025 - Acquired the e-Kit subsidiary of Brose and established YMESG
e-Kits	Capitalize on market recovery to restore revenue and ROIC - Establish unique competitive advantages through a thorough customer-centric approach - Supply chain and engineering chain reforms - Innovate services for end users, dealerships, and customers to whom we supply products	- Established an e-Kit development base and conducted post-merger integration in Europe, a major market - Strengthened after-sales service in Europe leveraging the network acquired from Brose - Reorganized drive unit production layout by integrating production bases in Taiwan

Business KPI Targets for 2027

Revenue Growth	CAGR: 15% range	ROS	8% range*	ROIC	18% range*
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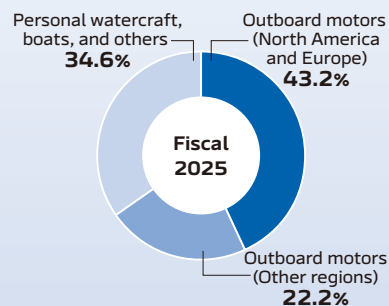
* Before headquarters corporate expense allocations



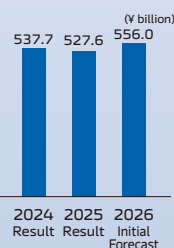
Tatsuya Nozaki

Executive Officer,
Chief General Manager of
Marine Business Operations

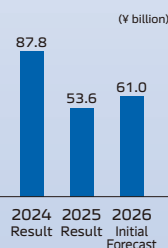
Revenue Breakdown by Main Product Category



Revenue



Operating Profit



Marine Products

Business Vision

A Business for a Reliable and Rich Marine Life: Toward further Increasing the Value of the Ocean

With a history spanning over 60 years, the Marine Products business, built on a foundation of reliability as a comprehensive marine product manufacturer, creates *Kando* by further enhancing the value that people derive from the ocean. We will strengthen our lineup of large outboard motors and create greater customer value by pursuing the integrated boat business.

Business Overview

The Marine Products business offers a diverse product lineup, including outboard motors, personal watercraft, boats, fishing boats, and utility boats, meeting a wide range of needs from recreational to commercial use. This segment accounts for about 20% of the Company's consolidated revenue but contributes about 40% of operating profit, making it one of the Company's largest contributors to operating profit. Our flagship product—outboard motors—has secured a global leadership position backed by a leading market share worldwide and exceptional reliability. Outboard motors are used for leisure purposes across North America and Europe, as well as for fishing and tourism. As such, our business meets the diverse needs of various customers around the world. With the aim of

maximizing customers' experiential value, under the Medium-Term Management Plan we are working to develop an attractive product lineup and strengthen integration across the value chain as a comprehensive marine product manufacturer.

Achieving carbon neutrality is also a medium- to long-term challenge; accordingly, we are promoting the development of electric propulsion systems and hydrogen engines under our multi-pathway approach.

Through these activities, we are working to realize our business vision, further enhancing the value of the Yamaha Motor brand and creating social value through the technological capabilities we have cultivated as a comprehensive marine product manufacturer.

Market Environment

Outboard Motors

Main Markets: North America, Europe, Japan, Rest of World

The global market size remains stable at approximately 800,000 to 900,000 units annually, with gradually increasing demand for large models of 150 horsepower and above. We will respond to market needs by strengthening our large-model lineup and raising production capacity. Additionally, by expanding related product offerings, we aim to enhance customers' experiential value as a comprehensive marine product company.



Main Competitors

MERCURY, SUZUKI, HONDA, TOHATSU

Personal Watercraft

Main Markets: United States, Rest of World



FX Cruiser HO

Although total demand in 2025 declined due to rising interest rates and inflation, a gradual recovery is anticipated going forward. Usage has diversified beyond traditional single-occupant models to include family-oriented options and models designed for other recreational purposes. We plan to introduce models based on a new platform designed to meet these evolving needs.

Main Competitors

BRP, KAWASAKI

Boats

Main Markets: Japan, United States, Europe



AR250

In the domestic market, we offer high-value-added products for a wide range of uses including pleasure boats and fishing vessels. With Sea-Style, our membership-based rental boat club, we are strengthening our development of services aligned with customer preferences.

Main Competitors

YANMAR, TOYOTA, SUZUKI



Marine Products

Review of Fiscal 2025

In fiscal 2025, the business environment remained challenging due to factors including global economic uncertainty, sluggish demand in the North American market, and the impact of tariffs. Under these conditions, we steadily advanced initiatives for future growth. In the outboard motors business, although demand remained weak in the key U.S. market, we captured demand elsewhere, including regions that showed signs of having bottomed out as well as in emerging markets. As a result, global sales increased from the previous year. In the personal watercraft business, despite worsening market conditions, positive market reception of the new JetBlaster products due to their agile handling and ease of use enabled us to attract entry-level customers. In addition, Wireless Station, a product created through collaborative development in Japan and the United States (representing a break from our usual Japan-led approach), received strong recognition for its technologies that enhance both operational freedom and safety while boating. While revising some plans in response to the changing business environment, we continued to invest in development, making 2025 a year of reinforcing the foundation that supports our competitive advantages over the medium to long term.

Future Policies and Key Measures

The operating environment of the Marine Products business is expected to remain challenging in 2026 and beyond due to factors such as tariff policies and changes in market structure. Guided by the theme of “Co-Creation” that underpins Medium-Term Management Plan (2025–2027), we will continue to pursue our policy of integrating our various assets, including in products, technologies, services, and *Monozukuri*, and will seek to collaborate with other companies and across business fields to contribute to customers and society. We will also focus on improving profitability and reinforcing our business structure as key issues for building a resilient business foundation that can withstand changes in the operating environment.

Specifically, in the outboard motors business we will continue developing products that precisely meet market needs in the premium large outboard motors segment, where we expect growth in demand. We will also ramp up marketing measures in emerging markets and other regions where our performance was strong in 2025, with the aim of maximizing sales opportunities.

Furthermore, through the establishment of Yamaha Marine Co., Ltd. we will strengthen collaboration in the development and manufacture of small- and medium-sized outboard motors and boats, thereby enhancing manufacturing competitiveness and profitability. Although we face a difficult business environment in the short term, we will pursue sustainable improvement in corporate value through technology development, business structure reforms, and stronger partnerships, all with a view to achieving growth over the medium to long term.



Strengths	- Superior product reliability - Integrated business strengths supported by operations in a wide-range of business fields and an expansive product lineup - Sales and service capabilities spanning the global market - Technology and expertise cultivated in Land Mobility and other businesses that can be applied to the Marine Products business
Opportunities	- Demand recovery driven by easing inflation and declining interest rates - Growing demand for personal watercraft as their uses continue to diversify - Growing global demand for large outboard motors
Risks	- Dramatic market shifts stemming from climate change, rapid technological innovation, or other factors - Sudden changes in the global economy, exchange rates, and regulations, including additional U.S. tariffs - Rising labor and raw material costs - Supply chain disruptions and rising logistics costs due to geopolitical risks
Issues	- Accelerating new product development - Strengthening advanced technology development

Inputs

R&D Expenses	1.7x vs. previous plan	Capital Expenditure	1.8x vs. previous plan	Investment in Human Capital	North America: 1.3x Japan: 1.1x
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Progress on Medium-Term Management Plan Key Themes

	Key Themes	Progress
Strengthen the large and premium outboard motors categories	Renew product lineup and develop products that meet market needs Increase production capacity to meet global demand	- Large outboard motors: Expanded the lineup for models of 150 horsepower and above and enhanced core performance as planned - Personal watercraft: Introduced a new platform model - Completed production capacity increase (+15% vs. 2024)
Enhance customer experience value	Evolve into an integrated boat business - Expand related products - Broaden the scope of business across the entire marine products ecosystem	- Introduced the Helm Master EX Wireless Station (Wireless Controller with an Integrated Man Overboard System), which won an IBEX Innovation Award - Established Yamaha Motor Connected Innovation N.V. in Finland to promote business in the connected and shared economy domains
Establish global collaboration and business sustainability within the organization	Optimize global development functions Strengthen R&D functions; accelerate development	- Established a marine products testing facility in Europe - Established Yamaha Marine Co., Ltd. (through the merger of Yamaha Kumamoto Products Co., Ltd. and Yamaha Amakusa Manufacturing Co., Ltd.)
Initiatives for social issues	Develop and sell carbon-neutral products under a multi-pathway policy - Advanced development fields - Mass production and sales expansion fields	- Conducted technology demonstration tests using hydrogen outboard motors on actual boats - Developed eco-friendly fiber-reinforced plastic and exhibited it at the Japan International Boat Show and other events - Expanded mangrove planting in Indonesia

Business KPI Targets for 2027

Revenue Growth	CAGR: 8% range	ROS	Mid-20% range*	ROIC	30% range*
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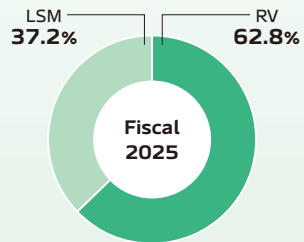
* Before headquarters corporate expense allocations



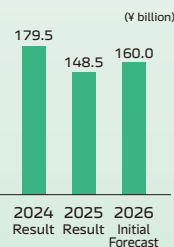
Hiroshi Koike

Executive Officer,
Chief General Manager of Outdoor Land
Vehicle Business Operations

Revenue Breakdown by
Main Product Category



Revenue



Operating Profit



Outdoor Land Vehicle

Business Vision Create synergy in outdoor leisure through two businesses centered on the North American market

The United States is the main market for our RV and LSM businesses. We will work to introduce fundamental reforms of these businesses and generate synergies by collaborating with our other businesses, including the Motorcycles and Marine Products businesses.

Business Overview

The Outdoor Land Vehicle (OLV) business was established in January 2025 to drive foundational innovation for long-term growth and to realize synergy through the consolidation of businesses primarily targeting the U.S. market. OLV comprises the recreational vehicle (RV) and low-speed mobility (LSM) businesses, and serves diverse applications from commercial use to outdoor leisure. It offers a wide range of off-road vehicles, including all-terrain vehicles (ATVs) and recreational off-highway vehicles (ROVs), as well as low-speed mobility products including golf cars, utility vehicles, and (in the United States) low-speed vehicles (LSVs) and personal transportation vehicles (PTVs).

More than 50% of global demand for ATVs comes from the U.S. market, where we meet diverse needs with a wide-ranging lineup—from utility models to sport types. Similarly, the United States is the primary market for ROVs, which continue to see stable demand not only for outdoor leisure but also for commercial use, with the overall market showing a growth

trend. In recent years, demand has been rising noticeably for greater versatility and enhanced passenger comfort. Going forward, we will need to pay close attention to how customers' value expectations continue to shift.

The U.S. market accounts for nearly 80% of global demand in the LSM segment—including golf cars, utility vehicles, LSVs, and PTVs. The COVID-19 pandemic accelerated changes in people's lifestyles, resulting in a significant increase in demand for short-distance transportation other than at golf courses.

Among the many global players in the powersports and personal mobility industries, Yamaha Motor is the only brand that offers a full range of outdoor recreation products, spanning both land and water use, that customers can enjoy throughout their lives. Working in collaboration with our Motorcycles, Marine Products and other businesses, we aim to expand the market share of the OLV business in the United States.

Market Environment

ATVs and ROVs

Main Market North America



Grizzly 700 EPS

Wolverine RMAX4

The North American market accounts for the majority of demand. The market has returned to the solid growth trend seen prior to the COVID-19 pandemic. Many of our customers already own or intend to buy other Yamaha Motor products, resulting in a significant ripple effect on our other product lines.

Main Competitors POLARIS, BRP, HONDA, KAWASAKI

Golf Cars, PTVs, and LSVs

Main Market North America



G30Es

UMAX

The North American market accounts for the majority of demand. Since the COVID-19 pandemic, LSM vehicles suitable for use on public roads have seen steady growth. Overall demand for golf cars remains stable. We are continuing new model development and cost reduction activities.

Main Competitors CLUB CAR, E-Z-GO, ICON, STAR, EVOLUTION

Outdoor Land Vehicle

Review of Fiscal 2025

In fiscal 2025, the OLV business recorded revenue of ¥148.5 billion, with an operating loss of ¥39.8 billion. Sales declined against a backdrop of shifts in demand trends and the competitive landscape in the North American market. In addition, increased R&D expenses and an impairment loss on non-current assets resulted in a year-on-year decline in revenue and a deterioration in profitability.

The OLV business was launched as a new segment in fiscal 2025 with the aim of reinforcing the foundation for long-term growth and creating synergies through business consolidation centered on the U.S. market. However, in addition to existing competitive challenges, the impact of additional tariffs has made a review of the profit structure an even more crucial issue. Given these circumstances, 2025 was a year dedicated to laying foundations, including initiating profit structure reforms, primarily in the core U.S. market.

Future Policies and Key Measures

Persistent factors causing uncertainty in the operating environment include demand trends, the competitive landscape, and international trade policy developments, particularly in our core U.S. market. However, we believe there is ample room for improvement in the medium to long term through reviews of our business operations and profit structure.

Based on this view, in 2026 we will further advance the business structure reforms we initiated in 2025, and cost improvements for in-house and procured components, primarily in the United States. We also plan to improve profitability by optimizing resource allocation to development and other functions, which will raise the efficiency of business operations.

In the short term, we will focus on cost reductions and improved investment efficiency. By closely aligning production with sales, we will further optimize inventory turnover in terms of months and reduce selling expenses. By concurrently promoting platform development, we plan to increase development efficiency as we work to improve the top line going forward. Through the cumulative impact of each of these measures, we expect 2026 to be a year of further accelerating and advancing the rebuilding of our profit base.

Strengths	- Strong brand image, technological capabilities, and trusted quality cultivated through motorsports - Strong brand image, technological capabilities, and trusted quality cultivated through the golf course-use segment
Opportunities	- Rising demand for higher value-added recreational off-highway vehicles (ROVs) and all-terrain vehicles (ATVs) in the U.S. market - Increasing demand for low-speed mobility in the U.S. market - Used vehicle sales business utilizing off-lease golf course vehicles
Risks	- Rapid changes in the global economy, exchange rates, environmental regulations, and other external factors - Further intensification of competition resulting from new players entering the market
Issues	- Need to strengthen the supply chain and B2C sales network - Delays in updating the model lineup - Lag in technological development to meet growing needs for higher value-added products

Inputs

R&D Expenses	1.7x vs. previous plan	Capital Expenditure	2.2x vs. previous plan	Expansion of Human Capital	Engineers RV: 1.2x, LSM: 1.1x
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Progress on Medium-Term Management Plan Key Themes

	Key Themes	Progress
Build a foundation for the future through next-generation platform development	RV: Develop a new platform capable of meeting cross-segment needs LSM: Expand value offerings in low-speed mobility by developing a new platform compatible with golf cars, PTVs, and LSVs	RV: Strengthened sales monitoring to improve the cash conversion cycle, and enhanced SCM operations to better respond to market changes; worked to develop a new platform model with a number of variations to expand the product lineup LSM: Worked to develop a new platform model
Make additional investment decisions during the Medium-Term Management Plan period	Assess market growth and the effectiveness of the U.S. integration strategy to determine by 2026 whether to make further investments in North America - Expand OLV production capacity - Construct additional RV development facilities - Strengthen business management functions	Currently reviewing our business direction in light of changes in the operating environment, with a policy to be announced in 2026

Business KPI Targets for 2027

Revenue Growth	CAGR: 5% range	ROS	2% range*	ROIC	3% range*
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* Before headquarters corporate expense allocations

Close-Up >>> Launching Five-Seater Electric Golf Cars with Newly Developed In-house Battery Technology

Yamaha Motor golf cars are built on technologies developed over many years and proven reliability, giving them one of the largest market shares in Japan. As a new starting point for our next-generation LSM business, in June 2025 we began domestic market sales of two new five-seater electric golf cars, the G30Es and the G31EPs.

The models feature newly developed lithium-ion

batteries and vehicle control units. The batteries were produced entirely in-house,¹ from development through manufacturing. Moreover, they use lithium iron phosphate materials, thereby achieving high reliability and a long lifespan. Moreover, the AC motor and optimized regenerative braking system ensure a smooth and pleasant ride as well as high power efficiency, reducing power consumption by about 30%

compared to previous models.² In this way they help reduce environmental load and running costs.

In 2025, the LSM business celebrated fifty years of Yamaha Motor golf cars. Centered on our core of electrification and in-house production technologies, we will continue working to realize sustainable mobility in society.



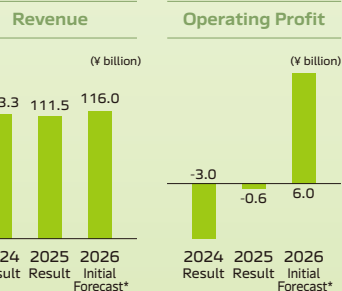
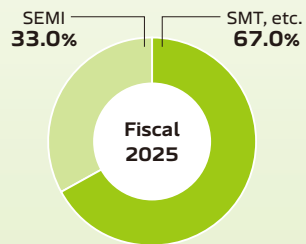
1. Development: Yamaha Motor Co., Ltd.; Manufacturing: Yamaha Motor Powered Products Co., Ltd.
2. Yamaha Motor research



Ayako Egashira

Executive Officer,
Chief General Manager of
Solution Business Operations

Revenue Breakdown by
Main Product Category



* As of 2026, the UMS business (unmanned systems, primarily drones and industrial-use unmanned helicopters) has been transferred to the Others segment.

Robotics

Business Vision

Supporting a rapidly digitalizing society and transforming the mobility production processes with our One-Stop Smart Solution

Leveraging a broad product lineup, we support automation and labor-saving at customers' production sites, contribute to addressing labor shortages and rising labor costs, and drive business growth.

Business Overview

The Robotics business began when we applied the automation and labor-saving expertise cultivated at our own manufacturing sites to external markets, starting with the launch of our industrial robot operations in the early 1980s. Following the transfer of the UMS business (unmanned systems, primarily industrial-use unmanned helicopters and drones) to the Others segment in 2026, the Robotics business mainly comprises three segments: SMT (surface mounting technology-related equipment), SEMI (semiconductor back-end processing equipment), and FA (industrial robots and other factory automation solutions).

In the global manufacturing industry, the need for automation and labor-saving is expected to intensify due to labor shortages and other factors. Additionally, with the proliferation of generative AI, demand for semiconductor-related products is projected to rise, presenting significant opportunities for this business. Our strengths lie in our lineup of high-precision, reliable products such as SMT equipment. Furthermore, by integrating our diverse product groups, we can provide automation and

labor-saving solutions for the entire production floor not just for individual production processes, but also at the production line level, through cross-selling that takes advantage of our strength in factory automation systems. The Robotics business provides solutions to customers' needs by optimizing entire factories, which ultimately contributes to more fulfilling lifestyles for their end users.

In particular, in the high-growth SEMI segment, we will accelerate research and development as well as capital expenditure in cutting-edge semiconductor-related technologies. In 2025, we merged our wholly owned subsidiary, Yamaha Robotics Holdings Co., Ltd., with its wholly owned subsidiaries Shinkawa Ltd., Apic Yamada Corporation, and PFA Corporation, to establish Yamaha Robotics Co., Ltd. Through the merger, Yamaha Robotics will accelerate value creation beyond customer expectations, striving to become one of the world's leading total solution providers in semiconductor back-end processing and surface mounting technology.

Market Environment

Surface Mounting Technology-Related Equipment (SMT)

Main Markets: Japan, Asia, Europe and U.S.

Driven by investment in AI data centers, demand relating to circuit board assembly is expanding in markets worldwide. Amid rapid development of generative AI, we have introduced the Hybrid Placer, which can handle both large semiconductor components and standard electronic components on a single machine, further extending our product range and helping us to attract a broader customer base.



SMT equipment, printers, systems and software, etc.

Main Competitors

FUJI, PANASONIC, ASMPT, HANWHA

Semiconductor Back-End Processing Equipment (SEMI)

Main Markets: Japan, Asia, Europe and U.S.

As the market for advanced semiconductors grows along with the expansion of generative AI, we offer total solutions for semiconductor back-end processing. Leveraging our processing technologies and close collaboration with customers, we are creating new value and expanding our business by strengthening our presence in advanced semiconductors for generative AI, memory, and optical communications, while utilizing Yamaha Robotics' global network.



Bonding equipment, molding equipment, etc.

Main Competitors

ASMPT, BESI, K&S, TOWA

Industrial Robots (FA)

Main Markets: Japan, Asia, Europe and U.S.

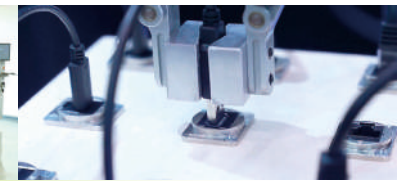
With a global labor shortage driving increased demand for factory automation, we provide a lineup of high-speed, high-precision SCARA-type robots and linear conveyor modules as well as low-profile single-axis robots and cobots. We aim to drive growth by strengthening our solutions for companies operating globally.



Linear conveyor modules, SCARA-type robots, etc.

Main Competitors

EPSON, MITSUBISHI, DENSO, IAI, INOVANCE



Robotics

Review of Fiscal 2025

Investment remained firm in electronic component and semiconductor markets, particularly in areas related to generative AI. Nevertheless, demand varied by region and sector due in part to curtailed investment resulting from additional U.S. tariffs. Under these conditions, we steadily pursued a profitability-focused sales approach and progressed with cost structure reforms in our core SMT business. At the same time, sales in the SEMI business also grew, backed by robust demand for generative AI and from other advanced technological fields. This resulted in an improved overall profit structure for the Robotics business and a substantial reduction in operating loss from the previous year. Moreover, 2025 was a year of reinforcing our foundation for medium- to long-term growth by enhancing our ability to create customer-driven value, including through the merger of four robotics-related subsidiaries, with Yamaha Robotics Co., Ltd. as the surviving company.

Future Policies and Key Measures

We have seen major changes in our operating environment over the past few years due to factors including trends in economic security policies, geopolitical risks, and shifts in the competitive landscape. Nevertheless, the market as a whole is expected to grow over the medium to long term, and we view the expansion of new demand associated mainly with generative AI, and the transition to advanced technologies as significant opportunities for our business.

Although we cannot count on rapid market expansion in 2026, we aim to secure steadily growing demand and achieve both sales growth and improved profitability. In the SMT business, we will continue our profit-focused strategy while capturing demand from mid-sized users of AI-related devices, consumer electronics, and power equipment. In the SEMI business, we will drive growth by expanding sales of our new wire bonders and by steadily capturing demand related to generative AI and the expanding advanced semiconductor packaging market. We are also leveraging the business foundation established through the merger of four robotics-related subsidiaries in July 2025 to take a unified approach to development, manufacturing, and sales. In addition to improving manufacturing and procurement efficiency, we will use the technologies and production expertise of each company across the organization to strengthen product development capabilities and supply responsiveness, thus achieving tangible benefits from the integration.

Strengths	- Provision of products and services with value aligned to customer needs through unified production, sales, and technology operations - Provision of total solutions from semiconductor manufacturing processes to mounting and assembly - Co-creation capabilities founded on strong relationships with business partners
Opportunities	- Expected market growth in tandem with technological innovation and increasing demand - Demand for semiconductor parts driven by the expansion of generative AI - Growth in semiconductor-related markets and shifting regional dynamics - Growth of market share through acquisition of new customers and development of cutting-edge technologies
Risks	- Economic security and geopolitical risks - Intensifying price competition - Competition to develop new technologies in the SEMI segment
Issues	- Difficulty in securing profits due to rising costs; need to improve profitability - Keeping up with short turnaround times and large shifts in demand volume (supply chain, inventory, and human resources)

Inputs

R&D Expenses	1.3x vs. previous plan	Capital Expenditure	0.7x (SMT) 2.2x (SEMI) vs. previous plan	Expansion of Human Capital	1.2x
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Progress on Medium-Term Management Plan Key Themes

	Key Themes	Progress
Surface mounting technology (SMT)	Establish a top-three position in the industry by focusing on acquiring major automotive and EMS customers - Target areas: Automotive parts, communication devices, and network infrastructure-related sectors - Acquire new major automotive and EMS customers - Improve profitability - Strengthen proposal and support capabilities for customers operating globally	- Acquired major customers in the growing data center (communication devices and network-related) sector - Implementing cost reforms centered on mainstay models - Promoted sales and established a service system in the Indian market
Semiconductor back-end processing equipment (SEMI)	Stay ahead of technological advances and redefine our market position - Priority areas: Advanced semiconductors (including AI-related), memory, optical communications, and next-generation semiconductors - Launch new platform models in core areas - Develop and expand sales of solutions in growth areas - Strengthen global sales and service capabilities	- Integrated subsidiaries into Yamaha Robotics Co., Ltd. to maximize synergies - Increased mold die production capacity by making Apic Yamada Precision Corporation a wholly owned subsidiary - Launched new platform models UTC-RZ1 (wire bonder) and MS-R (molding equipment) - Expanded sales in advanced semiconductor and optical communications semiconductor markets related to generative AI - Enhanced sales and service capabilities in key regions; established sales and service systems in the Indian market
Factory automation (FA)	Deliver automation solutions in collaboration with the SMT and SEMI segments Rebuild business models to return to a growth trajectory	- Improved proposal capabilities for automation solutions and grew sales by securing more projects - Contributed to the automation of semiconductor back-end processing and establishment of industry labor-saving standards through participation in the Semiconductor Assembly Test Automation and Standardization Research Association (SATAS)

Business KPI Targets for 2027

Revenue Growth	CAGR: 15% range	ROS	17% range*	ROIC	15% range*
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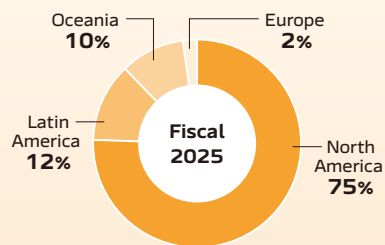
* Before headquarters corporate expense allocations



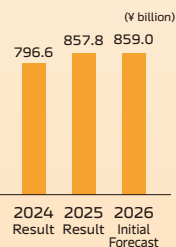
Jeffrey Young

Executive Officer,
President & CEO of Yamaha Motor
Finance Corporation

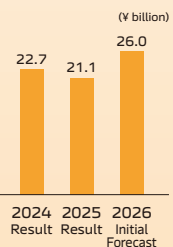
Portfolio Distribution by Region



Finance Assets



Operating Profit



Financial Services

Business Vision

Provide sound Financial Services that contribute new *Kando* and a more fulfilling life for Yamaha customers

By establishing ongoing customer touchpoints through financial services, we not only support customers when they buy our products but also maintain and deepen our relationship with them over the long term. In doing so, we provide customers with new excitement and a more fulfilling life while contributing to a more stable earnings base and sustainable growth for the Yamaha Motor Group as a whole.

Business Overview

Our value proposition in the Financial Services business is: (1) Incremental sales; (2) Customer retention with customer/unit journey; (3) Consistency through any economic conditions; and (4) Profitability.

In realizing this value, our financial services offers both retail and wholesale financing that supports the sale of Yamaha Motor products, as well as insurance and related services.

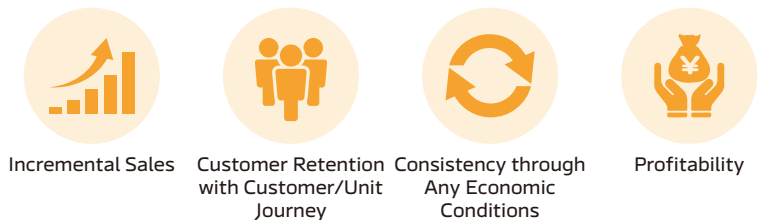
This financing includes loans and leases that make Yamaha Motor products more economically accessible to customers and dealerships, and also helps dealerships maintain working capital. They foster the decision to buy and promote market penetration.

As for insurance and related services, we provide extended warranty programs that allow customers to enjoy our products with greater peace of mind. We also offer one-stop solutions that address insurance needs relating to the use of our products.

The Financial Services business seeks to provide global solutions tailored to the business conditions and regulatory requirements of each region. In addition to supporting the sustainable growth of each of our

businesses in each region we serve, we will continue promoting financial service solutions that help to provide new excitement and more fulfilling lives for Yamaha Motor customers.

Value Proposition of the Financial Services Business



Market Environment

Financing

Main Markets: North America Latin America Oceania Europe

We provide financial service solutions to create conditions that make it easier for dealerships to sell Yamaha Motor products and for customers to purchase them.

In Brazil, we offer a group-purchase program unique to the region, whereby multiple participants form a consortium and make fixed monthly payments, enabling members to obtain motorcycles in turn. Through programs such as this, we provide financing solutions tailored to local customs and practices.

Main Products and Services Loans, leases (consumer and commercial), consortium program
Products Covered Yamaha Motor products

Insurance and Related Services

Main Markets: North America Latin America Oceania Europe

We aim to help customers enjoy Yamaha Motor products more easily and with greater peace of mind by precisely identifying customer needs, reducing concerns associated with product ownership and usage, and providing one-stop services.

Main Products and Services Insurance brokerage, extended warranties
Products Covered Yamaha Motor products



Financial Services

Review of Fiscal 2025

We operated in a highly uncertain economic environment in 2025 due to external factors such as U.S. tariff policies. Nevertheless, the Financial Services business performed steadily, as finance assets increased 8% year on year to ¥857.8 billion, supported in part by an increase in financing related to marine products.

While revenue increased as a result of the increase in finance assets, operating profit was ¥21.1 billion, affected by a one-time impact from the fair value measurement of interest rate swaps. Business ROA was 2.4%.

Yamaha Motor Finance Corporation (YMFC), which oversees the Group's global financial services business, was established in the United States in 2022. By 2025, it had completed the reorganization of its financial services subsidiaries in the United States, Canada, Brazil, France, Australia, and New Zealand. As the YMFC Group, we have formed a global team and made operational improvements in France and Canada. We are also conducting timely and appropriate appointment to the right roles of excellent talent from within the Group.

Future Policies and Key Measures

Under the current Medium-Term Management Plan, we will roll out our unique, sustainable Financial Services business in the global market, aiming for ¥1 trillion in finance assets, ROA of 3.0%, and ROE of 10%.

Based on a global governance structure, the plan promotes three pillars: competitiveness, growth potential, and profitability. We will strengthen competitiveness through closer collaboration with product sales businesses and the use of technology. We will also improve capital efficiency by ensuring appropriate capital management, thereby further raising the competitiveness and profitability of the Financial Services business. With regard to growth potential, we are considering expanding the extended warranty and insurance businesses, providing financial service solutions for peripheral products, and entering new markets. Through these initiatives, we seek to make an even greater contribution to the product sales businesses.



Example Yamaha Products available in overseas markets in conjunction with financial services

Strengths	• Providing stable services over the very long term, unaffected by economic conditions • Building strong, lifelong bonds with customers • Sustainable revenue growth
Opportunities	• Securing earnings and growth in new markets (Europe and Latin America) • Expanding financing programs for marine products • Expanding financial services to include extended warranties, insurance, and peripheral products
Risks	• Increase in funding costs stemming from geopolitical and market uncertainties • Increase in bad debt • Increase in operational risk
Issues	• Global business risk management ▶ Measures: Establish a global governance structure based on business management company Yamaha Motor Finance Corporation (YMFC) • Contributing more to product sales businesses ▶ Measures: Strengthen inter-business collaboration and use technology to raise business competitiveness • Raising ROE ▶ Measures: Conduct effective capital management within the Group through YMFC

Inputs

Innovation	Increase speed of adoption of FinTech	Talent Management	The right person, in the right role, at the right time	Governance, Risk Management, and Compliance	Robust governance structure and globalized one business operation
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Progress on Medium-Term Management Plan Key Themes

	Key Themes	Progress
Improving the competitiveness of the Financial Services business	• Timely and appropriate promotion to the right roles of capable talent • Increase the sophistication of compliance and governance • Improve business capital efficiency (ROE)	• Made business improvements in the global team • Promoted deployment of talent from within the Group • Formulated and implemented capital policies for the Financial Services business in stages
Contributing to product sales businesses	• Increase the usage sophistication and utilization rate of financial services • Provide more sophisticated services using technology • Expand business, including entry into new markets	• Identified and rolled out best practices • Upgraded customer touchpoint systems in the United States and other regions • Increased the number of users of marine product financing

Business KPI Targets for 2027

Finance Assets	¥1 trillion	ROA	3.0% level ¹	ROE	10% level ²
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1. Operating profit / Average receivables 2. Net Profit / Average Equity

Overview of Sustainability Strategies

We believe that contributing to the sustainable development of society through business activities in line with our Corporate Mission to be a *Kando* Creating Company represents the kind of approach to sustainability expected of Yamaha Motor. The Company has positioned sustainability as a key pillar of its management and is kick-starting efforts aimed at building a more sustainable world.

Yamaha Motor Group Sustainability Basic Policy

The Yamaha Motor Group's Corporate Mission is to be a *Kando* Creating Company. We aim to offer people all over the world joy, amazement, elation, fulfillment, and happiness through our products and services while maintaining harmony with society and the global environment. To achieve this, we will leverage the empathy arising from connections between people as an engine for creating new value. As a company trusted by society, we will, under appropriate corporate governance, contribute to the resolution of societal issues and sustainable development through innovative and diverse products and services, in ways that embody the unique style of Yamaha.

We ask our business partners to uphold this policy and act in accordance with it. ▶ Yamaha Motor Group Sustainability Basic Policy on our website

- We will comply with international rules, laws, and ordinances, and at the same time, we will work to prevent corruption and execute our operations with fairness and integrity.
- We will respect human rights, will not discriminate, and will not use child labor or carry out forced labor in any form.
- We will value our relationships with our stakeholders and disclose information in a timely and appropriate manner.

Sustainability Promotion Structure

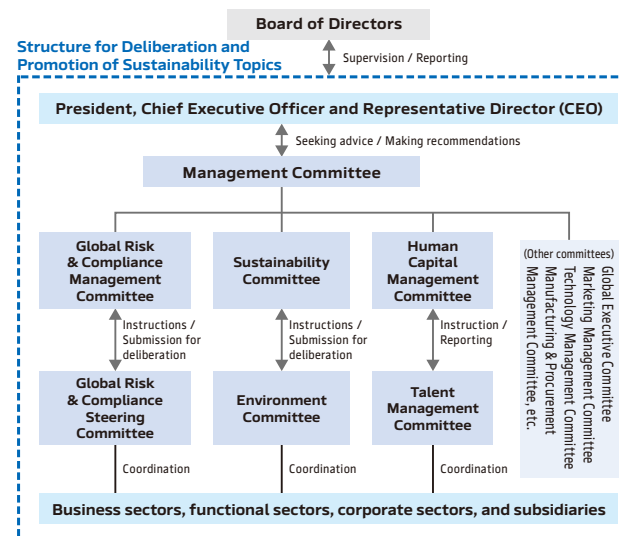
The Board of Directors formulates Groupwide basic policies relating to sustainability, oversees responses to sustainability issues, and regularly reviews their implementation status.

The Management Committee, chaired by the President and Chief Executive Officer, and with executive officers as members, deliberates on and determines responses to sustainability issues.

Furthermore, the Company has established three subordinate committees that, subject to deliberation by the Management Committee, formulate medium- to long-term plans, conduct risk assessments, and carry out monitoring from a specialized perspective: the Sustainability Committee, the Global Risk & Compliance Management Committee, and the Human Capital Management Committee. Each committee is chaired by an executive officer, with members comprising executive officers and chief general managers designated by the respective chair.

In addition, the Sustainability Committee is supported by the Environment Committee, the Global Risk & Compliance Management Committee is supported by the Global Risk & Compliance Steering Committee, and the Human Capital Management Committee is supported by the Talent Management Committee. These committees review and deliberate on specific topics and monitor the progress of related initiatives.

Sustainability Promotion Structure



External Recognition

FTSE4Good Index Series
 FTSE JPX Blossom Japan Index
 FTSE JPX Blossom Japan Sector Relative Index
 MSCI ESG RATINGS (AAA rating)¹
 MSCI Japan ESG Select Leaders Index²
 MSCI Selection Indexes³
 CDP (Rated A- in the climate change category and B- in the water security categories for 2025)
 Bright 500, 2026 Outstanding Organizations of KENKO Investment for Health Program (Large Enterprise Category)



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3. Kindly note that MSCI ESG Leaders Indexes was renamed as MSCI Selection Indexes in February 2025.

Environmental Plan 2050

The Yamaha Motor Group Environmental Plan 2050 is the basis for implementing our environmental strategy. Under the plan, we have set climate change, resource recycling, and biodiversity as priority action themes, with carbon neutrality, a circular economy, and nature positive as goals. In 2025, we conducted a nature-related impact assessment in line with the Taskforce on Nature-related Financial Disclosures (TNFD) framework, recognizing the importance of nature across all of these priority action themes.

Overview of Yamaha Motor Group Environmental Plan 2050 ▶ Yamaha Motor Group Environmental Plan 2050 on our website

Action Themes	2050 Targets	Key Risks	Key Opportunities	Initiatives and Progress
Climate Change	Carbon Neutrality Achieve carbon neutrality across the entire supply chain by 2050 Achieve carbon neutrality for Scope 1 and 2 emissions by 2035	Short-term Initiatives to ensure compliance with emissions standards in each country and region may increase development costs. Medium-term Rising motorcycle demand in emerging markets may increase CO ₂ emissions from operations, and the introduction of carbon taxes may increase operating costs. Long-term Heightened environmental awareness may lead to a drop in sales of products that use fossil fuels.	Short- to medium-term Economic growth in emerging markets is increasing demand for motorcycles as an affordable means of transportation. Demand for electric models is growing, mainly in developed markets. Long-term Electric models may be widely adopted.	p. 45
Resource Recycling	Circular Economy Use of sustainable raw materials: 100%	Short- to medium-term As electrification in mobility accelerates, shortages of scarce resources required for storage batteries may lead to higher procurement costs. Long-term Growing resource consumption in emerging markets may lead to heightened procurement risks, including resource shortages and cost increases.	Short-term Demand may increase for mobility that is resource-efficient in terms of raw materials and energy use. Medium-term The rental business and sharing services may grow. Long-term Resource-efficient ultra-compact mobility is being integrated into social infrastructure.	p. 47
Biodiversity	Nature Positive Strengthening of environmental conservation and biodiversity promotion activities in various countries and regions	Short- to long-term Extreme weather events associated with climate change may cause the destruction of ecosystems in oceans, mountains, and forests where our products are used.	Short- to long-term Increased awareness of the need to conserve the natural environment may drive growth in the outdoor recreation market.	p. 47

Short-term: Would impact near-term financial performance (including the potential for the issue materializing within three years)

Medium-term: Requires significant adjustments to our strategy (including the potential for the issue materializing over a timeframe of three to six years)

Long-term: Fundamentally affects the viability of our long-term strategy and business model (including the potential for the issue materializing over a timeframe of six or more years)

Governance

As detailed under “Sustainability Promotion Structure” → p. 43, the environment is positioned as one of the Company’s key management issues. To advance environmental initiatives, we have established the Environment Committee, chaired by the executive officer responsible for promoting environmental initiatives or the person designated by that executive officer. The Environment Committee meets four times a year. Its responsibilities include deliberating on policies and visions related to climate change, resource recycling, biodiversity, and other environmental issues; formulating the Yamaha Motor Group’s long-term environmental plan (Environmental Plan 2050); and conducting annual reviews of each business unit’s progress against its targets. We have established the Environment Promotion Meeting and the Product Environmental Regulation Committee as subordinate bodies of the Environment Committee to organize matters relating to specific issues and consider response policies.

In addition, the status of sustainability management—including the results of environmental management initiatives, progress in improving organizational culture to accelerate human capital management, and the overall progress and results of risk and compliance management—is included in the evaluation criteria for Companywide performance-based compensation of directors, including the President (excluding outside directors).



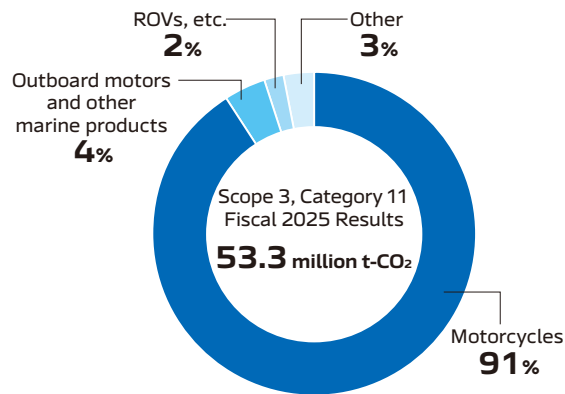
Climate Change

We support the objectives of the Paris Agreement, the international framework for addressing climate change. In our Sustainability Basic Policy, we commit to promoting technological development to help prevent global warming, to minimizing the environmental impact of our business activities, and to conserving biodiversity and using natural resources sustainably.

Yamaha Motor's Climate Targets

2050 Target	Carbon neutrality across the entire supply chain
2035 Targets	Scope 1 and 2: Achieve carbon neutrality Scope 3, Category 11: 27% reduction (compared with 2024)
2030 Targets	Scope 1 and 2: 80% reduction (compared with 2010) Scope 3, Category 11: 13% reduction (compared with 2024)

CO₂ emissions associated with the use of our products (Scope 3, Category 11) account for more than 80% of the Yamaha Motor Group's total CO₂ emissions, making reductions in this category a key priority.



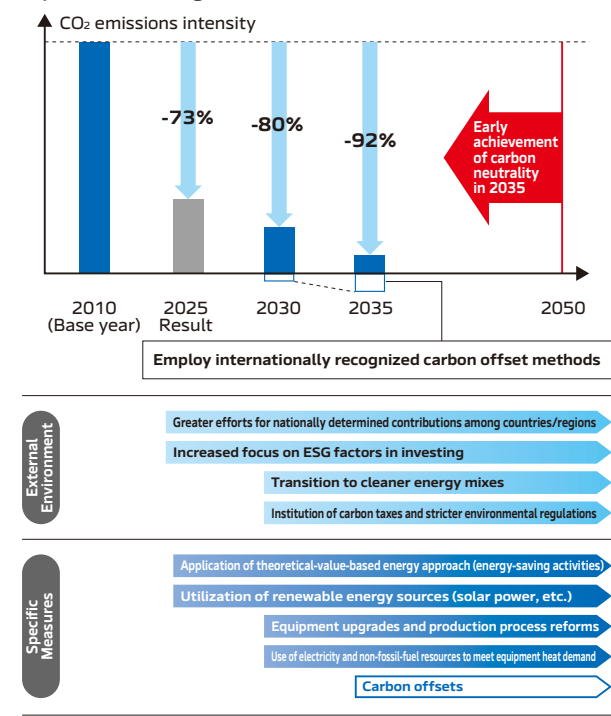
Note: Calculated using the Emissions Unit Value Database (Ver. 3.6) based on the Basic Guidelines on Accounting for Greenhouse Gas Emissions Throughout the Supply Chain (Ver. 2.8) issued by Japan's Ministry of the Environment.

Yamaha Motor's Approach to Carbon Neutrality

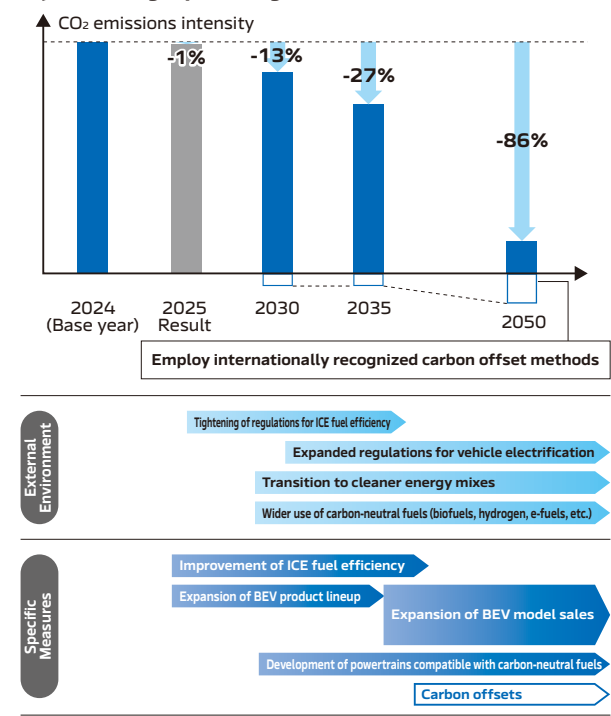
We are working to reduce CO₂ emissions through a multi-pathway approach with the goal of achieving carbon neutrality by 2050 (→ p. 46). For Scope 1 and 2 emissions and Scope 3 Category 11 emissions, we have identified expected changes in the external environment, developed corresponding measures, and incorporated them into the roadmap below.

For Scope 1 and 2, we are reducing CO₂ emissions through four key initiatives: application of the theoretical-value-based energy approach, the introduction of renewable energy, equipment and process upgrades, and the use of electricity and non-fossil fuel resources to meet equipment heat demand. In addition to these initiatives, in fiscal 2025 we established ZERO BLUE LAB Mimori, a demonstration facility for hydrogen-related technologies, as part of our efforts to minimize Scope 1 emissions. The facility is equipped with a hydrogen-compatible melting furnace and heat-treatment furnace, and we plan to roll out these technologies across the Group through demonstration testing of fossil fuel-free processes using hydrogen fuel. From 2026 onward, we plan to install additional equipment at the facility for producing low-cost green hydrogen, as well as for capturing CO₂ from exhaust gases and converting it into synthetic methane, with the aim of establishing a more comprehensive set of technologies that support carbon neutrality. As a result of these efforts, in fiscal 2025, Scope 1 and 2 emissions fell by approximately 6% year on year. This represents approximately 47% reduction from the base year (2010). As such, we are making steady progress toward our reduction target for 2030 (80% reduction from the base year).

Scope 1 and 2 Targets



Scope 3, Category 11 Targets



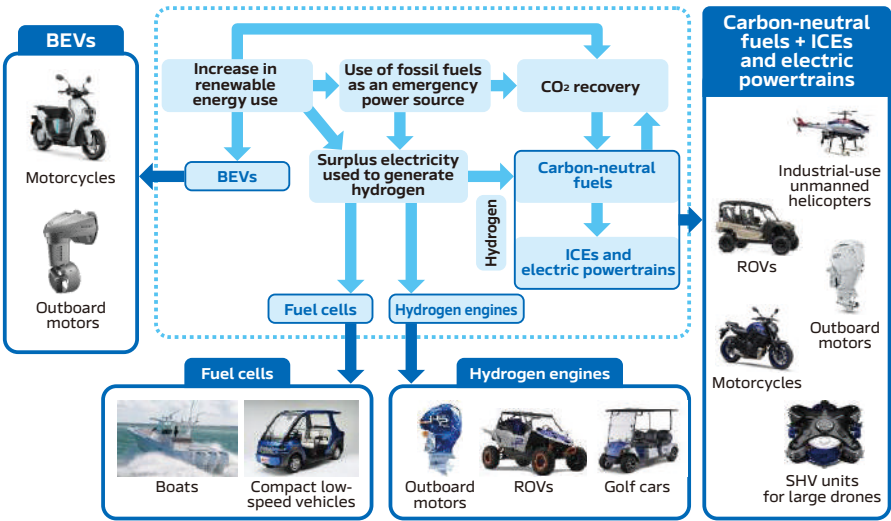
ICE: Internal combustion engine; BEV: Battery electric vehicle

Multi-Pathway Initiatives

A multi-pathway approach seeks to achieve carbon neutrality through multiple options pursued in parallel rather than relying on any single solution or technology. As a global company, we recognize the importance of having multiple options in our carbon neutrality strategy given future uncertainties arising from regional differences in product usage environments and resource constraints. As a manufacturer of transportation equipment, CO₂ emissions from product use (Scope 3, Category 11) account for a significant share of emissions in our value chain. We therefore believe that advancing the development and adoption of compact mobility solutions with lower lifecycle CO₂ emissions—from raw materials to manufacturing, use and disposal—through a multi-pathway approach will enhance the effectiveness of our efforts to achieve carbon neutrality. In addition to improving fuel efficiency of ICE-powered products and promoting electrification, the development of powertrains that can support a diverse range of energy sources, including carbon-neutral fuels (hydrogen, biofuels, e-fuels, etc.), is a key pathway for the Company. We believe that further CO₂ emissions reductions can be achieved by reducing emissions from battery manufacturing and expanding renewable energy-powered charging infrastructure.

We will continue to expand our options in response to changing circumstances and steadily reduce Scope 3 emissions, thereby helping to bring about a carbon-neutral society.

Anticipated Future Mobility Energy Mix



Examples of Specific Initiatives

Improved Fuel Efficiency in the Redesigned 50-Horsepower Mid-Range Outboard Motor

In 2025, we implemented minor design updates to seven variants across five models of our four-stroke outboard motors. For the F50L and the high-thrust FT50N, a new electronically controlled fuel injection system featuring an updated Engine Control Unit (ECU) enhances combustion efficiency, resulting in approximately 5–8% better fuel economy.



Hydrogen Engine Motorcycle Unveiled at Japan Mobility Show

At Japan Mobility Show 2025, we unveiled the H2 Buddy Porter Concept, a hydrogen engine motorcycle concept currently under joint development with Toyota Motor Corporation. Toyota developed a new compact high-pressure hydrogen tank certified by the Ministry of Economy, Trade and Industry (METI) suitable for motorcycles and scooters, while Yamaha Motor was primarily responsible for developing the hydrogen engine and chassis, among other components. On a full tank, the model achieved a cruising range of over 100 kilometers in testing. The model also takes into account the various technical requirements for public road use based on existing regulations and complies with Euro 5 emissions standards, including NO_x limits.

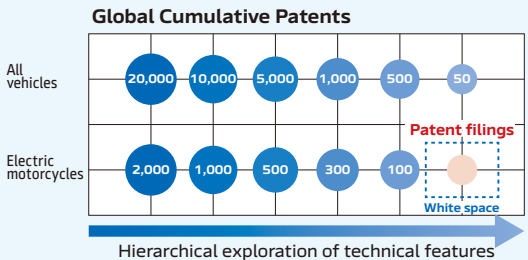
▶ H2 Buddy Porter Concept on our website

Development of a Power Management System for Fuel Cell Vehicles (FCVs)

Yamaha Motor Engineering Co., Ltd. has developed a hybrid system combining a fuel cell and a lithium-ion capacitor (LiC) for use in compact electric mobility vehicles that need to deliver high power quickly. While FCVs offer excellent cruising range, load fluctuations can cause performance to degrade over time. Our technology mitigates these fluctuations, enabling high power responsiveness. Compared with conventional systems that use lithium-ion batteries (LiBs) as secondary batteries, the new system is approximately 53% more compact, 50% lighter, and delivers approximately 23% better acceleration performance. These advances are expected to support the development of compact mobility solutions with lower lifecycle CO₂ emissions.

Leveraging Intellectual Property Analysis in the Electrification Domain

Under its multi-pathway approach, Yamaha Motor is advancing its intellectual property (IP) strategy, which is aligned with the motorcycle premium segment strategy in emerging markets, while preparing for the deployment of a diverse powertrain lineup, including for battery electric vehicles (BEVs). In the electric motorcycle domain, we systematically conduct IP analysis of technologies and assess the competitive landscape to identify untapped opportunities (i.e., “patent white space”). This enables us to optimize our IP portfolio and further advance electrification technologies. In addition, by utilizing IP-related KPIs, we continuously monitor our competitive advantages and enhance our IP activities to support next-generation mobility, including BEVs. Through these efforts, we aim to strengthen our competitiveness and achieve sustainable growth.



Resource Recycling

We are promoting initiatives aimed at realizing a circular economy in line with the goal of effective use and recycling of limited resources.

Social Trends Related to Resource Recycling

The European End-of-Life Vehicles (ELV) Regulation was proposed in July 2023, and a provisional agreement was announced in December 2025. Following formal adoption by both the European Parliament and the Council of the European Union, the ELV Regulation is expected to enter into force in 2026. Meanwhile, in Japan, the Act on Promotion of Resource Circulation for Plastics came into effect in April 2022. The legislation calls for the establishment of resource circulation systems across the entire product lifecycle, from design and manufacturing to disposal, collection, and recycling.

In response to these developments and the growing adoption of recycled materials in the automotive industry, Yamaha Motor has adopted a policy of transitioning the materials used in its products to sustainable materials¹ by 2050.

Initiatives toward a 100% Sustainable Material Usage Rate

Yamaha Motor uses a wide variety of materials in its products. For key materials—steel, aluminum alloys, commodity plastics, and engineering plastics—we are advancing initiatives based on three pillars: (1) Development of recycled materials, (2) Adoption of green materials produced using renewable energy, and (3) Development of plastics incorporating plant-derived materials. To date, we have expanded the use of electric furnace steel sheets for packaging frames and promoted the development of recycled aluminum alloys used in motorcycle engines.

For aluminum, recycled materials are already used in many cast engine components for motorcycles. However, alloys based on virgin materials continue to be used in certain major overseas models. To address this, we have been evaluating the replacement of current materials with recycled materials designed to deliver equivalent performance, with the aim of further expanding the use of sustainable materials.

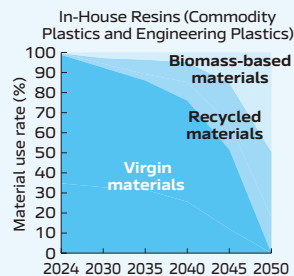
As a result, approximately 40% of all steel, aluminum alloys, and commodity plastics purchased for use in our in-house manufactured components have already been transitioned to sustainable materials. Nevertheless, establishing a methodology for understanding the extent of sustainable material use in components that are purchased from suppliers remains a challenge.

Examples of Specific Initiatives

Commodity Plastics and Engineering Plastics

The resins used in our in-house manufacturing include commodity plastics such as PP and ABS, as well as engineering plastics such as PA. At present, PIR materials² are used in some PP applications, and we are working to expand their use. For ABS, we are also considering switching to recycled ABS and the adoption of materials that produce lower CO₂ emissions. For engineering plastics, which require high strength, it is first necessary to assess the feasibility of developing recycled materials.

As future supply constraints have been identified as a challenge in the recycled plastics market, we plan to advance the replacement of virgin materials. This will include utilizing biomass-based materials in addition to securing recycled materials, including PIR and PCR materials.³



1. Sustainable materials: Collective term for recycled materials, green materials, and biomass-based materials
2. Post-industrial recycled (PIR) materials: Recycled plastics derived from industrial processes
3. Post-consumer recycled (PCR) materials: Recycled plastics derived from consumer waste

Biodiversity

We recognize that our business activities have the potential to impact ecosystems, and as such we are committed to realizing a sustainable society in harmony with nature.

Our Approach to Being Nature Positive

At Yamaha Motor, we understand that our business activities are heavily dependent on the blessings of nature that biodiversity provides us with, and that those activities have the potential to impact ecosystems. Being nature positive—halting and reversing nature loss—is one of the goals of our Environmental Plan 2050. In response to growing societal expectations, we are promoting initiatives that consider the impacts of our business activities and products on biodiversity across the value chain, and are working to minimize adverse impacts.

We will address biodiversity conservation proactively, systematically, and continuously, based on our corporate philosophy, the Yamaha Motor Group Sustainability Basic Policy, and Environmental Plan 2050, from the perspectives of diversity of ecosystems, biological species, and genes; activities that supplement the benefits of nature; and minimizing negative impact.

Initiatives for Creating a Society in Harmony with Nature

We view environmental conservation activities that embody the unique style of Yamaha Motor from the following four perspectives.



Activities to protect the natural environment where our products are used

We continuously engage in activities to protect mountains, oceans, and other natural environments where our products (including motorcycles, ATVs, snowmobiles, personal watercraft, and boats) are used, as we believe such activities are vital to the sustainability of our business.



Activities that contribute to solving regional environmental issues

Our business encompasses operations in various regions around the world. With the understanding that our business activities are based in the environment of these regions, we will also tackle regional environmental issues.



Activities in collaboration with Yamaha users

There are many customers around the world who use our products. We will work with these customers to promote activities that protect the global environment.



Activities that make use of our products

Our products are used to help protect nature, such as in conservation activities and unmanned survey operations in areas that cannot be easily accessed by humans.



Thinning of mōsō bamboo growing on Company-owned land adjacent to Lake Hamana (Shizuoka, Japan) to prevent unwanted effects on nearby land and the lake.
(Yamaha Motor Co., Ltd.)



As part of a marine environmental conservation program, a seabed cleanup was conducted in Canet de Mar (Catalonia, Spain) in collaboration with the environmental organization Thalassa and the local city council.
(Yamaha Motor Europe N.V.)



To celebrate World Environment Day, tree-planting and environmental awareness activities were carried out at facilities across India over a one-month period to promote environmental awareness among employees.
(Yamaha Motor India Pvt. Ltd.)

▶ Please visit our website for more information on our other environmental protection activities.

TNFD The Yamaha Motor Group has grown by providing people around the world with freedom of mobility and enriched lives through a diverse portfolio of products that allow users to engage with nature in a healthy global environment. Based on this perspective, we conducted an assessment of our nature-related impacts in accordance with the framework of the Taskforce on Nature-related Financial Disclosures (TNFD) and organized the information presented below based on the results.

▶ Please visit our website for more information on TNFD-related initiatives.

Scoping Assessment

Businesses Assessed

Yamaha Motor has positioned the Motorcycles and Marine Products businesses as key businesses in its portfolio strategy. As motorcycles (the core of the Land Mobility business) and outboard motors (in the Marine Products business) together account for more than 70% of total revenue, we assessed these two businesses in accordance with the Locate, Evaluate, Assess, and Prepare (LEAP) approach recommended by the TNFD.

Value Chain Assessed

Using ENCORE, a tool recommended by the TNFD, we assessed nature-related dependencies and impacts across the upstream value chain, direct operations, and downstream activities of the two businesses.

The assessment identified significant impacts on nature at the furthest upstream stages of the value chain, including those associated with the extraction of natural resources. In addition, direct operations, such as manufacturing and assembly, were found to have significant dependencies on water resources and considerable impacts from factors such as pollution. Therefore, the assessment focused on raw material extraction and direct operations (primary resource processing; component manufacturing and assembly).

Due to the lack of information currently available for assessment, disposal in the downstream value chain was identified as a topic for future consideration.

Locating Interfaces with Nature

In addition to business significance, we assessed ecological significance using the WWF Biodiversity Risk Filter, WWF Water Risk Filter,¹ and Aqueduct² to evaluate the natural environment surrounding areas of our facilities. Based on this assessment, we identified direct manufacturing sites in the following countries as priority areas.



Evaluating Dependencies and Impacts

Based on the results of the analysis using ENCORE, we conducted our own evaluation tailored to Yamaha Motor’s actual business activities.

The evaluation found significant dependencies on the fundamental functions of the soil and impacts associated with natural resource extraction. In direct operations, key dependencies on water and energy supplies, as well as impacts associated with pollution and environmental contamination, were identified.

Value Chain	Risks	Opportunities
Raw material extraction	Tighter emissions regulations	- Ensuring the sustainability of raw materials through expanded use of sustainable materials³ - Enhanced reputation through the procurement of environmentally responsible raw materials
	Natural disasters in raw material production regions	- Ensuring the sustainability of raw materials through expanded use of sustainable materials - Enhanced reputation through the procurement of environmentally responsible raw materials
	Suspension of operations in the event that the rights of Indigenous Peoples and local communities are violated	- Enhanced corporate value through dialogue and collaboration with stakeholders - Advancing biodiversity conservation through collaboration and fundraising
Direct operations (primary resource processing; component manufacturing and assembly)	Suspension of operations due to depletion of water resources	Ensuring sustainability through improved resource efficiency and greater reuse
	Damage to manufacturing sites caused by natural disasters	—
	Loss of biodiversity due to environmental pollution	Enhanced corporate value by developing environmentally conscious products and promoting product recycling

Preparing Metrics and Targets

Under Environmental Plan 2050, Yamaha Motor has established 2050 targets related to the environment and nature. To achieve these long-term targets, we have set and are pursuing the following medium-term targets, which also support the management of nature-related risks and opportunities.

Indicators	Targets
Use of sustainable raw materials in in-house manufactured components	2027 target: 18% 2030 target: 22%
Creation of biotope sites at or near manufacturing facilities	2030 target: 5 sites
Number of trees planted [area] through silvofishery ⁴ mangrove reforestation	2027 target: 370,000 trees [215 ha]

1. An online tool developed by World Wide Fund for Nature (WWF), a global conservation NGO, for assessing the relationship between business activities and natural capital.
2. A tool developed by the World Resources Institute (WRI) that maps water risk information worldwide.
3. A collective term for recycled materials, green materials (including materials produced using renewable energy), and biomass-based materials.
4. A coined term combining silviculture (forestry) and fishery.

Safety and Reliability

For Yamaha Motor, a company whose core products are mobility solutions, customer safety and reliability are fundamental to its business. We sincerely listen to our customers at every stage of our business—from *Monozukuri*, encompassing product planning, development, design, and manufacturing, to sales and after-sales service—and promote initiatives aimed at making Yamaha Motor their preferred choice, both now and in the future.

Jin-Ki Kanno × Jin-Ki Anzen: Our Safety Vision

To advance safety through technology, rider skills, and connectivity, the *Jin-Ki Kanno × Jin-Ki Anzen* Safety Vision expresses Yamaha Motor's unique approach to the creation of a world free of accidents together with our customers—a world in which users can experience the joy and *Kando* that comes from progressing their own skills and abilities while having fun at the same time.

Our goal is to eliminate traffic fatalities involving Yamaha Motor products by 2050. To this end, we believe that it is essential not only to have technology aid riders but also to improve user skills and to connect people to their machines. Specifically, we will work on risk prediction riding assists, preventing damage and defensive riding assists, emergency avoidance riding assists, and harm mitigation. To implement effective measures for reducing traffic fatalities, we are researching and analyzing data on accidents worldwide as we formulate plans.

An Initiative to Support the Development of Rider Skills: Global Rollout of the Yamaha Riding Feedback System (YRFS)

As part of Yamaha Riding Academy (YRA), a safety education and outreach program designed to help riders acquire safe motorcycle riding skills, we have developed and introduced the Yamaha Riding Feedback System (YRFS), which helps visualize rider skill level. Developed using technologies and insights gained through research conducted in the pursuit of *Jin-Ki Kanno*, YRFS provides a graphic representation of riding behavior, including acceleration, deceleration, and cornering.

The system is currently deployed in seven countries/regions.* By using YRFS to provide feedback that helps YRA participants recognize their achievements and personal progress, we will foster a safe, enjoyable, and fulfilling motorcycling lifestyle that extends beyond skill development.

* Japan, South Korea, Taiwan, China, Brazil, Colombia, and Vietnam

Materiality Issue: Safety and Reliability—YRA Initiatives

Targets (2025–2027)		Fiscal 2025 Results	
32 countries/regions		35 countries/regions	
6,600 sessions	360,000 participants	2,200 sessions	159,000 participants

Initiatives to Enhance Quality

To provide customers with peace of mind, earn their trust, and deliver *Kando*, Yamaha Motor is engaged in quality improvement activities grounded in its Basic Quality Policy.

Seeking to be recognized by customers for Yamaha Quality, we established YQ2027 (“Yamaha Motor Quality 2027,” our Companywide medium-term quality policy for 2025 to 2027).

Under YQ2027, we aim to continuously deliver better products and experiences to customers and society by encouraging every employee to take ownership and drive actions that produce tangible results. As part of these efforts, we are enhancing the transparency of our compliance measures and pursuing four key objectives across both *mono* (products, equipment, etc.) and *koto* (practices, skills, etc.): customer-oriented approach, quality-minded personnel, suitable QMS, and transparency.

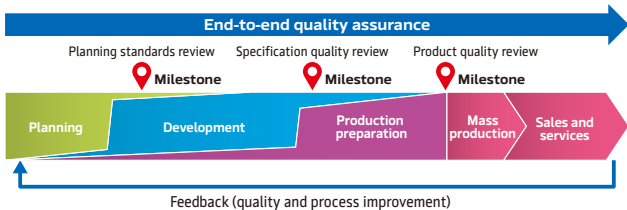
In addition, we have established the Product Assurance Committee as our top-level decision-making body for quality assurance. The committee deliberates on the establishment, revision, and abolition of quality policies, initiatives, and quality assurance regulations, as well as responses to quality-related issues, and sees that the resulting measures are rolled out to the front lines. It reports the results of its deliberations and activities to management at the annual Companywide Management Review Meeting held at the end of each year. Through direction provided at that meeting, we are continuously improving and strengthening our quality management system.

▶ Please visit our website for more information on Yamaha Quality.

Initiatives in the Motorcycles Business (End-to-End Quality Assurance)

We have established a framework for continuously delivering products that appeal to customers. Under this framework, we review the progress and readiness of each relevant department at key milestones of the process, from product planning and concept development, to the start of production. Strict milestone gates are in place, and projects cannot proceed to the next phase until all criteria have been met.

▶ Please visit our website for more information on initiatives in the Motorcycles business.



Initiatives in After-Sales Services

We believe that providing after-sales services and ensuring a reliable supply of parts are important responsibilities in helping customers fully enjoy their lives with our products. Through the experiences customers have at each touchpoint with us, we hope to inspire them to become fans of the Yamaha Motor brand.

Yamaha Technical Academy (YTA)

Under our “One to One Service” philosophy, we operate the Yamaha Technical Academy (YTA), a globally standardized technician training program designed to develop high-level maintenance skills, expert product knowledge, and reliable support. Through our technician certification system, we work to improve service skills as well as customer support capacity.

▶ Please visit our website for more information on YTA.

Yamaha World Technician Grand Prix (WTGP)

WTGP is a global competition in which Yamaha Motor technicians from around the world showcase the skills they have developed through their work. Qualifying competitions are held around the world, with top-performing technicians advancing to the WTGP. Through this competition, we not only inspire technicians to maintain high motivation and further enhance their skills, but also contribute to improving customer satisfaction. In addition, by raising awareness of the importance of after-sales service among a wider audience, WTGP helps invigorate the motorcycle industry as a whole and elevate the status of motorcycle technicians.

At the WTGP held in November 2025, 22 technicians from 19 countries/regions advanced from a pool of 35,700 Yamaha Motor-certified technicians worldwide and competed for the title of world champion based on three criteria: high-level maintenance skills, clear communication, and service that creates *Kando*.

▶ Please visit our website for more information on WTGP 2025.



Occupational Health and Safety / Health and Productivity Management

Approach to Occupational Health and Safety / Health and Productivity Management

The Yamaha Motor Group regards the health and safety of its employees as a core management issue that is indispensable for business operations and corporate growth. We have therefore established the Yamaha Motor Group OSH Basic Policy, which builds upon the content of our Sustainability Basic Policy, to foster a culture of “Safety and Health First” and embed activities aimed at achieving zero occupational accidents throughout the Group. With the participation of all employees, we continue to pursue the creation of safe and comfortable workplaces where all people working at the Yamaha Motor Group are physically and mentally healthy, can feel safe, and work actively.

Promotion Structure

At Yamaha Motor, the Central Safety and Health Committee (chaired by the executive officer and chief general manager of the Human Resources & General Affairs Center, and comprising occupational health physicians, representative supervisors from each division, and the labor union, among others), with authority delegated to it by the President and Chief Executive Officer, spearheads efforts to provide safe and healthy work environments that comply with standards, regulations and labor agreements concerning industrial safety and health. The committee also formulates medium-term and annual plans for activities aimed at achieving zero workplace accidents and for promoting health and productivity management. It also checks and evaluates progress in a cycle that leads to the next round of improvements.

Occupational Health and Safety Management

Yamaha Motor conducts workplace risk assessments and continuously works to systematically eliminate or reduce risks based on the assessment results. To help prevent occupational accidents, we have been certified under the international standard ISO 45001 since 2023.

As of the end of 2025, 19 companies within the Yamaha Motor Group, primarily manufacturing subsidiaries, had obtained ISO 45001 certification. Furthermore, in order to strengthen governance, in 2025 we introduced a unified global certification framework that encompasses the Group and consolidates certifications under a single system. Going forward, we will steadily obtain new certifications and expand the unified global certification framework, thereby enhancing occupational health and safety standards throughout the Yamaha Motor Group.

As stated in our Sustainability Basic Policy, we consider the health and safety of our employees to be the foundation of our corporate growth and strive to improve our working environments. All employees are involved in ensuring health and safety while promoting the creation of more comfortable work environments, which in turn facilitates the smooth operation of business, leading to improved productivity.

Initiatives to Achieve Zero Occupational Accidents / Occupational Accident Statistics

In May 2023, a workplace accident at Yamaha Motor resulted in the death of one employee. To ensure that such a serious workplace accident never happens again, we have set targets and are working toward reducing all occupational accidents to zero in accordance with the Yamaha Motor Group OSH Basic Policy.

In 2025, at Yamaha Motor Co., Ltd., the number of occupational accidents resulting in lost workdays or more serious outcomes remained unchanged from the previous year, while the total number of occupational accidents increased. However, comprehensive risk assessments, ongoing risk reduction efforts, machinery safety training, and the development of additional risk assessment trainers helped limit machinery- and equipment-related lost-time accidents to just one case. At Group companies, efforts to strengthen safety activities have helped establish a culture in which occupational accidents of all severities are reported and shared. This has contributed to the increase in reported incidents.

We will continue to promote safety initiatives, including tracking and analyzing occupational accidents throughout the Group and sharing information to prevent recurrence, with the ultimate aim of reducing occupational accidents to zero.

Yamaha Motor Group OSH Accident Reduction Targets

Occupational fatalities and permanent disabilities	Zero cases
Number of occupational lost-time accidents	50% reduction compared with the previous year
Total number of occupational accidents	50% reduction compared with the previous year

Occupational Safety Indicators (2025 Results)

Yamaha Motor (non-consolidated)		Group Companies*		
Occupational fatalities and permanent disabilities	0	Occupational fatalities	0	Permanent disabilities1
Number of occupational lost-time accidents	12 No change from previous year	Number of occupational lost-time accidents	150 19.8% increase from previous year	
Total number of occupational accidents	69 4.5% increase from previous year	Total number of occupational accidents	747 19.5% increase from previous year	

* The scope of coverage in 2024 was 136 of 138 consolidated subsidiaries, and in 2025 was all 139 consolidated subsidiaries.

Health and Productivity Management

As a Kando Creating Company, Yamaha Motor aims to provide customers with new excitement and more fulfilling lives. This requires that each of our employees be healthy in both body and mind. We believe this enables them to make full use of their passion and abilities, leading to customers’ trust in the products and services we offer. We will engage in health and productivity management with the participation of all employees, which will lead to improved health and productivity.

Initiatives for Health

Our health and productivity management initiatives are guided by three objectives: preventing health-related incidents, improving employee productivity, and helping employees maintain the physical and mental well-being needed to stay active, motivated, and engaged. To support these objectives, we have developed a Health and Productivity Management Strategy Map and are implementing a range of related initiatives.

Based on national guidelines and industry benchmarks, we have established 2030 targets and monitor progress on an ongoing basis. These targets include maintaining a 100% annual health checkup rate, reducing the proportion of high-risk individuals for metabolic syndrome (including both diagnosed and pre-metabolic syndrome cases) to 18.0% (10% below the 2020 level), and reducing the percentage of employees taking leave due to mental health issues to 0.71% (20% below the 2020 level).

In 2025, the annual health checkup rate was 100%, while the proportion of high risk individuals for metabolic syndrome was 19.6% and the percentage of employees taking leave due to mental health issues was 1.19%.

We will continue to strengthen initiatives such as specific health guidance and preventive measures for mental health issues, while advancing health and productivity management that supports both the physical and mental well-being of our employees, and the Company’s sustainable growth.

Respect for Human Rights

The Yamaha Motor Group recognizes its responsibility as a corporate citizen and is committed to respecting the human rights of all stakeholders involved in its business activities, with the aim of contributing to a society in which the dignity of every individual is upheld.

▶ Please visit our website for more information on human rights initiatives.

Basic Approach to Human Rights

Yamaha Motor Group's Corporate Mission is to be a "Kando Creating Company—Offering new excitement and a more fulfilling life for people around the world," and one aspect of its Management Principles is "fulfilling social responsibilities globally." Our Human Rights Policy clearly states our commitment to respecting the human rights of stakeholders involved in the Group's business activities, including the prohibition of all forms of discrimination, forced labor, and child labor, the prevention of inhumane treatment, and the provision of safe and healthy working environments. This policy is based on international standards, including the International Bill of Human Rights, the International Labour Organization (ILO) Declaration on Fundamental Principles and Rights at Work, the UN Global Compact, and the UN Guiding Principles on Business and Human Rights. We also ask all business partners, including suppliers and distributors, for their understanding and support of the policy.

Human Rights Due Diligence

Based on our Human Rights Policy, the Yamaha Motor Group has engaged in ongoing human rights due diligence since 2023 across all Group companies and their supply chains, enabling us to identify and assess adverse human rights impacts and to prevent and mitigate such impacts. For Group companies, we conducted risk mapping to identify human rights risks. For the supply chain, we are advancing human rights due diligence through a four-step process consisting of (1) Risk assessment, (2) A Self-Assessment Questionnaire (SAQ), (3) Comprehensive evaluation of the risk environment, and (4) On-site assessments.

As of 2025, we had completed risk assessments for 100% of targeted direct material suppliers and collected and reviewed SAQs from 80% of them. Using information from both assessments, we conducted a comprehensive evaluation of risk environments. As a result, we identified approximately 15% of suppliers as operating in high-risk environments. We have begun conducting on-site assessments in phases under a three-year plan for these suppliers.

On-site assessments revealed that, while awareness of the importance of sustainability and human rights is becoming more widespread, a significant number of suppliers have yet to establish concrete policies and activities tailored to their specific circumstances or taken measures to systematically promote awareness and implementation both internally and externally. In light of these findings, Yamaha Motor is supporting improvement efforts, to be followed by audits and monitoring activities. Through on-site assessments, we help suppliers develop policies appropriate to the growth stage of

their business, provide education and awareness programs, and support the formulation of corrective action plans to drive the implementation and continuous improvement of human rights initiatives.

A key feature of our human rights due diligence is that it is driven by all business divisions and Group companies, both in and outside Japan. Personnel responsible for areas such as risk management, procurement, and sales work together to advance initiatives that reflect regional characteristics and business conditions. These proactive efforts not only contribute to improvements among business partners but also enhance governance across the Yamaha Motor Group. Going forward, we will continue to steadily advance a support-first approach to human rights due diligence that is aligned with actual conditions in our supply chains.

Correction and Remedy

The Group has established various compliance hotlines for Group employees and a system for prompt reporting of actual or potential violations of laws, regulations, and internal rules, including human rights violations. In addition, we have established a Human Rights Hotline for External Stakeholders. Reports received through the hotline are handled in accordance with a standard process that emphasizes dialogue with both the reporting party and reported party/person(s) involved, from the assessment and investigation of human rights concerns to the implementation of corrective measures and actions to prevent recurrence.

In 2025, the hotline received 18 reports and responded appropriately to each case. Going forward, we will continue these efforts and ensure that reports lead to meaningful corrective action and organizational learning.

Initiatives for Employees

The Code of Ethics, which sets out standards of ethical conduct for Group employees, clearly prohibits defamation, personal attacks, and the denial of an individual's dignity based on factors such as race, ethnicity, nationality, beliefs, personal values, physical characteristics, personality, or family background, as well as all forms of harassment. We also promote employee awareness through e-learning programs and various training initiatives.

Since establishing our Human Rights Policy in 2023, we have worked to embed the policy throughout our organization through the ongoing implementation of human rights e-learning programs and comprehension assessments. In 2025, 15,539 employees (93.1% participation rate) completed human rights e-learning training.

Moreover, we have identified human rights risks as a significant risk at the Group level. As such, each organization conducts human rights due diligence that reflects regional characteristics and business conditions. Doing so helps employees deepen their understanding as it connects the knowledge gained through e-learning with real workplace issues, reinforcing awareness of the importance of respecting human rights.

We also conduct an annual compliance awareness survey to gauge employees' understanding of human rights. Scores for respect for human rights and diversity have remained consistently high over the past three years, averaging around 4.5 on a five-point scale.

Initiatives with Business Partners

We ask our business partners for their understanding of and support for our Sustainability Basic Policy and Human Rights Policy. Our Sustainability Guideline for Suppliers sets out expectations regarding human rights, labor conditions, environmental considerations, and ensuring compliance, and promotes their implementation in suppliers' operations. In particular, the guideline clearly specifies requirements for respecting human rights, including the elimination of discrimination, the prohibition of child labor and forced labor, the payment of appropriate wages, the avoidance of conflict minerals, and the establishment of grievance mechanisms.

In addition to obtaining suppliers' agreement to comply with the guideline, we are incorporating human rights-related provisions into business agreements to further enhance the effectiveness of our Human Rights Policy. As of the end of 2024, we had achieved our target of obtaining agreement from 80% of targeted business partners. We aim to obtain agreement from 100% of applicable business partners by the end of 2027.

Through our human rights due diligence framework, we continue to support suppliers in developing and implementing human rights policies and in strengthening their capacity to address human rights risks. Going forward, we will further spread understanding and ensure implementation of these policies throughout our supply chain and work toward realizing a society in which the dignity of all people is respected.

Results of Activities in 2025

Incorporation of human rights clauses into contracts	Dealerships: 83% (2027 target: 100%)
Memorandum of understanding return rate	Suppliers: 90% (2027 target: 100%)

Directors and Audit & Supervisory Board Members

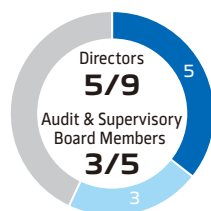
(As of March 26, 2026)

The composition of both the Board of Directors and the Audit & Supervisory Board is designed with consideration for the overall balance of knowledge, experience, and abilities, as well as diversity and appropriate size. The Board of Directors consists of nine members (including five outside directors), while the Audit & Supervisory Board consists of five members (including three outside Audit & Supervisory Board members). In addition, among the skills possessed by each Director and Audit & Supervisory Board member, the Company has identified the following as especially important.

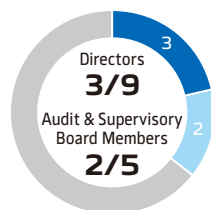
▶ Please refer to the Notice of the Ordinary General Meeting of Shareholders for reasons for selection and definition of skills.

■ Directors
■ Audit & Supervisory Board Members

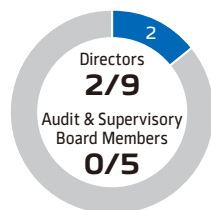
Outside Officers



Female Officers



Non-Japanese Officers



Directors



Motofumi Shitara Toshiaki Ibata Takuya Kinoshita Kenichi Muraki Jin Song Montesano Keiji Masui Sarah L. Casanova Naoki Ono Junko Sunaga

	Years Served	4	-	-	-	4	2	1	-	-
	Age	63	60	58	58	54	71	60	69	65
	Gender	Male	Male	Male	Male	Female	Male	Female	Male	Female
	Independence					✓	✓	✓	✓	✓
	Global Experience	○	○	○	○	○	○	○	○	○
	Corporate Management	●				●	●	●	●	●
	New Business Development / M&A	●				●	●	●		
	Finance / Accounting	●					●			
	Procurement / Manufacturing				●		●		●	
	Technology / R&D		●	●	●		●		●	●
	Marketing / Branding		●	●		●		●		●
	IT / DX	●		●						●
E	Environment / Carbon Neutrality		●	●	●			●	●	
S	DE&I / Human Resources Development	●				●		●		
G	Legal / Risk Management	●				●	●		●	●

Audit & Supervisory Board Members (Full-Time)		Outside Audit & Supervisory Board Members				
						
		Tadashi Tsumabuki	Takeo Noda	Masatake Yone	Ayumi Ujihara	Etsuko Kobayashi
Years Served		3	1	7	3	–
Age		64	61	71	64	64
Gender		Male	Male	Male	Female	Female
Independence				✓	✓	✓
Global Experience		○	○	○		○
Corporate Management						●
New Business Development / M&A				●		
Finance / Accounting		●	●	●	●	●
Procurement / Manufacturing						
Technology / R&D						
Marketing / Branding		●				●
IT / DX			●			
E	Environment / Carbon Neutrality					
S	DE&I / Human Resources Development				●	●
G	Legal / Risk Management	●	●	●	●	●

From the Chairman

I will help enhance our corporate value through responsible oversight.

Keiji Masui

Independent Outside Director, Chairman of the Board of Directors



I am the first outside director at Yamaha Motor to be appointed Chairman of the Board of Directors. I believe the role expected of me is to further enhance the independence and transparency of the Board, and to support Yamaha Motor in enhancing its corporate value over the medium to long term through effective oversight of management.

What I prioritize most in Board operations is establishing a clear distinction between issues where authority should be appropriately delegated to those executing business matters, and those in which the Board itself should be deeply involved. While creating an environment in which the executive team can conduct management promptly, the Board must focus its discussions on topics that are central to creating corporate value, such as the direction of our management strategy, the viability of resource allocation, and the adequacy of risk appetite.

Currently, some businesses and regions face ongoing severe business conditions. Amid such circumstances, the role of the Board becomes even more important. The Board will swiftly outline the direction for strategic businesses and U.S. operations, enhance the quality and speed of decision-making, and continuously assess the competitiveness of Yamaha Motor's core businesses from the standpoint of products, investments, and production systems.

In recent years, the quality of Board discussions has steadily improved as a result of revisions to proposal-making standards and the information-sharing process, as well as more comprehensive advance briefings. On the other hand, I still see cases where materials are overly detailed or key discussion points are not sufficiently narrowed down. Going forward, it is essential that directors handling business execution transcend the boundaries of their own areas and engage more proactively in discussions from a Groupwide and medium- to long-term perspective. The structure of the Board underwent a major update in fiscal 2026. In addition to making the execution structure more agile, the appointment of new outside directors is expected to strengthen oversight by helping to eliminate fixed preconceptions. I consider this change an opportunity to further improve the quality of Board discussions. Moreover, with the establishment of the Nomination Committee and the Compensation Committee in 2025, the two functions have been separated, thereby increasing the transparency and depth of discussions regarding the appointment of officers. However, this does not change the importance of the Board's independent examination of and ultimate responsibility for these matters.

Under the new management structure, Yamaha Motor will remain conscious of balancing oversight and execution as it pursues more sophisticated governance. However, we must not become complacent with the status quo, but rather constantly question what constitutes the optimal governance structure. By emphasizing substantive effectiveness over governance—regardless of the forms it might take—and ensuring the Board operates in a manner that earns the trust of capital markets, I intend to contribute to the enhancement of corporate value over the long term.

Dialogue between Outside Directors and Shareholders



Jin Song
Montesano

Outside Director

Keiji Masui

Outside Director

Perspectives and Roles of Outside Directors in Enhancing Corporate Value

In an increasingly uncertain business environment, the role expected of outside directors is expanding beyond traditional oversight to encompass effective involvement in enhancing corporate value. Yamaha Motor has been engaging in more in-depth discussions on topics such as the establishment of the Nomination Committee and the Compensation Committee, human resources strategy, and capital allocation.

Dialogue sessions between our outside directors and shareholders began in 2023. At the second session, we held a panel discussion for investors in which outside directors openly answered questions about the strengths of and challenges faced by the Board of Directors.

Note: This dialogue took place in December 2025.

Q Please share what roles you feel you are expected to fulfill as outside directors and how the position should be involved in management.

Montesano: The role of outside directors has become increasingly important at listed companies. Yamaha Motor is continually working to build a stronger corporate governance structure, and the composition of the Board of Directors is diverse. This includes five directors and Audit & Supervisory Board members who are women and two directors from outside Japan. Moreover, the directors have a wealth of expertise across a wide range of fields, including global marketing, corporate transformation, M&As, ESG, human capital, procurement, and supply chain management. In recent years, the role expected of outside directors has shifted from merely monitoring operations and ensuring stability to encouraging the management team to take on challenges for growth. Yamaha Motor's management team is also aware of the need to seek more effective ways to achieve Medium-Term Management Plan (2025–2027). The challenges are “how do we get there” and “how do we increase speed and agility.” From that standpoint, I think it is

very important to incorporate outside perspectives.

Masui: I have had a long career in the automotive industry, particularly in manufacturing, so I hope to apply that experience to the management of Yamaha Motor, which operates in the same broad field of mobility. In addition, from my many years of management experience, one point I constantly focus on at Board meetings is the extent to which senior management and those responsible for business execution communicate openly and candidly.

At Yamaha Motor, frank exchanges of opinions take place not just at Board meetings but in all kinds of settings, and I view this as a strong positive. I intend to continue contributing to further enhance that kind of communication.

Montesano: The importance of the Board of Directors' oversight duties remains unchanged and I believe these duties are being performed effectively at Yamaha Motor. In addition to conducting regular audits and reviews, we check on specific projects at monthly Board meetings. We follow up on matters requiring detailed review, prioritizing those identified as having particular concerns. Each month, the CEO starts his report by giving the “bad news” first, and the directors expect detailed feedback on these issues. But to reiterate, the role of an outside director is not just to keep an eye on things.

Masui: One specific example is our response to regulatory

certification issues in 2024 when there were incidents of inappropriate handling of motorcycle testing and certification applications. The Board reviewed the management team's response strategy for this matter and proposed additional measures where it is deemed necessary. In particular, such problems often stem from resource shortages or issues related to the organization's culture, so we see the need to secure sufficient human and technical resources. The responsibility of outside directors extends beyond monitoring or simply offering advice; they should also propose effective solutions and see that those solutions are reflected in management's decision-making.

Q Compared with boards at other companies, what are Yamaha Motor's strengths? What about areas for improvement?

Masui: I think very highly of the open discussions and lively communication that take place at Yamaha Motor's Board meetings, as well as at the CEO roundtable conference and other forums. There is a culture in which executive officers and department general managers can express their opinions frankly, including offering opposing opinions. I believe Yamaha

Motor's Spirit of Challenge that has existed since the Company's founding is evident in more formal settings like these as well.

Comments from outside directors may sometimes be quite blunt, but I feel that the executive team takes what is said to heart, resulting in deeper discussions. During his tenure, Chairman Katsuaki Watanabe ran meetings appropriately, and I give him high marks not only for conducting proceedings with calm and composure but also for giving everyone an opportunity to speak, even in difficult situations.

At the same time, there is still room for improvement. Directors in charge of business execution tend to speak mainly in terms of their own fields of responsibility, but I feel discussions would be more substantive if more opinions took on a Companywide perspective. In addition, although topics at Board meetings have been narrowed down, we tend to run out of time for discussions when there are numerous items to report. Explanations can sometimes take up so much time that discussions do not move beyond the surface level, so we need to adopt a framework that fosters more in-depth discussions.

Montesano: I also serve as an internal director on the board of directors at LIXIL Corporation, which gives me a basis for comparison. I think one of Yamaha Motor's greatest strengths is its Spirit of Challenge. As such, its Board does not shy away from difficult discussions. These discussions are candid and honest, and one can feel management's strong commitment to accept and act upon what is said. Another positive point is the lineup of highly capable independent outside directors, enabling diverse exchanges of opinions.

On the other hand—and this is true for many companies—there is a tendency to focus too much on short-term perspectives when faced with trying situations. This is an area for improvement.

In such circumstances, outside directors must emphasize the importance of keeping the Company's long-term direction in mind and strive to pull management back toward it. It is important to strike a balance between addressing short-term issues and ensuring alignment with long-term strategy.

Furthermore, there are gaps in expertise between the outside directors and the management team in certain fields, so discussions are necessary to bridge those gaps. For example, in discussions about how to leverage Yamaha Motor's powerful brand value as a source of differentiation, there were aspects that the management team had not fully processed. The same is true of discussions about human resources strategy. Human capital is my area of responsibility at LIXIL, and I believe that by reflecting my expertise in Board discussions, Yamaha Motor's approach to human capital has steadily evolved.

Q What was the context for creating a separate Nomination Committee and Compensation Committee? What are their roles and what issues does each face?

Montesano: In our ongoing discussions about improving governance, the difficulty of conducting high-quality discussions on compensation, nominations, and succession planning under the framework of the former Executive Personnel Committee became an issue. To enhance independence and transparency, a plan was adopted to establish a Nomination Committee and a Compensation Committee, and the outside directors fully supported this.

I think that separating the two committees has significantly improved the quality of discussions. Time was limited with the previous Executive Personnel Committee, so discussions tended to remain shallow. Since splitting up responsibilities, each committee is now able to conduct in-depth discussions from a specialized perspective and decision-making has improved. Compensation and nominations are very important areas—areas in which independent outside directors can contribute to creating corporate value. I believe that assigning the right person to the right role has a major impact on corporate value.

Masui: The Board of Directors considered which organizational design would best strengthen the Company's governance. Given that the "Company with an Audit & Supervisory Board" framework, as defined under Japan's Companies Act, offers the advantage of strong auditing functions, we decided to retain the current arrangement for the foreseeable future.

At the same time, we wanted to incorporate the advantages of a "Company with Nominating Committee, etc." so the former Executive Personnel Committee was restructured into separate committees for nomination and compensation. Outside directors serve as chairpersons of each to enhance independence and transparency. This is an important step toward stronger governance. We intend to continuously review this framework and to strive for more proactive committee operations, which includes proposing a full transition to the Company with Nominating Committee, etc. structure if the need arises.

Montesano: The role of the Nomination Committee is to draw up carefully considered and effective succession plans for the CEO, directors, and Audit & Supervisory Board members, as well as to optimize the composition of the Board of Directors. Over the long term, Yamaha Motor will be



facing major changes in the makeup of its industry, such as electrification and digital transformation, so I think the Board should incorporate more expertise in these fields.

We have already begun establishing processes for succession planning and we are treating this as a key issue that will connect directly to creating value. Even so, it will likely take about five years before results become apparent. I feel our immediate task is to set up a talent pipeline for cultivating potential successors at the CEO level. While Yamaha Motor has many capable individuals who have come up through planned rotations and training programs, the challenge is to establish a framework for identifying, developing, and continuously evaluating future leadership candidates. Currently, we are working with the management team to introduce frameworks and evaluation criteria to clarify the qualities required of future leaders of Yamaha Motor. We are using advanced methods like talent mapping and targeted training programs. Yamaha Motor needs leaders who can envision the future for its businesses and move the Company forward, and developing such talent is critical.

Masui: It has been one year since I became chairperson of the Compensation Committee. Its members have global experience and their opinions from diverse perspectives have been very refreshing as well as highly valuable for the Group.

The Compensation Committee is deepening its understanding of the new compensation system introduced in fiscal 2024 and examining specific aspects for future improvements. For example, the committee conducted simulations to estimate the impact of applying a new evaluation method to fiscal 2025's performance. Outside directors also participated in

this quantitative analysis, so the process evolved from merely hearing the results to verifying them ourselves. This brought about deeper discussions based on a greater sense of conviction, which is a significant achievement. Moreover, creating a separate committee dedicated specifically to compensation has improved the quality of discussions and allowed us to hear opinions on appropriateness and transparency from global perspectives. Issues going forward will include how to handle compensation for non-Japanese executives and how to ensure consistency between performance and compensation among senior management. We intend to strengthen coordination with the Nomination Committee and contribute to sustainable enhancement of corporate value.

Q Please outline the progress of the Board's discussions and the issues you face in creating a profit structure resilient to changes in the operating environment and in reinforcing management foundations over the long term.

Masui: Currently, additional U.S. tariffs and other factors have created an extremely difficult business environment for companies in the mobility industry, including Yamaha Motor. I believe that the role of an outside director is to impart a greater sense of urgency to executives from an external perspective and provide the necessary impetus. We continually hold discussions with the executive team not



only about specific matters but also general issues.

In concrete terms, restructuring the global production framework to minimize the impact of exchange rates and tariffs is a key issue for our core Motorcycles and Marine Products businesses. Moreover, in a challenging business environment, in order to make R&D investments in a balanced manner it is necessary to clearly set priorities. Another key issue for any manufacturer is maintaining a strong competitive advantage in terms of *Monozukuri*.

The goal is to enhance the Company's overall soundness and achieve sustainable growth by sticking to development timelines and keeping production preparations on schedule, while reinforcing systems for reliably achieving planned unit sales and translating them into revenue. As an outside director, I continue to take this perspective in discussions with management.

Montesano: One reason for Yamaha Motor's outstanding track record over its long history is a strong culture of taking on new challenges. Proactively trying new things and a willingness to repeatedly experiment are important elements supporting corporate health, and this culture is a strength for Yamaha Motor.

On the other hand, clearly defining priorities has not always been a strong point. However, changes in the external environment present an excellent opportunity to review the business portfolio and reconsider what really must be prioritized. Clearly outlining capital allocation and investment themes, and improving the quality of decision-making will lead to enhanced corporate value over the long term.

Another point I want to emphasize is simplification. With the increasingly complex business environment, the complexity of manufacturing has risen correspondingly, and selection and concentration are key drivers for bolstering corporate resilience.

As an outside director, I want to encourage the management team to bring greater clarity to decision-making. Clearly defining this process will lead to greater agility, strengthen the Company's ability to respond during difficult times, and support it over the long term. Being able to discuss such topics at meetings of the Board is extremely valuable and the management team deserves praise for being open and receptive.

Masui: The management team always takes feedback from outside directors seriously. I think many issues have no easy answers and come with their fair share of complications, but I believe the team's attitude of valuing external insights is extremely beneficial.

Q From the perspective of corporate value, are there any aspects of Yamaha Motor's appeal that have not been fully communicated to the stock market or that warrant greater recognition?

Masui: Yamaha Motor's headline products are not only practical as means of transportation but also as ways to have fun and enjoy leisure time, and the resultant value this creates is noteworthy. However, there are still issues to overcome if we are to fully leverage such value.

In overseas markets in particular, I feel that the Company still lacks all-inclusive value offerings aligned with customers' lifestyles. While the products themselves are high quality, work to add value through intangibles such as financing or a wealth of post-purchase customer experiences remains somewhat limited. In the marine products sector, the importance of intangible features such as connected functions and digital services is growing rapidly, but Yamaha Motor still has work to do in this area. Going forward, I believe it will be important to make full use of our brand value and provide comprehensive solutions that include not just products but also services and experiences that forge long-term relationships with customers and thereby enhance corporate value.

Montesano: One of Yamaha Motor's greatest opportunities for creating corporate value going forward is user experiences that evoke the brand—in other words, innovating the end-user experience. At present, the focus is primarily on the products themselves, but user feedback indicates there is further room for improvement in providing more fulfilling user experiences and seamless connectivity. While the quality of engines, hardware, and design is high, I think there is still room to further enhance product value by integrating tangible and intangible elements to provide experiences that surpass those of competitors.

The Company must also address changes in user demographics. In particular, the existing customer base in the North American market is aging, making the issue of attracting a younger generation of consumers important. These consumers seek different kinds of value and accurately capturing their needs requires ramping up strategic marketing, consumer insight analysis, and data analytics. These are areas in which Yamaha Motor is now investing and I believe they will be key to generating future growth and competitiveness.

Corporate Governance

As a *Kando* Creating Company, part of our Corporate Mission is to offer new excitement and a more fulfilling life for people all over the world. To achieve this goal, Yamaha Motor aims to enhance corporate value through sustained growth attained via its medium- and long-term strategies and measures. To this end, the Company has put into place systems and frameworks that enable rapid decision-making and the proper supervision and monitoring of business execution.

Approach to Corporate Governance

To ensure the implementation of the Company's growth strategies for the future, Yamaha Motor's Board of Directors fosters an environment that supports appropriate risk-taking and decisive decision-making by management, and it works to comprehensively understand and appropriately oversee issues and risks associated with the implementation of the Company's management strategies from the viewpoint of its responsibility to various stakeholders, including shareholders and investors.

In terms of the Company's approach to corporate governance, this structure is designed to facilitate speedy and decisive decision-making as well as appropriate, transparent, and fair supervision and monitoring. Accordingly, we have formulated the Corporate Governance Guidelines and put them into practice in an appropriate manner.

▶ Please refer to the Corporate Governance Guidelines section of our website for more details.

History of Strengthening the Corporate Governance System

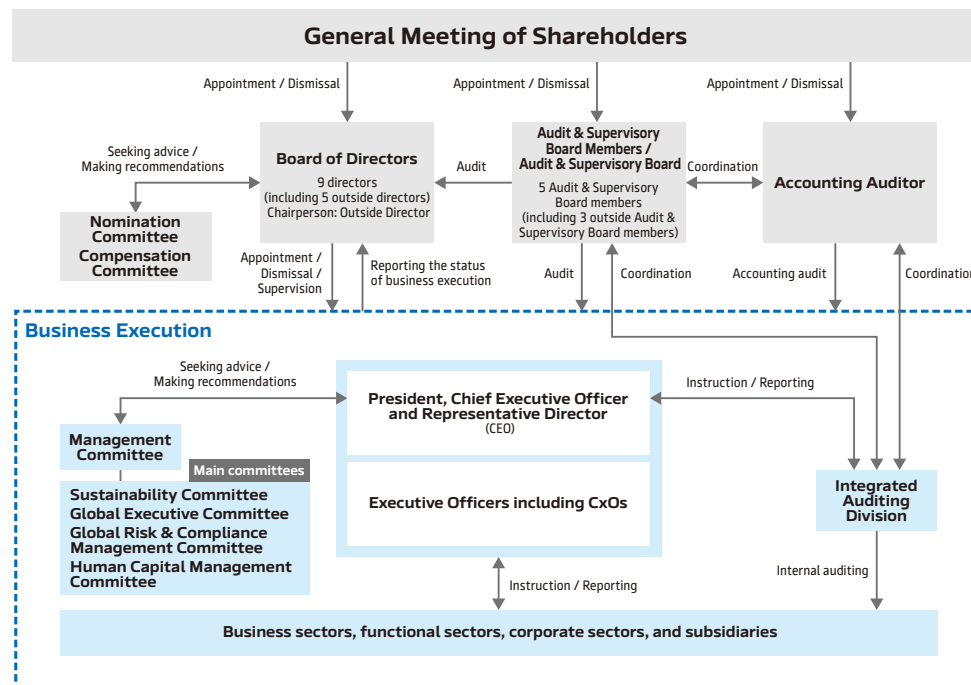
	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026
Improvement of operating structure	2001: Introduction of Executive Personnel Committee (Nomination Committee/Compensation Committee)										From 2025: Separation of the Nomination Committee and the Compensation Committee				
				Establishment of Corporate Governance Guidelines											
						Implementation of Board of Directors effectiveness evaluation									
						Abolition of takeover defense measures									
Executive structure	2001: Introduction of executive officer system														
	2007: Appointment of outside directors														
	2009: Appointment of first woman director														
						Appointment of non-Japanese executive officers									
						Separation of chairman of the Board of Directors and chief executive officer (CEO) roles									
Number of directors	10	10	12	11	11	13	11	11	10	10	10	10	10	9	9
Of whom, independent outside directors [%]	2 [20]	2 [20]	2 [17]	2 [18]	2 [18]	3 [23]	4 [36]	4 [36]	4 [40]	4 [40]	5 [50]	5 [50]	5 [50]	5 [56]	5 [56]
Of whom, women directors	1	0	0	0	0	0	0	1	1	1	2	2	2	3	3
Executive remuneration system	2011: Inclusion of stock options in the stock compensation plan														
								Overall revision of the system (compensation further linked to performance and to provide long-term incentives)					Introduction of performance-linked share compensation system		
Summary of the medium-term management plan	Stabilization of a profitable structure (V-shaped recovery in results)	Toward sustainable growth (expansion of business scale and enhancement of profitability)			A unique company that continues to achieve challenging milestones (management emphasizing ROE and cash flows)			Taking on the renewed challenge of achieving net sales of ¥2 trillion			Strengthening of sustainability measures			Raising the competitiveness of core businesses once again	

Corporate Governance Structure

Yamaha Motor supplies various kinds of products and services to markets around the world, including personal mobility solutions, marine products, industrial robots, vehicle engines, and industrial-use unmanned helicopters. Overseas sales account for more than 90% of the Company's consolidated net sales. Starting with the principal concept of developing and producing locally where the products are used, we engage in development, procurement, production, sales, and other activities on the global stage.

To sustainably advance our business activities, we believe an effective approach is to structure a corporate governance system consisting of the Board of Directors, made up of internal directors (who are familiar with the Company's customer characteristics, products, business operations, and functions) and outside directors (who have a wealth of knowledge in global corporate management), and the Audit & Supervisory Board (which includes outside members with professional knowledge in areas including accounting, legal affairs, and management administration). To ensure swift business execution under this corporate governance system, the Company appoints executive officers, to whom the Board of Directors delegates matters related to the timely execution of business.

Corporate Governance System (As of March 26, 2026)



Approach to the Composition of the Board of Directors and Audit & Supervisory Board

The Board of Directors supports the Company's sustainable growth and enhances corporate and brand value under the Corporate Mission to be a *Kando* Creating Company. To ensure the effective implementation of growth strategies, the Board of Directors supports appropriate risk-taking and decision-making by management personnel, and applies a multifaceted approach to understanding and appropriately overseeing issues and risks from multiple perspectives associated with the implementation of management strategies from the viewpoint of its responsibility to stakeholders, including shareholders and investors.

Based on its fiduciary responsibility to shareholders and as an independent body from the Board of Directors, the Audit & Supervisory Board conducts audits of the legality and appropriateness of directors' execution of duties, as well as of internal control frameworks, business performance, financial position, and other matters of the Company and its subsidiaries.

Based on the above, the composition of the Board of Directors and the Audit & Supervisory Board is designed with consideration for the overall balance of knowledge, experience, and abilities, as well as diversity and appropriate size.

Nomination Committee and Compensation Committee

To ensure the transparency of the deliberation process of the Nomination Committee and the Compensation Committee and the objectivity and appropriateness of reports they submit to the Board of Directors, the chairpersons of both committees will be selected from among the outside directors, and the majority of committee members will be outside officers. In principle, both committees will meet at least six times a year.

Nomination Committee

(As of March 26, 2026)

Chairperson	Jin Song Montesano, Outside Director (Independent)
Member	Keiji Masui, Outside Director (Independent)
Member	Naoki Ono, Outside Director (Independent)
Member	Masatake Yone, Outside Audit & Supervisory Board Member (Independent)

Compensation Committee

(As of March 26, 2026)

Chairperson	Sarah L. Casanova, Outside Director (Independent)
Member	Junko Sunaga, Outside Director (Independent)
Member	Ayumi Ujihara, Outside Audit & Supervisory Board Member (Independent)

(President and Representative Director Motofumi Shitara attends meetings of both committees as an observer.)

Main Boards and Committees (As of March 26, 2026)



Full-time director, full-time Audit & Supervisory Board member



Outside director, outside Audit & Supervisory Board member

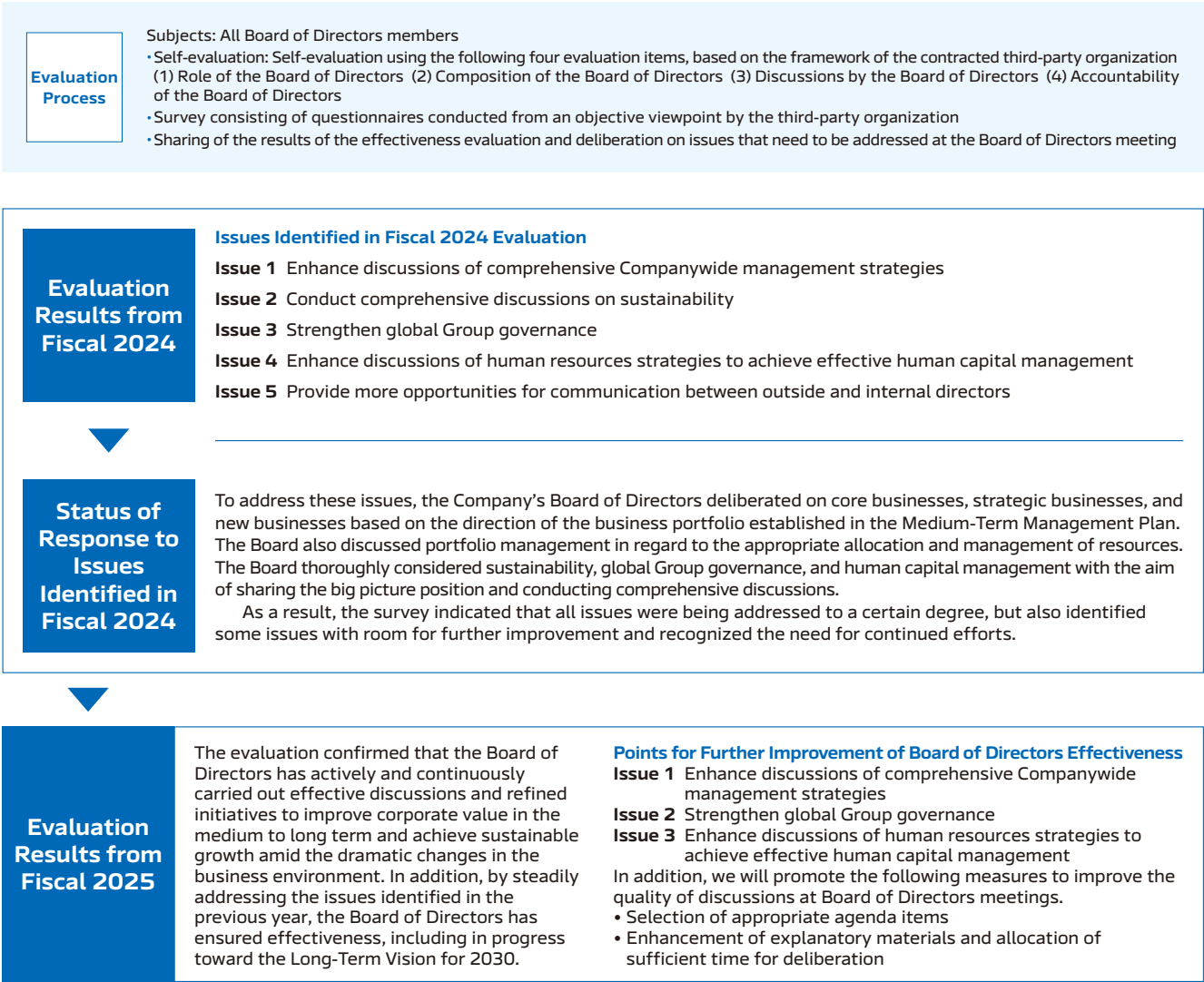


Executive officer

		Board of Directors	Audit & Supervisory Board	Nomination Committee	Compensation Committee	Management Committee
Composition		9 directors (including 5 outside directors)	5 Audit & Supervisory Board members (including 3 outside Audit & Supervisory Board members)	3 outside directors 1 outside Audit & Supervisory Board member	2 outside directors 1 outside Audit & Supervisory Board member	9 executive officers (including the CEO)
Chairperson		Keiji Masui Outside Director	Tadashi Tsumabuki Audit & Supervisory Board Member (Full-Time)	Jin Song Montesano Outside Director	Sarah L. Casanova Outside Director	Motofumi Shitara CEO
Objective / Role		To ensure the implementation of growth strategies, the Board of Directors fosters an environment that supports appropriate risk-taking and firm decision-making by management, and it works to comprehensively understand and appropriately oversee issues and risks associated with the implementation of management strategies from the viewpoint of its responsibility to various stakeholders, including shareholders and investors.	Based on its fiduciary responsibility to shareholders and as an independent body from the Board of Directors, the Audit & Supervisory Board conducts audits of the legality and appropriateness of directors' execution of duties, as well as of the internal control systems, business performance, and financial position of the Company and its subsidiaries.	The Nomination Committee deliberates on, decides, and makes recommendations on proposals to the Board of Directors regarding the appointment and dismissal of the CEO, directors, and Audit & Supervisory Board members, and on process checks for the appointment and dismissal of executive officers and fellows.	The Compensation Committee reviews and revises the compensation system for the CEO, directors, executive officers, and fellows, and deliberates on, decides, and makes recommendations on proposals made to the Board of Directors regarding performance evaluation and performance-linked compensation for specific officers.	The Management Committee deliberates on matters related to business execution and aims to expedite decision-making. In principle, meetings are held at least once a month and at other times as necessary.
Activities in Fiscal 2025	Number of Meetings	13	19	From April 2025 Nomination Committee: 5 Compensation Committee: 4 (As the former Executive Personnel Committee: 4)		24
	Main Matters Considered	- Comprehensive Companywide management strategies - Sustainability management - Global Group governance - Human capital management	- Audit policy, plan, and division of roles - Audit report and audit summary - Evaluation and selection of the Accounting Auditor - Audit & Supervisory Board effectiveness evaluation	- Proposals for the appointment and dismissal of the CEO, directors, and Audit & Supervisory Board members - Process checks for appointment and dismissal of executive officers and fellows - Selection of candidates for senior management positions and their development plans	- Review and improvement of the executive remuneration system - Deliberations on performance-based compensation	- Key management issues - Large-scale investments and financing

Board Effectiveness Evaluation

The Company conducts an annual analysis and evaluation of the overall effectiveness of the Board of Directors, including its roles and responsibilities, with the Corporate Governance Division serving as the secretariat, in an effort to drive continuous improvement.



Initiatives to Enhance Effectiveness

One of the key strengths of the Company's Board of Directors is the active exchange of opinions informed by the perspectives of experienced outside officers. To encourage open and constructive discussion, opportunities are provided not only during Board meetings but also through other forums.

In fiscal 2025, we revised the Board of Directors agenda standards in order to allocate more time to discussions on important themes and management strategies. Through these efforts, we aim to strengthen the supervisory function of the Board of Directors while accelerating executive decision-making. In fiscal 2026, we established an organizational structure of three management committees—Technology, Manufacturing & Procurement, and Marketing—each chaired by an internal director. By strengthening collaboration between these committees, we will enhance the quality and speed of Companywide decision-making and further improve business execution capabilities.

CEO Roundtable Conference (Participants: CEO, outside directors, and outside Audit & Supervisory Board members)

- Conduct non-financial evaluations, including the CEO's execution of management responsibilities, through strategic dialogue with the CEO

Executive Discussion Meeting (Participants: Directors and Audit & Supervisory Board members)

- Facilitate candid discussions on mid- to long-term management strategies and key business issues, enabling the exchange of views and information

Audit & Supervisory Board Members and Outside Directors Forum (Participants: Outside directors and Audit & Supervisory Board members)

- Hold regular meetings to ensure that outside directors can obtain sufficient information while maintaining their independence

Establishment of Technology Management Committee, Manufacturing & Procurement Management Committee, and Marketing Management Committee (Each committee is chaired by the internal director responsible for that function; Members: Relevant executive officers)

- From fiscal 2026, we adopted a structure aimed at building a more resilient company whereby three internal directors have clearly defined areas of responsibility.
- The three management committees work closely together to enable optimized Companywide decision-making.

CEO Succession Plan

The Nomination Committee deliberates on, decides, and makes recommendations on proposals to the Board of Directors regarding the appointment and dismissal of the CEO, directors, and Audit & Supervisory Board members, and on process checks for the appointment and dismissal of executive officers and fellows, all while confirming future management strategies and personnel requirements for their implementation, among other tasks.

As a *Kando* Creating Company that operates globally, Yamaha Motor strives to make the most of its diverse human resources by implementing various initiatives such as building, evaluating, and developing candidate pools for each management strata in accordance with clearly defined internal rules. In doing so, we also ensure the transparency and appropriateness of the process by involving outside directors and utilizing knowledge from external organizations. We have established the following CEO succession plan, based on the recognition that it is an important management issue for the sustainable and stable increase of our corporate value.

CEO Requirements and Evaluation Criteria

The Nomination Committee discusses and further refines the points deemed important for CEO requirements based on the opinions of the incumbent CEO and outside officers.

CEO Selection Process

(1) Draw up a list of CEO candidates

- The incumbent CEO recommends candidates based on major achievements and experience, as well as assessment results from external organizations
- A list of CEO candidates is decided after deliberation by the Nomination Committee

(2) Develop and narrow down CEO candidates

- The Nomination Committee deliberates and decides on the development plan for each CEO candidate
- The incumbent CEO provides each candidate with advice necessary for growth and opportunities for development in line with their development plans
- The Nomination Committee regularly confirms the development status of each candidate

(3) Board of Directors resolution

- Based on the development status and leadership evaluation of the CEO candidates, the Nomination Committee proposes one final candidate to the Board of Directors

CEO Resignation or Removal Process

Roles of the Board of Directors and the Nomination Committee

- The Board of Directors supervises the execution of duties by directors and, as part of efforts to strengthen governance, determines the appointment and dismissal of the CEO based on reviews and evaluations of the CEO's performance.
- If the CEO expresses an intention to resign, or if the CEO is deemed to have violated laws/regulations or the Articles of Incorporation in the execution of duties, to have become physically or mentally incapable of performing duties, or to be significantly unfit for the position, the CEO shall be dismissed and a new CEO shall be promptly selected.
- In the event of the above situation, the Nomination Committee will request the CEO to attend a hearing before the committee and report the results to the Board of Directors.

Remuneration System for Executives

In order to ensure the appropriateness as well as the transparency and effectiveness of the deliberation process regarding items relating to executive remuneration, the Compensation Committee (voluntarily established by the Company and composed of a majority of outside directors) conducts pertinent assessments and reports its findings to the Board of Directors. Decisions on remuneration for each individual director are made at Board of Directors meetings in accordance with the basic policy after discussions with and/or reports from the Compensation Committee. Moreover, Audit & Supervisory Board members discuss and determine the specific amounts of their own base compensation. In conjunction with the start of the Medium-Term Management Plan from 2025, we have expanded performance-linked compensation and changed the compensation ratio for directors and executive officers.

Basic Policy

- To be a *Kando* Creating Company, Yamaha Motor encourages its executives to the maximum extent possible to perform their professional duties in accordance with its Management Principles and Action Guidelines.
- Toward realizing the Company's Long-Term Vision for 2030, executive remuneration shall offer strong motivation for achieving targets in the Medium-Term Management Plan and other plans.
- Remuneration shall function as an incentive for achieving sustainable growth of corporate value, the benefits of which shall be shared by management and shareholders.
- Remuneration amounts shall be set at a level that enables the Company to secure and retain diverse, outstanding human resources suitable for the roles and responsibilities to be carried out by management.
- Yamaha Motor shall carry out initiatives befitting the Company to the greatest extent possible to address important societal issues (materiality issues).

Remuneration System

Remuneration for directors at Yamaha Motor is composed of base compensation (fixed monthly remuneration), performance-linked bonuses, and performance-linked share compensation. In fiscal 2025, the proportion of performance-linked compensation was raised. For the

president and representative director, reference values for remuneration are generally set at 33.3% base compensation, 33.3% performance-linked bonuses, and 33.3% performance-linked share compensation, with remuneration for other officers determined in accordance with this structure.

Outside directors and Audit & Supervisory Board members receive only fixed compensation, reflecting their role in supervising and auditing management from an independent, objective perspective.

Base Compensation

Annual base compensation is set for each executive position, and is paid in cash on a monthly basis in twelve equal installments.

Performance-Linked Bonuses

The representative director shall only be paid a Companywide performance-linked bonus. Performance-linked bonuses for other directors and executive officers shall comprise a Companywide performance-linked bonus and an individual performance-linked bonus.

Performance-Linked Share Compensation

We have established a restricted stock compensation system under which the number of shares granted is determined in accordance with evaluations of the Company's total shareholder return (TSR) relative to the growth rate of the TOPIX Total Return Index as a benchmark, with the aim of promoting value sharing between directors and shareholders and achieving sustainable enhancement of corporate value.

Breakdown of President and Representative Director Remuneration (Base Amounts)



Breakdown of Performance-Linked Bonuses

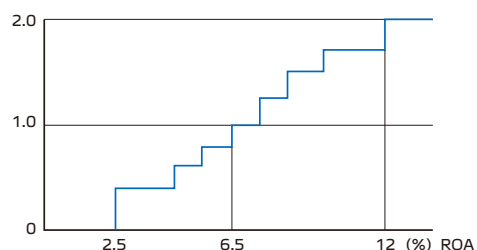
Companywide Performance-Linked Bonus Pool of funds Profit attributable to owners of parent × Fixed percentage of 0.115% (0.071% for executive officers who do not serve concurrently as directors) × Variable evaluation coefficient based on ROA (range of 0–2x; including adjustments based on other business performance metrics)	Individual Performance-Linked Bonus 0–2x of base amount relative to achievement of and progress toward predetermined indicators	
	Financial Evaluation Takes into account year-on-year comparisons and degree of target achievement for revenue, operating profit, and ROA in the division for which the person is responsible	Non-Financial Evaluation Takes into account degree of progress on initiatives in the Medium-Term Management Plan, the development of future executive officers and candidates for senior management positions, and contributions to corporate value and brand value
	Ratio of Financial and Non-Financial Evaluation Directors: 1 to 1 (Executive officers: 1 to 1)	
	Ratio of Companywide Performance-Linked Bonus to Individual Performance-Linked Bonus Representative director: 1 to 0 Directors: 2 to 1 (Senior Executive Officers: 2 to 1 and Executive Officers: 1 to 2)	

Companywide Performance-Linked Bonus

Indicators Related to the ROA Evaluation Coefficient

The Company sets the ROA evaluation coefficient based on the three-year average ROA based in accordance with the values indicated in the graph below.

The ROA-based evaluation coefficients are adjusted, following deliberation by the Compensation Committee, in light of the status of sustainability management (including the results of initiatives related to environmental management, progress in fostering a corporate culture to accelerate human capital management, and the overall progress and outcomes of risk and compliance management), as well as the degree of impact on corporate value derived from initiatives to enhance brand value.



Performance-Linked Share Compensation

Total Shareholder Return (TSR) Evaluation Coefficient

Company TSR ÷ Growth rate of TOPIX Total Return Index

Company TSR =

Average closing share price in the final month of the final year of the TSR evaluation period (December) + Total dividends during the TSR evaluation period

Average closing share price in the month prior to the start of the TSR evaluation period (December)

Growth rate of TOPIX Total Return Index =

Average TOPIX Total Return Index closing price in the final month of the final year of the TSR evaluation period (December)

Average TOPIX Total Return Index closing price in the month prior to the start of the TSR evaluation period (December)

Executive Compensation in Fiscal 2025

In fiscal 2025, the Company's three-year ROA average was 7.4%. However, long-term loans urgently raised to address the impacts of the COVID-19 pandemic have been excluded from this calculation. In accordance with the officer remuneration rules, the ROA evaluation coefficient was set at 0.8 following a comprehensive assessment of business performance.

The pool of funds for Companywide performance-linked bonuses for directors totaled ¥13 million (profit attributable to owners of parent of ¥16.1 billion × 0.105% × ROA evaluation coefficient of 0.8), which has been distributed among directors.

Individual performance-linked bonuses comprise a financial evaluation-linked component and non-financial evaluation-linked component, each of which was determined based on a comprehensive evaluation of each director that took pre-determined evaluation indicators into account.

(¥ million)

Officer Classification	Number of Eligible Officers (Persons)	Base Compensation	Performance-Linked Bonuses		Performance-Linked Share Compensation	Total
			Companywide Performance-Linked Bonus	Individual Performance-Linked Bonus		
Directors (excluding outside directors)	4	284	13	20	119	438
Outside directors	6	110	—	—	—	110
Audit & Supervisory Board members (excluding outside Audit & Supervisory Board members)	3	86	—	—	—	86
Outside Audit & Supervisory Board members	3	66	—	—	—	66
Total	16	547	13	20	119	701

Notes: 1. The amount of base compensation mentioned above is the total compensation, etc., paid (monetary compensation) in fiscal 2025.

2. The amount of base compensation and number of eligible officers mentioned above include one outside director and one outside Audit & Supervisory Board member who retired during the fiscal year.

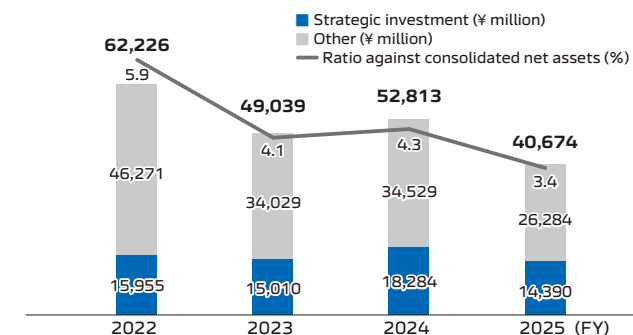
3. The amounts of Companywide performance-linked bonuses and individual performance-linked bonuses mentioned above are the amounts paid (monetary compensation) in April 2026 based on performance, etc., in fiscal 2025.

4. With respect to share compensation, Yamaha Motor previously issued shares of the Company's common stock (restricted stock) as share compensation to directors (except outside directors) and executive officers (excluding non-Japanese executive officers), based on the restricted stock compensation system with no performance conditions (hereinafter referred to as the "former system") and subject to the condition that such shares are non-transferrable for as long as the individual remains an officer of the Company. However, per the resolution of the 87th Ordinary General Meeting of Shareholders held on March 23, 2022, the Company introduced a performance-linked share compensation plan that determines the number of restricted shares to be awarded based on evaluation of the Company's total shareholder return (TSR), replacing the former system. In addition, the amount of performance-linked share compensation stated above is the amount granted in or after April 2026 (the full amount corresponds to monetary compensation claims held by recipients, which will be contributed as payment in kind for newly issued shares or treasury shares of the Company's common stock) in accordance with the Company's calculation method based on the results of the TSR evaluation, etc., for fiscal 2025. Note that while the amount expected to be paid on or after April 2025 disclosed in the business report for fiscal 2024 was ¥126 million, the actual amount paid in April 2025 was ¥120 million.

Cross-Shareholdings

Yamaha Motor intends to hold shares as cross-shareholdings when it is deemed necessary and appropriate in order to enhance corporate value and achieve medium- to long-term growth. The Board of Directors annually examines each cross-shareholding to determine whether the significance of holding the shares is appropriate, and appropriately discloses a summary of the results. In addition, Yamaha Motor upholds a policy of reducing cross-shareholdings in cases where the rationale for holding such shares cannot be justified.

Cross-Shareholdings

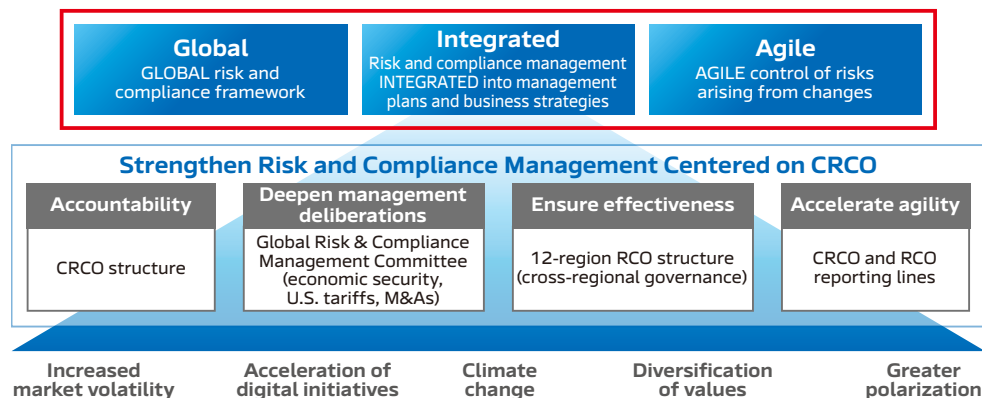


Risk and Compliance Management

Basic Approach: Global, Integrated and Agile

Based on a risk and compliance management policy supported by a commitment to being Global, Integrated and Agile, Yamaha Motor is promoting a risk and compliance system that advances Group management with the aim of instilling responsibility and authority at a global level for swiftly adapting to changes in the business environment. Specifically, we conduct each of our activities with the aim of implementing risk and compliance management that is better integrated into management plans and business strategies globally. This enables us to adapt to our expanding business environment and to contribute to the Company's value creation through agile identification and control of risks arising from changes in each region's regulations and environmental factors.

Advancing the Yamaha Motor Group's Management to Globalize Responsibility and Authority for Swiftly Adapting to Business Environment Changes



Risk and Compliance Management Structure

For risk and compliance management, Yamaha Motor has appointed a Chief Risk Compliance Officer (CRCO) and established the Global Risk & Compliance Management Committee (GRC Management Committee). The committee, chaired by the CRCO and composed of executive officers appointed by the CRCO, deliberates on Groupwide plans for risk countermeasures and compliance, and monitors their implementation, in accordance with the Rules of Risk Management and Compliance Management Rules. Committee members are appointed from among members of the Management Committee involved in management decision-making. In 2025, its deliberations covered strategic risks including countermeasures for significant risks at the Group level and global compliance activities, as well as rare earth measures, U.S. tariffs, defense-related transactions, governance for M&As and post-merger integration (PMI) activities, and subsidiary reorganizations.

Risk Compliance Officers (RCOs) designated by the CRCO have also been appointed for key business regions—North America, South America, Europe, Oceania, Indonesia, India, Thailand, Vietnam, the Philippines, China, Taiwan—as well as for the Financial Services business, thereby establishing a risk and compliance execution framework that operates across regions and businesses. In addition, we have established the Global Risk & Compliance Steering Committee (GRC Steering Committee), which is composed of the RCOs, to deliberate on matters for referral

to the GRC Management Committee, as well as risk and compliance measures and crisis cases handled in each region and business. Having the CRCO oversee part of the target-setting and personnel evaluation process for RCOs strengthens reporting lines, thereby ensuring the global effectiveness of risk countermeasures and compliance initiatives, as well as agile responses based on local conditions.

Furthermore, at headquarters, the Company has established a Risk and Compliance Promotion Meeting composed of the heads of divisions responsible for risk. The meeting deliberates on policies, plans, monitoring, and countermeasures related to risk management and compliance from specialized perspectives. It also shares matters discussed by the GRC Management Committee and the GRC Steering Committee in order to advance countermeasure activities with both a management-level risk perspective and an understanding of conditions on the ground globally. The results of these deliberations and monitoring activities are reported by the CRCO to the Board of Directors as appropriate. Yamaha Motor is strengthening its framework to ensure the effectiveness of risk and compliance management adapted to the expanding scope of the Group's business environment.

Risk Management Activities

The Yamaha Motor Group has prepared a risk management ledger that identifies risks related to its management and business, and has deployed it globally throughout the Group. We control risks organizationally by conducting activities including risk assessment, risk selection, risk countermeasures, and monitoring based on the risk management ledger.

From fiscal 2026, these activities are to be centrally managed through a cloud-based system. In collaboration with RCOs in each region, we are also advancing the global utilization of data for risk management.

Countermeasures for Significant Risks at the Group Level

Based on risk assessments and discussions with the GRC Management Committee and RCOs, we identify both significant risks at the Group level to be addressed on a priority basis across the Group and common risks managed through the risk ledger. We then plan countermeasure activities and monitor their implementation in order to systematically reduce risk across the Group.

In fiscal 2026, as global management issues, we newly identified the ethical, legal, and social risks associated with the use of AI technologies in business activities, as well as security risks specific to AI utilization. We are advancing countermeasures by adding "AI governance" as a significant risk at the Group level. In addition, geopolitical risks have become increasingly apparent in the procurement environment in recent years, leading to growing risks of supply chain disruption related to rare earths and other materials. To strengthen resilience against geopolitical risks, we have updated countermeasures for supply chain disruption and continue to treat it as a significant risk at the Group level.

Moreover, we are promoting Groupwide efforts to address significant risks at the Group level. These include implementing cybersecurity measures such as BCP initiatives and incident response systems; preventing compliance violations related to product quality, including the recurrence of inappropriate handling of applications for model designations; and minimizing or eliminating risks relating to fatal or serious occupational injuries involving equipment and machinery, human rights violations, and leakage of confidential information. We have newly designated governance for acquired subsidiaries, including corporate acquisitions and subsequent PMI activities, as a common risk and are strengthening related management efforts.

Basic Approach to Compliance

“Compliance Comes First—Doing the right thing, the right way” is the key message from the highest level of management to the entire Yamaha Motor Group. We promote compliance globally as the foundation of our value creation as a *Kando* Creating Company.

Code of Ethics

Yamaha Motor has formulated and disseminated throughout the Group its Code of Ethics, which stipulates standards of behavior to be observed based on the Company Pledge, passed down since the Company's foundation, and the Management Principles. Following the establishment of our Sustainability Basic Policy, we revised the Code of Ethics in 2024 to include new provisions on human rights, diversity, and social responsibility. At subsidiaries outside Japan, the Code of Ethics has been translated into the local languages of the areas in which we operate and distributed, and we are also working to raise awareness using an educational video that is available in 11 languages.

Global Hotline Framework

Yamaha Motor has introduced a Companywide whistle-blowing system. In 2025, we received 264 reports through the hotline directly managed by headquarters (approximately 1.3 reports per 100 employees), while Group companies received an additional 389 reports. In terms of reporting systems directly managed by headquarters, in addition to the compliance hotline for all Group companies in Japan, we operate a global compliance hotline that accepts reports in 10 languages from across the Group worldwide on specified matters such as executive misconduct, bribery, accounting fraud, and quality falsification; a fair business hotline that accepts reports from business partners; and a human rights reporting hotline aimed at corrective action and remedy in the area of human rights.

To ensure anonymity, the compliance hotline, global compliance hotline, and fair business hotline each use external reporting channels. Internal regulations also specify responsible personnel for handling reports, as well as ensure confidentiality and prohibition of disadvantageous treatment for reporting parties. In addition, posters featuring messages from the President are displayed Companywide to raise awareness of how to contact the hotlines. In addition, the status of reports and corrective measures is regularly reported by the CRCO to the Board of Directors, Executive Officers Board, and other relevant bodies.

▶ Whistle-Blowing Systems (Compliance Hotlines) on our website

Compliance Risk Assessment, Countermeasures, and Educational Activities

We formulate an annual plan for compliance activities and systematically promote each activity based on that plan.

1. Risk Assessment and Countermeasures

We conduct business worldwide, and there are numerous laws and regulations that must be complied with in those business activities. A Groupwide risk assessment is carried out each year to identify the common compliance risks that need to be addressed, including those relating to bribery and corruption, cartels, security-related export controls, the protection of personal information and the protection of human rights. These risks are then assessed at individual operating divisions and Group companies, and countermeasures are implemented and monitored. For major compliance risks, we have established individual policies such as the anti-bribery policy, competition law compliance policy, basic tax policy, and personal information protection policy in order to promote a Companywide compliance framework.

2. Global Educational Activities

We provide wide-ranging education, from training specifically for new recruits and employees taking on new positions to compliance training for all employees. Our distinctive educational measures that support global management include case studies from our own business. These case studies are used at meetings of the Global Executive Committee (GEC), which is composed of leaders from core Group bases, and the Global Compliance Meeting (GCM), which is held annually for management from each Group company.

We also promote “Compliance Comes First” Companywide through compliance messages from the President and Chief Executive Officer, e-learning and video training, which we stream globally.

3. A Culture of Compliance

As one way of measuring the culture of compliance, we conduct annual Groupwide compliance awareness surveys to confirm the effectiveness of compliance measures, including the degree of understanding and implementation of the Code of Ethics, hotline usage, and the effectiveness of training programs. The results are reported by the CRCO to the Board of Directors, Executive Officers Board, and other

relevant bodies, and are also used in activities to improve the culture of compliance.



Compliance Comes First

**Doing the
right thing,
the right way.**

This is my firm policy as the head of
Yamaha Motor.



Yamaha Motor Group's corporate mission is to be a
“Kando Creating Company”

To achieve this, as a leading global brand,
compliance must always be our priority.

Motofumi Shitara
President, Chief Executive Officer and Representative Director
YAMAHA MOTOR CO., LTD.

Compliance Management Themes Addressed in Fiscal 2025

At the GEC, case studies and discussions based on Company incidents such as certification misconduct and data leaks were conducted. At the GCM, topics such as cybersecurity, for which we are accelerating global countermeasures, were addressed through dialogue video sessions between the heads of responsible divisions and the CRCO. In addition, executive officer training included discussions on quality misconduct and corporate culture using certification misconduct at an overseas subsidiary as a case study. Throughout these activities, compliance-related topics were addressed as important management themes, thereby promoting leadership from top management where “Compliance Comes First.”

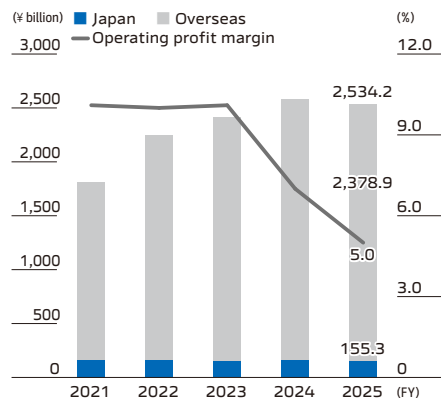


Fact Data

Financial Highlights

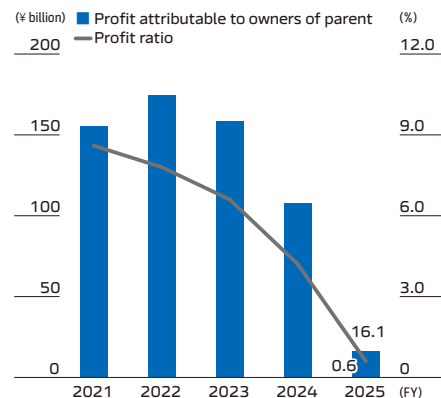
Note: Calculations are based on Japanese generally accepted accounting principles (J-GAAP) for years up to 2022 and International Financial Reporting Standards (IFRS) for 2023 and thereafter.

Revenue / Operating Profit Margin



Revenue declined 1.6% year on year, as sales revenue in the core Motorcycles business remained at the same level as the previous fiscal year, while unit sales declined in other businesses.

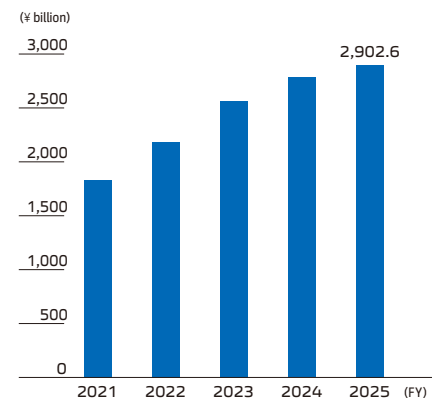
Profit Attributable to Owners of Parent (Profit) / Profit Ratio



Profit for the year declined 85.1% year on year due to a decrease in operating profit and the reversal of deferred tax assets.

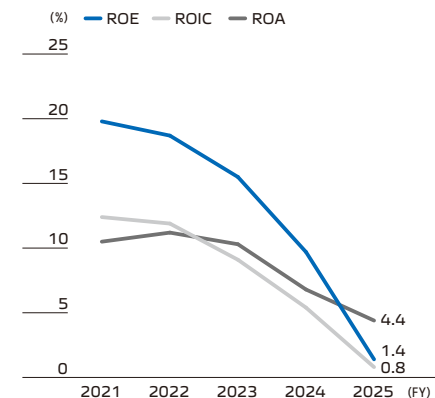
▶ Please refer to our website for sustainability-related data (including the ISO 26000 content index and metrics published under SASB requirements).

Total Assets



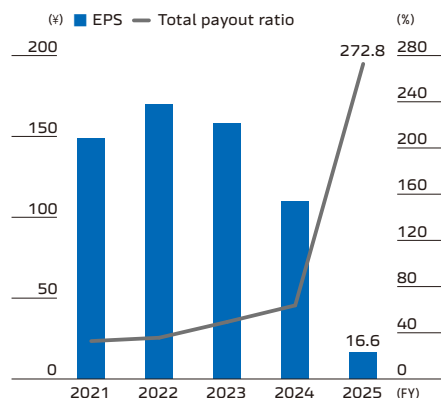
Total assets increased by ¥119.1 billion from the end of the previous fiscal year, primarily due to an increase in sales finance receivables.

ROE / ROIC / ROA



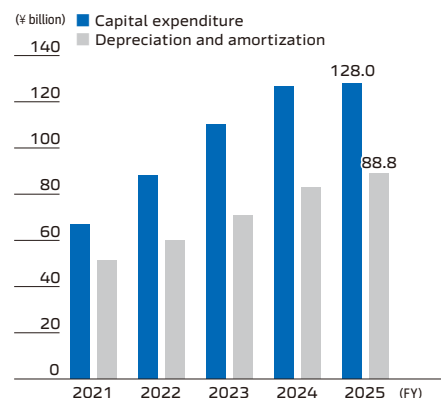
Declines in profitability and asset efficiency resulted in ROE of 1.4%, ROIC of 0.8%, and ROA of 4.4%.

EPS / Total Payout Ratio



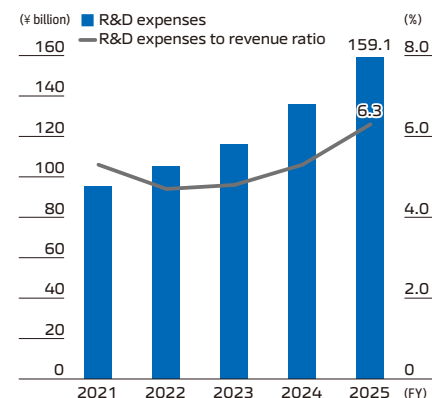
EPS declined from the previous fiscal year mainly due to a significant drop in profit attributable to owners of the parent as a result of the reversal of deferred tax assets.

Capital Expenditure / Depreciation and Amortization



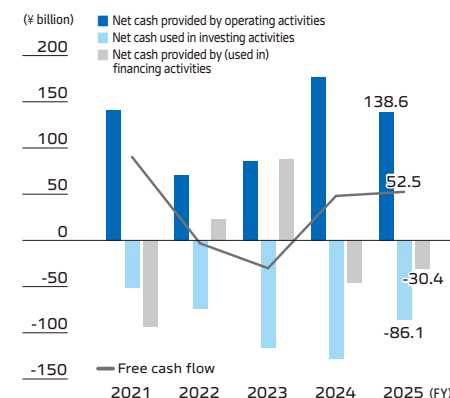
Capital expenditure was ¥73.7 billion in the Land Mobility business, ¥40.1 billion in the Marine Products business, ¥2.5 billion in the OLV business, ¥7.7 billion in the Robotics business, ¥1.2 billion in the Financial Services business, and ¥2.8 billion in Others.

R&D Expenses / R&D Expenses to Revenue Ratio



The Company conducted R&D in new and growth businesses to raise the earning power of core businesses and contribute to a sustainable society, with R&D expenses totaling ¥159.1 billion in 2025.

Consolidated Cash Flow



Free cash flow for 2025 was an inflow of ¥52.5 billion, and cash and cash equivalents were ¥398.9 billion at the end of the year. Interest-bearing liabilities (excluding lease liabilities) as of December 31, 2025 totaled ¥1,044.3 billion.

Eleven-Year Summary

	J-GAAP					IFRS						
	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2025 / 2024
For the year:	Millions of yen											% change
Revenue [Net sales]	¥1,631,158	¥1,502,834	¥1,670,090	¥1,673,137	¥1,664,764	¥1,471,298	¥1,812,496	¥2,248,456	¥2,414,759	¥2,576,179	¥2,534,203	(1.6)
Gross profit	436,525	402,660	458,629	455,173	442,331	371,812	506,840	633,745	812,244	821,964	784,544	(4.6)
Operating profit [Operating income]	130,329	108,594	149,782	140,787	115,364	81,672	182,342	224,864	243,920	181,515	126,373	(30.4)
Profit before tax [Income before income taxes]	122,599	99,730	152,313	136,883	120,626	84,990	199,704	245,798	236,073	183,175	133,196	(27.3)
Profit attributable to owners of parent [Net income attributable to owners of parent]	60,023	63,153	101,603	93,366	75,736	53,072	155,578	174,439	158,421	108,069	16,109	(85.1)
Net cash provided by operating activities	28,475	143,163	126,342	58,858	99,127	110,487	141,336	70,921	86,031	176,847	138,605	—
Net cash used in investing activities	(68,475)	(46,541)	(53,194)	(48,274)	(79,662)	(43,950)	(51,026)	(74,160)	(116,126)	(128,748)	(86,124)	—
Free cash flow	(40,000)	96,621	73,147	10,584	19,465	66,537	90,309	(3,238)	(30,094)	48,099	52,480	—
Net cash provided by (used in) financing activities	6,845	(67,627)	(52,830)	(26,423)	(36,760)	83,668	(93,488)	23,103	88,532	(46,426)	(30,428)	—
Capital expenditure	64,064	61,330	56,532	48,342	58,053	53,756	66,963	88,206	109,991	126,584	128,026	1.1
Depreciation and amortization	44,324	42,434	45,457	46,405	49,689	48,241	51,129	59,824	71,041	83,067	88,766	6.9
At year-end:												
Total assets	¥1,305,236	¥1,318,776	¥1,415,845	¥1,420,854	¥1,532,810	¥1,640,913	¥1,832,917	¥2,183,291	¥2,563,561	¥2,783,501	¥2,902,584	4.3
Total equity [Net assets]	531,700	575,404	665,232	695,743	751,828	749,158	900,670	1,054,298	1,134,359	1,226,586	1,198,329	(2.3)
Interest-bearing liabilities [Interest-bearing debt] [Excluding lease liabilities/debt]	410,147	364,381	353,490	356,688	364,951	466,935	458,514	602,689	843,808	951,974	1,044,324	9.7
Ratios:												
Operating profit margin [Operating income margin] (%)	8.0	7.2	9.0	8.4	6.9	5.6	10.1	10.0	10.1	7.0	5.0	
Return on equity [Return on shareholders' equity] (ROE) (%)	12.6	12.3	17.6	14.6	11.1	7.5	19.8	18.7	15.5	9.7	1.4	
Ratio of equity attributable to owners of parent to total assets [Equity ratio] (%)	37.6	40.5	44.0	46.3	46.0	43.6	46.9	45.9	42.0	41.7	39.0	
Price/earnings ratio (times)	16.0	14.2	12.7	8.1	10.2	13.9	6.2	5.9	8.0	12.8	69.9	
Debt/equity ratio (times)	0.84	0.68	0.57	0.54	0.52	0.65	0.53	0.60	0.78	0.82	0.92	
	Yen											
Per share amounts:												
Basic earnings per share [Net income per share—basic]	¥57.30	¥60.28	¥96.98	¥89.12	¥72.28	¥50.63	¥148.56	¥170.49	¥157.89	¥110.12	¥16.59	(84.9)
Equity attributable to owners of parent per share [Net assets per share]	468.45	509.84	594.45	627.55	672.95	681.72	828.10	988.60	1,084.96	1,188.23	1,166.80	(1.8)
Cash dividends	44.00	60.00	88.00	90.00	90.00	60.00	115.00	125.00	145.00	50.00	35.00	(30.0)
	Millions of yen, except price per share											
Share performance (at year-end):												
Price per share (yen)	¥915	¥858	¥1,232	¥720	¥734	¥701	¥920	¥1,003	¥1,260	¥1,405	¥1,160	(17.4)
Market capitalization	958,264	898,931	1,290,413	753,989	769,567	735,207	954,229	1,018,027	1,268,663	1,372,988	1,125,153	(18.1)
Other data (at year-end):												
Number of shareholders	34,214	42,031	34,566	51,113	67,741	82,730	79,112	94,547	136,752	265,935	503,109	89.2
Number of employees	53,306	53,150	53,579	53,977	55,255	52,437	51,243	52,554	53,701	54,206	55,176	1.8

Notes 1. The fiscal year for each business is the 12-month period commencing on January 1 and ending on December 31. References to years other than fiscal years refer to calendar years.

2. With regard to amounts stated in million yen units, amounts less than ¥1 million are truncated. For amounts stated in 0.1 billion or billion yen units, amounts less than ¥0.1 billion or ¥1 billion, respectively, are rounded off.

3. From the fiscal year ended December 31, 2016, the presentation of sales finance-related income and expenses has changed from recording under "Selling, general and administrative expenses," "Non-operating income," and "Non-operating expenses" to recording under "Net sales," "Cost of sales," and "Selling, general and administrative expenses." To reflect this change in the presentation method, the consolidated financial statements for the fiscal year ended December 31, 2015 have been restated.

4. The Company conducted a 3-for-1 stock split of common stock on January 1, 2024. The "Per share amounts" and "Price per share" for prior fiscal years are listed while considering this stock split. The "Cash dividends" shows the actual dividend amount before the stock split.

5. The Yamaha Motor Group has adopted International Financial Reporting Standards (IFRS) from the fiscal year ended December 31, 2024. Consolidated financial figures for the fiscal year ended December 31, 2023 are also presented in accordance with IFRS.

Corporate Information / Stock Information (As of December 31, 2025)

Company name	Yamaha Motor Co., Ltd.
Headquarters	2500 Shingai, Iwata, Shizuoka 438-8501, Japan TEL: 0538-32-1115 FAX: 0538-37-4250
Date of establishment	July 1, 1955
Capital	¥86,100 million
Number of employees	Consolidated: 55,176 Non-consolidated: 12,082

Stock listing	Tokyo Stock Exchange
Stock code	7272
Administrator of shareholder registry	Sumitomo Mitsui Trust Bank, Limited 3-15-33 Sakae, Naka-ku, Nagoya-shi, Aichi Prefecture 460-8685
Auditor	Ernst & Young ShinNihon LLC
Inclusion in major indices	Nikkei 225, JPX-Nikkei 400, JPX Prime 150 Index

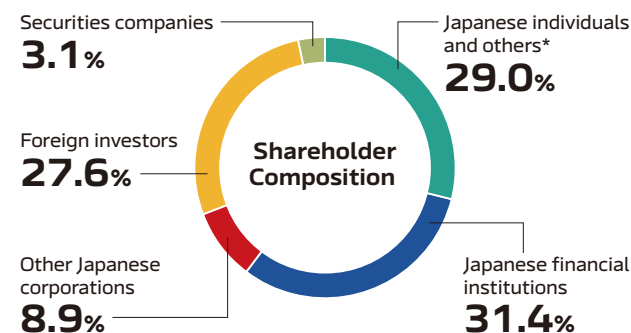
Major consolidated subsidiaries

Yamaha Motorcycle Sales Japan Co., Ltd.
Yamaha Kumamoto Products Co., Ltd.*
Yamaha Motor Corporation, U.S.A.
Yamaha Motor Manufacturing Corporation of America
Yamaha Motor Finance Corporation
Yamaha Motor Europe N.V.
PT. Yamaha Indonesia Motor Manufacturing
Yamaha Motor India Pvt. Ltd.
Yamaha Motor Philippines, Inc.
Thai Yamaha Motor Co., Ltd.
Yamaha Motor Vietnam Co., Ltd.
Yamaha Motor da Amazonia Ltda.

* Company name changed to Yamaha Marine Co., Ltd. effective January 1, 2026.

Capital Stock

Authorized	2,700,000,000 shares (common stock)
Issued	1,018,125,101 shares (includes 47,635,354 shares of treasury stock)
Number of shareholders	503,109



* "Japanese individuals and others" includes 47,635,354 shares (4.7%) of treasury stock.

Shareholder Notes

Fiscal year	January 1 to December 31
Reference date for allocation of surplus for dividends	Year-end dividends: December 31 Interim dividends: June 30
General Meeting of Shareholders	March
Share unit number	100 shares
Method of public notice	Public notices are provided by electronic notice. In unforeseen circumstances where electronic notices are impossible, public notice is made in the <i>Nihon Keizai Shimbun</i> .

Principal Shareholders

Shareholder	Ownership (%)
The Master Trust Bank of Japan, Ltd. (trust account)	17.83
Custody Bank of Japan, Ltd. (trust account)	5.06
NORTHERN TRUST CO. (AVFC) RE SILCHESTER INTERNATIONAL INVESTORS INTERNATIONAL VALUE EQUITY TRUST	3.99
Yamaha Corporation	2.98
NORTHERN TRUST CO. (AVFC) RE U.S. TAX EXEMPTED PENSION FUNDS	2.31
Toyota Motor Corporation	1.93
The Shizuoka Bank, Ltd.	1.74
NORTHERN TRUST CO. (AVFC) RE NON TREATY CLIENTS ACCOUNT	1.67
The Nomura Trust and Banking Co., Ltd. (trust account)	1.58
JP MORGAN CHASE BANK 385781	1.38

Note: Percentage of ownership is calculated excluding treasury shares.

Cautionary Note Regarding Forward-Looking Statements

The statements in this report, except for historical facts, are forward-looking statements about the future performance of the Company and its Group companies. These statements are based on management's assumptions and beliefs in light of information at the time this report was prepared and involve risks and uncertainties. Please be advised that actual results may differ significantly from those discussed in the forward-looking statements. Potential risks and uncertainties include, but are not limited to, general economic conditions in Yamaha Motor's major markets, changing consumer preferences, and currency exchange rate fluctuations.



YAMAHA MOTOR CO., LTD.
2500 SHINGAI, IWATA, SHIZUOKA, JAPAN
<https://global.yamaha-motor.com/>